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THE POLITIC

Summer 2007 An Undergraduate Journal of Politics Volume LXI, Issue III

Partner or Rival?

China and the U.S. in the Twenty-First Century

Featuring

Richard Levin
PRESIDENT, YALE UNIVERSITY

Jonathan Spence
YALE UNIVERSITY

Harvey Feldman
FORMER U.S. DIPLOMAT, TAIWAN, UNITED NATIONS

Lee Wing Tat
LEGISLATOR, HONG KONG

Jing Huang
BROOKINGS INSTITUTION

Elizabeth Economy
COUNCIL ON FOREIGN RELATIONS

Sun Zhongxin
FUDAN UNIVERSITY

Clark Randt
U.S. AMBASSADOR, CHINA

Also With

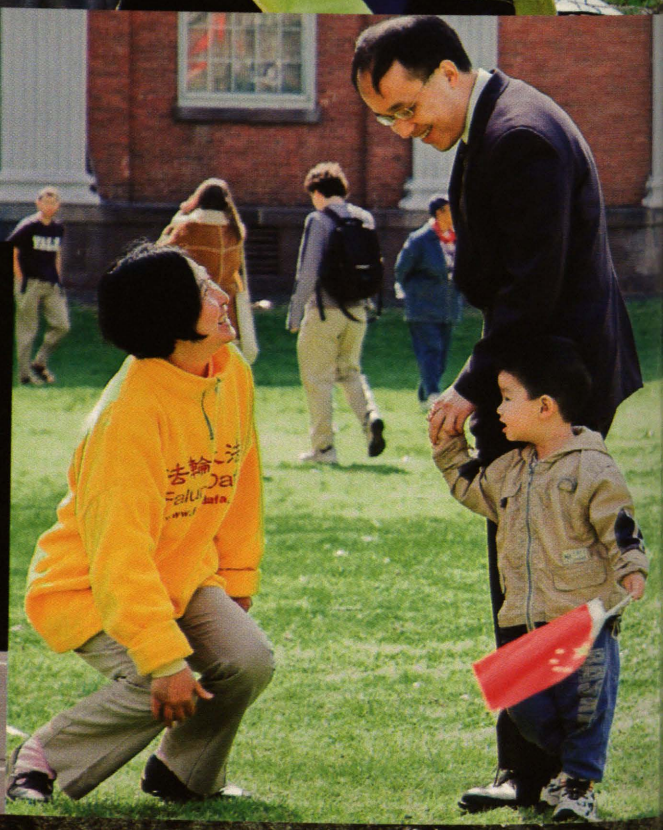
Rudy Giuliani
FORMER MAYOR, NEW YORK CITY

Barack Obama
U.S. SENATOR, ILLINOIS

James Woolsey
FORMER DIRECTOR, CENTRAL INTELLIGENCE

In April 2006, Chinese President Hu Jintao visited the United States, making stops at the White House, Microsoft Corporation, and Yale University. Yale President Richard Levin has made international education and the creation of a global university a priority of his tenure.

This photo essay captures moments behind closed doors and in the public eye, including both protesters and supporters of the visiting president each with a different agenda.



Clockwise from upper right: A young man in the Free Tibet contingent along the motorcade route; a Falun Gong supporter and a father and son with a Chinese flag exchange unlikely smile; banners representing a variety of political causes; traditional dancing and music on Cross Campus; police suit up in riot gear; Levin and Hu greet the crowd inside Sprague Hall; a figure is silhouetted by a Chinese flag.

Credits: Cam Barker, Cam Barker, Cam Barker, Cam Barker, Carol Dull, *The Politic*, Mike Marsland/Yale University Office of Public Affairs, Cam Barker

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It is our hope that even the most seasoned veteran of American politics or international affairs will come away with new knowledge from each issue of The Politic. Our opinion pieces and interviews provide current snapshots of a wide range of events, peoples, and regions. In this issue, we capture the present stage in China's fast rise while the United States debates its own future as well.

Our feature begins with the perspective of Yale President Richard Levin—who called this interview "one of the most substantive" he's ever given—on Yale's increasingly close relationship with China both in education and finances.

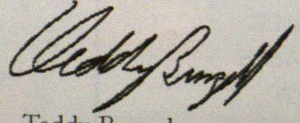
Not all of our experts, however, are quite as hopeful about the new realities China poses. Elizabeth Economy of The Heritage Foundation speaks on, among other topics, the environmental and humanitarian considerations of China's rise and wonders what impact, if any, the 2008 Olympics will have on political development. Harvey Feldman, a longtime U.S. diplomat in the region, writes frankly on the future of U.S.-China relations. Yale Professor Jonathan Spence gives a historical consideration of modern China. Jing Huang of the Brookings Institution writes on China's relationship with Taiwan, and Lee Wing Tat, a member of Hong Kong's Legislative Assembly, describes the political atmosphere of his constituency. Sun Zhongxin of Fudan University, a past visiting scholar at Yale, evaluates a revolution in personal freedom occurring in China. We profile Clark Randt, Jr. '68, U.S. ambassador to China, and, finally, Harry Greene '08 explores how the Chinese people's capitalistic spirit, rather than any official policy change, is behind China's development, while Nathan Tek '09 takes a more cautious approach toward Yale's courting China.

The first presidential race since 1928 in which neither a sitting president nor vice president is seeking his party's nomination is already heating up as a state-by-state domino effect threatens to push the beginning of the nominating process into late 2007. In our National section, we hear from a leading contender in each party—former Mayor Rudy Giuliani on the course the country would take with him at the helm and Senator Barack Obama on the war in Iraq. Lee Edwards of The Heritage Foundation handicaps the Republican field, and Jake Caldwell of the Center for American Progress proposes possible long-term national energy strategies, an issue most of the candidates have pushed to the bottoms of their campaign platforms.

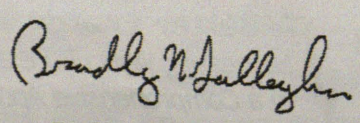
In our International section, former U.S. director of central intelligence James Woolsey considers America's continued role in the Middle East, Lisa Curtis of The Heritage Foundation discusses the future of Pakistan, and Yale Professor Paul Kennedy evaluates U.S. grand strategies on a variety of fronts. Moscow journalist Anna Arutunyan explains the possible error of condemning certain policies of the Russian government, Sameer Dossani argues for an end to the cycle of debt in which many developing nations are trapped, and Sean Jackowitz '08 writes on what Kazakhstan's transition from communism to capitalism has meant for business in Central Asia.

As always, thank you for reading. We hope you enjoy this first issue of the academic year.

Sincerely,



Teddy Bunzel



Bradley Gallagher

The Case for Engagement

An Interview with Richard Levin

Conducted by Mike Schmidt

Richard Levin has served as president of Yale University since 1993.

You spent some time in China over the summer. Would you tell us about it?

We were there for our fourth annual meeting of university leaders, which Yale has been running with the Ministry of Education in China. It is fascinating, the progress that Chinese universities are making toward reform of their curricula, reform of their admissions practices, and to some degree reform of their pedagogy. In the last four years the top universities have started to move from a European model of complete specialization in one subject for four years to the U.S. liberal arts model of a year or two of general education followed by a major.

It is incredible how fast they are making this turnover, and behind it is a philosophy that they need to educate their students to be more flexible and broader-gauged thinkers, so that they can be an innovative society when the competitive advantage of low-cost labor disappears. They are already anticipating what will happen in twenty-five years when they have absorbed their surplus labor, workforce wages start to rise, and they no longer have a competitive advantage in manufacturing. They realize what Japan failed to realize—that they will need to be an innovator to stay economically strong at that stage. They will have to be like the U.S. or Europe or the U.K., and they are trying to train the next generation to be broader thinkers and to be more creative. The universities have embraced this—it opens them up to more flexible thinking, and the academics are very happy with this.

You have made Yale the flagship of global universities. Many would agree with your assessment, recently articulated in *Newsweek*, that Yale's activities in China and the flow of students across national borders will serve as a "powerful force for global integration, mutual understanding, and geopolitical stability." Others might contend that to permit China to become a prominent player in the global knowledge economy is to invite its rise as an economic and military superpower. How do you respond to such assertions?

I have spent a lot of my career studying the economics of technology and the effects of knowledge on productivity growth and economic well-being, with a major emphasis on intellectual property. The major lesson I have learned is that you cannot stop the flow of knowledge. It's going to happen anyway. A good example is our export control regime, where we have all this equipment that we can't sell to China. Instead they just buy it from Europe. There is very little on our restricted list that the Chinese can't get elsewhere. The truth is that if China has the will to invest in education and to build up a research infrastructure, we are not going to be able to inhibit that progress in any significant way.

I think the argument for engagement outweighs the argument for restrictiveness. The Chinese have concerns about regional security that motivate their military buildup, but they have no history of global imperialism. I think that they are sincere in wanting to coexist in a peaceful way with the United States as a major world power. That does not mean that we shouldn't be vigilant in terms of our own military preparedness. We should be, of course. But we should not be antagonistic to their clear and deliberate efforts to reform their institutions and to conform more to the world regime. On the economic side, they've

made very dramatic process in the last six or seven years since their decision to join the WTO. They have changed their legal system, their banking system, their financial markets—all of these things are coming into conformity with capitalist countries as a major force for integration.

President Levin welcomes Chinese President Hu Jintao to Yale. The April 2006 visit reflected a strong bond between Yale and China, one that has flourished during President Levin's tenure. (Mike Marsland/Yale University Office of Public Affairs)

In February 2000, Condoleeza Rice suggested that "trade in general can open up the Chinese economy and, ultimately, its politics, too. This view requires faith in the power of markets and economic freedom to drive political change, but it is a faith confirmed by experiences around the globe." Yet the Chinese government seems to have maintained, even tightened, its grip on Chinese political culture. Will economic freedom beget political freedom in China?

I think it can. There is no doubt that rising incomes and a broader middle class could be expected to lead to claims for broader participation in governance and political decisions. On the other hand, China has a long history of recognizing the importance of top-down social control. Just read Jonathan Spence's books about China's transition from the Ming to Qing dynasties in the seventeenth century. In one of my favorites, *Treason by the Book*, Spence tells an amazing story about a dissident scholar. One of the interesting lessons from that book is how good the intelligence network was for the empire. With no instant communications, they had capabilities akin to those of a twentieth century intelligence agency. Because of the nature of China's geography and the potential for the one nation coming apart, there has been a lot of focus on social control and keeping unity.

Will economic freedom lead to more political freedom? It could, but it is not an inevitability. There are other historical and cultural forces at work in China that put community above the individual. That sentiment is easily exploited by a monolithic party structure that could resist the rise of greater democracy.

That's where engagement helps. Engagement, such as we have with the China Law Center, helping to instill a culture of the rule of law in China's schools and courts and legislature, puts pressure on the right side of the equation.

Some might criticize Yale for engaging a regime with disdain for political, civil, and human rights. How does Yale's engagement put "pressure on the right side of the equation"?

In two ways. The most direct and obvious way in which we are helping in the cause of protecting of the rights of individuals and, potentially, future democratization—which aren't exactly the same thing—is through the work of the China Law Center. The Center has helped to draft some of the changes to Chinese administrative law. These changes are important enablers of China's growing integration into the world economy. In other words, more bureaucratic regularity is demanded by international investors and by foreign companies working in China. The Center has helped to make administrative rules more regular and enforced with more consistency and to create appeals processes for administrative rulings.

Each of these moves, while serving the economic interests of international and Chinese companies, also starts to establish within China's law and society a practice of recognizing the rights of the individual versus the state. In the last five years, we have seen a number of successful legal actions brought against the state. People have gotten redress, which would have been unthinkable a decade ago. This is a beginning. I don't want to overemphasize it, however—people are still subject to arbitrary arrest and detention, and freedom of expression is clearly inhibited, no question about it. But the work of the China Law Center is helping to establish both the rule of law and, within that, a greater sphere of rights for the individual.

The other important contribution we are making is

through our work with Chinese universities. If their aim is to encourage more creative and innovative thinking in China, one of the means to that is to begin to question the authority of received wisdom. Students should not be passive recipients of what the professor says but should rather challenge the professor and challenge each other in debate. All of this is conducive to creating individuals who are going to want greater control over their lives and destiny. I have spoken to Chinese officials on this subject and said, "If you are sincere in wanting to encourage independent thinking amongst students, it is going to have long-term political consequences." They respond, "That's inevitable; that's going to happen."

A wave of product-safety concerns over Chinese imports has developed due to the discovery of melamine in pet food, antifreeze in toothpaste, bacteria in seafood, and more. How will this affect China's export machine?

Like all of the product-safety scandals of the last fifty years, from thalidomide to Tylenol and others, it very much depends on how it's handled and whether people have confidence in the response. Some companies have been completely shattered by scandals like this, yet Tylenol had a situation where a product was contaminated, and it was brilliantly handled by Johnson & Johnson, the product remains viable twenty years later, and the company is strong. So how China responds is going to be critical.

China is one of the largest holders of U.S. debt, a fact many consider both a long-term economic and national security concern. What are your thoughts on this issue?

I don't mean to sound like the perpetual optimist, but China's holding our debt is somewhat reminiscent of the Mutually Assured Destruction doctrine of the Cold War. China has no incentive to precipitously flood the market with U.S. debt, driving up interest rates and causing a recession in the United States, because the U.S. is the major market for China's exports. China's holding of all these U.S.-denominated assets in a sense just strengthens the economic interdependence of the U.S. and China and in a curious way makes China unlikely to do anything massively disruptive. Now, the situation could deteriorate just as under various Cold War scenarios in which you could imagine China deciding it would hurt itself in order to hurt the U.S. more. But I don't see that. I think they are recognizing that the situation they are in isn't a great strategic advantage.

That is part of the reason that China is beginning to diversify its asset portfolio and, at least with its incremental reserves, trying to hold more in yen and European currency. On the other hand, this move to a government investment company, like Temasek in Singapore—to diversify out of holding government paper into holding real assets abroad—is also going to strengthen China's economic interdependence with the world. The values of their reserve will depend on U.S. and European securities markets. These are all probably very good signs, in terms of future interdependence growing so that they have stake in the health of the U.S. economy.

In the 1990s and after, trade flourished between the United States and China. Recently, however, a protectionist backlash has taken hold in Washington. How do you respond to such protectionism?

To me, it's astonishing that after 230 years in a free society that has benefited enormously over its history from the wisdom of Adam Smith, we don't remember his basic lesson. Protectionism is bad for everyone but the narrow interest groups that might be protected by certain particularistic legislation. The lesson in Adam Smith and the lesson today is that free trade creates wealth on all sides. Of course, there can be losers in the opening of countries to trade, such as particular industries that face competitive imports. The remedy is not to protect the inefficient industry. The remedy is to create adjustment mecha-

President Levin and Peking University President Xu Zhihong speak at a panel event during a visit of Yale personnel to China in May 2007. (Michael Blank/ *Yale Daily News*)

nisms to support transition of the home country's resources, labor and capital into other uses.

We had these debates around the Corn Laws in Britain in the 1840s. We had these debates disastrously around the Smoot-Hawley Tariff Act in 1930, which had a major impact on the length and severity of the Great Depression. It's just bad economics to talk about protection. I'm particularly disappointed that the Democratic Party is moving in this direction. Bill Clinton, whatever you might want to say about his eight years of service, was a consistent supporter of free trade and expanded its domain, and the U.S. and the world economy flourished as a consequence.

There are a couple of pieces of legislation under review now that would be deeply problematic. There is a bill that a Senate committee passed recently that could lead the way to the imposition of a countervailing duty on all the imports from a country with an undervalued currency. That's just a ruinous recipe. It's a very bad idea.

Is the currency manipulation real?

I think that the Chinese are clearly not letting their currency float to where it would go. I think for a number of years, until maybe two or three years ago, the current account was fairly balanced in China. Today, there is a big current account surplus. The currency should adjust in line with market forces, but you have to understand that there are reasons that the Chinese do not want to adjust it quickly. Prior to a couple of years ago, the main reason that they did not want to adjust it was the worry about the instability of their financial system. Liberalization hadn't taken place, and the RMB is not fully convertible within China. So they were concerned that they could have bank failures and a big collapse of their internal banking system with a revaluation. Today, that is less of a risk because they have successfully infused more reserves into the banking system. They have used over a hundred billion dollars of central reserves to strengthen their major banks. They have attracted foreign capital, so three of the four big banks now have investment from major U.S. and European banks. China's banks are in sounder condition than they were a few years ago.

The current argument against moving too fast is one of which most Americans aren't aware. If you raise the value of the RMB, rice imports from Southeast Asia would become much cheaper. The fear is that this would destabilize the agricultural sector. Falling rice prices in RMB terms would lower agricultural incomes throughout China. You still have more than half a billion people on the farm in China. Their standard of living has not risen while so much of China has had rising standards, so there is already a tension. To see a real decrease in the standard of living in the countryside would exacerbate social tensions in China. I think that's the main reason right now that they want the currency realignment to happen very slowly and very gradually. It's moved eight percent or so, but it probably should move twenty-five percent.

China's inflation rate hit a ten-year high in July, raising the possibility of further tightening measures and increasing concerns about an eventual knock-on impact on the real economy. The *Financial Times* has observed that high inflation rates triggered the social unrest that lead to the 1989 protests at Tiananmen Square. Is this a major concern?

The two big concerns for the future development of China and the two things that Hu Jintao is most worried about are the rising disparities in income and damage to the environment. There is concern that disparities in income will cause such social unrest that they will have to slow down economic growth. As for the environment, the Chinese are beginning to understand that it is not just the global impact of their actions that is important. The impact on health is coming home to roost. Emissions are reminiscent of what it was like on Los Angeles or Pittsburgh in the 1950s before we got serious about pollution control. They need to address these issues.

What's in store for Yale in China?

We continue to promote a wide range of student exchanges. Many of our students are going over there to learn the language, which is very positive. Increasing numbers of students are doing work internship programs in the summer, which provides a very good introduction for a lot of our students. There are an awful lot of recent graduates working in Beijing and Shanghai, and that is encouraging as well.

Institutionally, we have strengthened our joint research programs in Beijing and Shanghai, and the connections we have developed with university leaders and through the legal structure are all thriving. One new wrinkle: at our recent gathering of university leaders, I encouraged our Chinese colleagues to think seriously about sustainability initiatives on their own campuses. Just as we think we can help to model responsible environmental behavior in the U.S., so they might be able to offer a similar model in China. I got a very enthusiastic response to this suggestion. A number of schools—Tsinghua in particular—have incorporated state-of-the-art green technology into their new buildings. Schools like Tsinghua, Shanghai Jiao Tong, and Tongji, all of which are strong in engineering or architecture, are keen on advancing this agenda throughout China. There is hope that the university sector will provide some leadership on the environmental issues in China, which is very positive.

China as a Global Leader

An Interview with Elizabeth Economy

Conducted by Matthew Ellison

Elizabeth Economy is the C. V. Starr senior fellow and director of Asian studies at the Council on Foreign Relations. Her most recent book is *The River Runs Black: The Environmental Challenge to China's Future.*

In a January 25 column in the *Washington Post*, you wrote, "China's rise will be as disruptive and difficult as that of any other global power." Is this inevitable, or can other countries—particularly the U.S.—work with the Chinese to make this rise as smooth and undisruptive as possible?

I think that the policy of the United States for the past three decades has been to engage China and to try to ensure that as China rises, its rise is, in fact, as peaceful and non-disruptive as possible. I think that is the general approach of the U.S., of the EU, of most of the rest of the world. The point that I was trying to make in the piece really is that at a certain point in time, the responsibility really rests with China. The way that China conducts itself when it is abroad, the policies that it sets out to govern its foreign relations, how it deals with issues of transparency in its foreign policy—all these are things that, yes, the external world can help to influence, can try to persuade, but in the end, the responsibility and the right really rests with China.

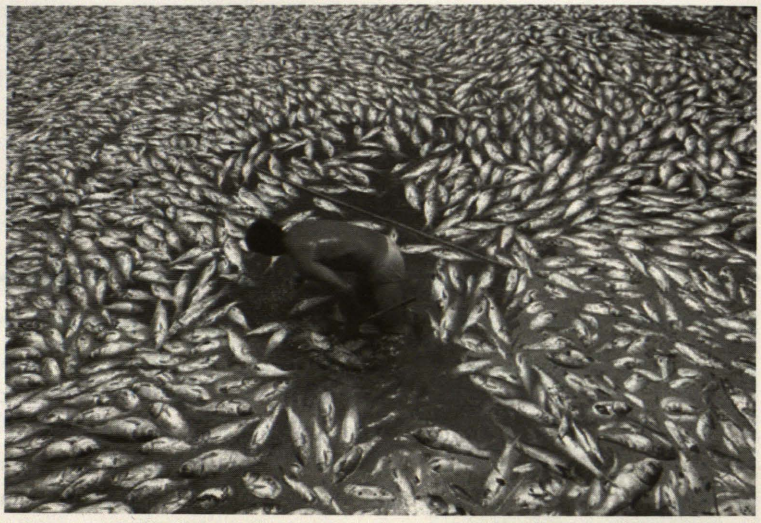
Conventional wisdom has long held that once capitalism emerged in a country, political liberalization was never far behind. But that does not seem to have held in the case of China. Why does China still remain politically authoritarian even as its economy has become more open, and how do you see this issue playing out in years to come?

Never say never. The jury is far from out as to how China's political system is going to evolve over the next decade or two. Chinese leadership has done a very effective job of opening its economy and has permitted a certain amount of civil society to develop while at the same time maintaining a relatively strong degree of political control. Nongovernmental organizations to some extent are flourishing in China. The media, while it has an uncertain relationship with the government, is certainly far more open today than it was a few decades ago. So there have been advances, but by and large the Chinese leadership has been relatively successful in maintaining a more repressive political system than I think many people would have anticipated. Having said that, I think the rubber is meeting the road. I think that the range of social, political, and economic challenges that China faces on the ground, whether you're talking about corruption or the environment or rural-urban income inequality or illegal land grabs. All of these things demand a level of real political reform in local governance. I think the Chinese government is reluctant to advance this kind of reform, but I think in the end it's not going to have any choice. There's really no other way to make local officials accountable. You simply can't pluck out every corrupt official from the country without some form of electoral reform.

What effect do you foresee the 2008 Olympics having on the politics and economy of China and on its foreign policy?

Six years ago when China won the Olympic bid, there was a lot of anticipation in the international community about how the Olympics were going to have transformative effect on China, particularly in the area of the environment. But I think more broadly, people felt as though we were going to see an opening up of the system, that this was going to be part and parcel of China's joining the international community. That kind of logic, that kind of understanding has pretty much been put to rest at this

point. I don't see the Olympics as having a profound impact on China's domestic political and economic situation. In terms of its foreign policy, I think that for the Chinese people, for the Chinese leadership, it certainly serves as a symbol of national pride. It serves as a symbol of China's revival as a great power, as a major player on the international scene. But I don't think that it has any real or far-reaching impact on its foreign policy. We're less than a year from the Olympics at this point. I think that if there were going to be this kind of transformative impact, we would have seen some sign of it by now.



A man is surrounded by dead fish in Donghu Lake in central China's Hubei province where in July 2007 an estimated 30,000 kilograms of fish died due to a combination of pollution and temperature. Dr. Economy points out that any advances China has made with regard to the environment are motivated by concern that environmental problems may cause economic downturn or social unrest. (AP)

An issue that has already had wide-reaching consequences throughout the world, including in the U.S. and Mexico, is the issue of low Chinese labor standards. China, because it gains many jobs from other countries with higher labor standards, is reluctant to change. How can we convince China to raise labor standards so that we can continue our productive economic relationship without engaging in a so-called "race to the bottom"?

I think there are two forces at work that argue toward improving China's labor standards. One is labor competition in China, which is certainly happening in some of the manufacturing industries, forcing increases in salary. Second is the degree to which multinationals insist that the factories from which they source, for example, operate at only the highest standards. A company like Wal-Mart, which sources down the supply chain from probably 60,000 factories, certainly can have a reasonably profound impact on labor standards if it so desires. There are at least those two forces at work, and there's probably a third—which is Chinese labor laws that are in the works, reflecting the growing insistence that the multinationals have labor unions. All of these things have the potential to ensure that, down the line, China's labor standards will rise. I would say that that's going to happen first in the coastal provinces and that we're still going to see the same kind of low labor standards in the interior part of China because it will take a longer period of time before we see those standards raised.

As the Chinese economy grows, it will consume more energy and emit more greenhouse gases into the atmosphere. According to a 1998 World Health Organization report, seven of the world's ten most polluted cities are in China. Acid rain falls on 30 percent of China's land area. What should the Chinese government do and what is it doing to grow in a more environmentally-friendly way?

There's no doubt that the leadership of President Hu Jintao and Premier Wen Jiabao places a high priority on the environment in large measure not because of the environment itself but because of how the environment is affecting a range of other social, political, and economic issues. For example, the environment is one of the leading causes of social unrest in China. Environmental degradation is impinging on economic growth in some areas of the country. The environment impacts public health. So I think we now have in China an awareness of the significant impact that the environment can have on the country's future political and economic development. The real issue is whether the Chinese government will be willing or able to put in place the political and economic incentives for local officials and local businesses to do the right thing when it comes to the environment. For example, China has on its books plans to reduce energy intensity by 20 percent by 2010, but they've already missed their 2006 target for this. So what are they going to do to change their progress? What kinds of fines are they going to place on polluting enterprises? Are they going to raise the price of natural resources to encourage conservation or more efficient use? China is in the midst of a building boom. Its buildings are two and a half times less energy efficient than buildings in comparable climates in other countries. How are they going to ensure that developers adhere to the new energy-efficient building codes, which to date, have had a compliance rate of about five percent? The real question is not whether China passes the laws, nor is it whether China is interested in doing the right thing. The real issue is whether China is willing and able to put in place

incentives or disincentives to make it easy for the people who hold the real power when it comes to developing the economy and protecting the environment—the local officials and the local businesses—to do the right thing.

Can the U.S. do anything to help China move down an environmentally-friendly path?

The international community as a whole is directly and enormously engaged in the environmental protection effort in China. China is the largest recipient of environmental assistance, both bilateral and from international governmental organizations in the world. Most every environmental NGO, many of which are based in the United States—Natural Resources Defense Council, Environmental Defense, Conservation International—are deeply engaged in China. China is the great frontier for environmental protection, not only because of the country's own environmental situation but also because of the impact that China has on the global environment.

Is there more that the U.S. government could do? Certainly. We could be more engaged. There are still some limits on the kind of aid that we can provide. The Environmental Protection Agency doesn't have much funding to do cooperative work with China. On the issue of climate change, we are engaged in the Asia-Pacific Partnership on Clean Development and Climate, which is an effort along with Japan, South Korea, Australia, and India to exchange information and help develop and implement new technologies to control greenhouse gas emissions. There are these kinds of cooperative ventures underway at all different levels. Some of our most environmentally proactive corporations like General Electric are working with the Chinese on energy efficient technologies or technologies that will help sequester carbon. There's an awful lot going on today between the United States and China.

When you think about China's environmental problems, the truth is, at this point in time, the real change, the real effort needs to come within China itself. There's no sense in doing yet one more energy efficient building demonstration project in China supported by a range of U.S. companies if in fact China doesn't have in place the mechanisms to take that demonstration seriously and have its lessons spread throughout the country. The real challenge is putting in place those economic and political incentives that make it worthwhile to protect the environment.

Another problem stemming from China's increased energy usage centers around, as you put it in your January 25 column, "China's insistence that it doesn't mix business with politics in foreign relations."

China's oil-driven economic relationship with the Sudanese government has severely complicated efforts to take action on the genocide in Darfur. How can the rest of the world convince China to soften this stance in Sudan and more generally with their policy of not interfering in humanitarian issues involving their oil suppliers?

First let me say that I think the issue goes beyond oil to include other resources, other commodities. It could be timber, it could be diamonds, it could be copper, so this is a challenge that is derived from, in part, China's global resource quest. It's not just a function of oil. I think there has been some evolution in China's position on Darfur, in particular. Ambassador Wang Guangya here in New York for example, from Sudan. This in part stems from a very long-term belief in a sort of principled stand on the issue of sovereignty—that every country has the right to determine its own political situation. This, of course, relates to China's desire not to have anyone interfering with their own domestic political situation as well. I don't see this changing any time in the near future. In fact, at the outset of the most recent National People's Congress, Premier Wen Jiabao mentioned pressure from the international community for China to step up and be more proactive and to shoulder more international responsibilities. But what he said was that China must resist these pressures and instead must focus on its own internal economic development. And I think that statement marks what I would call a preliminary resolution of an internal debate in China

Chinese workers assemble and test fiberoptic systems. Dr. Economy suggests that "China is already moving to improve its labor standards." (Steve Jurvetson)

about the role that the country wants to play as a global power, as a global leader. I don't think it means that China can't or won't be a partner for the United States or the EU in trying to resolve issues like Darfur. I think it does mean they themselves are not going to step up to the plate and start talking about the need for better governance in Zimbabwe. We're not going to have China becoming a proactive leader on these types of issues any time soon.

Your column in January was prompted by China's successful anti-satellite missile test. How concerned should the U.S. be about the growth of Chinese military power?

Actually, my column wasn't prompted by the successful anti-satellite missile test, but rather by what I thought was a misplaced focus in the United States on this so-called successful missile test, with people wanting to know who decided to do the test and why were they doing it. My point was really that the missile demonstrates nothing we didn't already know about China's military power. Our military already knew that China had this capacity; there was no great surprise to the Pentagon. What I was writing about was the aftermath of the missile test and the fact that it took almost two weeks for the Chinese government to provide any insight into why they had done it and that this lack of transparency and this capacity within the Chinese system is not actually what is disruptive. It's not the missile test in itself—it's the lack of communication and the way that China goes about doing its business that is disruptive. Despite talk of peaceful development or peaceful rise, when you look at China in Africa or South America or Southeast Asia, China supports some of the worst regimes without difficulty. The lack of good governance that China displays domestically is something that the rest of the world will have to deal with on the international front as well. So that was really the point of my piece. It wasn't about a growing military threat—it was really about the failure of China in the case of this missile test, in the case of SARS, in the case of the Harbin disaster, in the inability to be transparent, to talk honestly about its issues and its practices and its policies. That is the challenge that the rest of the world is going to have to confront.

The issue of public health was put in the spotlight by the SARS outbreak in 2002. With China's poor public health system and its lack of a free media to report on serious health threats, what steps can the international community take to prevent deadly diseases from developing and spreading secretly in China and subsequently throughout the world as a result of a lack of early knowledge?

The international community—the CDC, public health specialists from the United States, the United Nations, and the WHO—have been working with the Chinese. When we think about anything having to do with China's impact, whether it's on the global environment or public health or even something like intellectual property rights, what we're really talking about again are issues of governance, are issues of the social system and the social welfare system. Part of the problem in China is the issue of transparency, the issue of secrecy. When you look at something like SARS, part of the issue is the very, very weak public health infrastructure in the country, including the lack of access, particularly in rural areas, to health insurance. There's certainly much that the international community can do in terms of providing funding, in terms of providing information and assistance and the sharing of policy approaches, but in the end on any of these issues, it really boils down to what China itself is willing and able to do at the local level to develop the infrastructure to manage these problems. To date I think there is a serious interest and serious concern, but I don't sense the political will or drive to really transform the situation on the ground, because I think that kind of transformation brings into play other elements like a much freer media, like much more aggressive and active NGOs, and, again, even electoral reform for local officials that the Chinese leadership is simply unwilling to consider right now.

Obviously the U.S. has very little control on how the rise of China will proceed. But ultimately, in a perfect world, how strong does the U.S. want China to become?

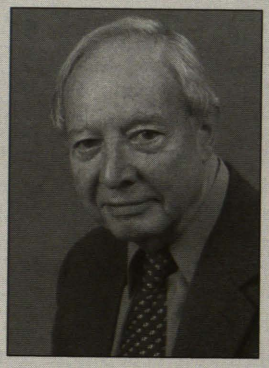
How strong the United States wants China to become depends on what China itself becomes. There was a time, I think, probably five, seven years ago when everybody was talking about and writing about the desire for China to be like the United States, but I don't think that is what we want. If we look at where the United States is today and the way that the United States behaves as sort of an exceptional power, meaning that it claims for itself the right to do things in the international system it doesn't grant to other countries to do. I don't think that we want China to follow exactly in our path. While we want China to be a partner and a responsible stakeholder, that also demands that we in turn be a partner and a responsible stakeholder.

There's clearly an evolutionary process underway in China, and there are elements of political reform that I certainly would like to see take place there that I think will have a kind of transformative effect on its behavior internationally. Rule of law, transparency, and good governance—all those things that China does on the domestic front matter for how it behaves on the international front. But I think at the same time as we're calling on China and hoping and looking toward China to be a partner for the United States, we in turn have to ensure that our own house is in order. P

Responsible Stakeholders

A Former Diplomat Addresses the Problems in U.S.-China Relations

By Harvey Feldman



Harvey Feldman, Distinguished Fellow in China Policy at The Heritage Foundation, helped plan President Nixon's historic visit to China in 1972. As director of the Office of the Republic of China Affairs, he established the successor to the U.S. embassy in Taipei and later helped draft the Taiwan Relations Act. He served as U.S. ambassador to Papua New Guinea and the Solomon Islands and as delegate to six UN General Assemblies and represented the U.S. on numerous international commissions. His books include *Taiwan in a Time of Transition* and *Constitutional Reform and the Future of China.*

Over the years, there has been a well-defined tendency in Washington, particularly among China specialists in the State Department, though rather less so in the Pentagon, the Congress, and the agencies of government concerned with trade, to avoid any real discussion of problems with China and its policies. The usual statement is, if we treat China as an enemy, it will become one. This assumes a frank discussion of problems will make China just that—an enemy—and so we had better not mention them. But doing so ignores the real possibility that minor irritants untreated become major, and that major irritants untreated can lead to real crises. It also means when dealing with China on, for example, trade problems, we do so in ways quite unlike any other trading partner.

But here, away from the government and the press, let's see if we can address in frank detail some of the more important issues in U.S.-China relations.

Let me begin with a kind of heresy. The greatest challenge I see to peaceful and constructive U.S.-China relations is not conflict over Taiwan, or disagreement over how to deal with North Korea, or escalating trade tensions. The greatest risk I see is a steady drift toward great power rivalry which over time can become truly adversarial relations. In Beijing, some see the United States as bent upon denying China its rightful place in the world. At the same time, publications of the People's Liberation Army in Chinese, though not in English, routinely and openly state that the United States is China's enemy and must be confronted. Meanwhile, in Washington, only a few are prepared to describe Beijing's policies as designed to undercut American interests around the world.

Let me be specific. While Washington works with other countries and with the United Nations to halt genocide in Sudan, China supports the government in Khartoum with oil deals, arms sales, and the threat of using its veto to protect Sudan from international sanctions. In Iran, whose nuclear programs are a concern to its neighbors, to the EU, and to the U.S., China supports Tehran with oil purchases and, again, arms sales. In Uzbekistan, within a week of international—including EU and U.S.—condemnation of a bloody crackdown on peaceful protesters, China honored President Karimov with a state visit, arms sales, and economic deals. China ostentatiously supports the evil Mugabe in Zimbabwe, undisturbed by his use of thugs to beat and send to emergency rooms his political opponents.

There are other trends. China works hard to keep the U.S. out of multilateral organizations in Southeast Asia. In the Shanghai Cooperation Organization (SCO), which links the Central Asian states with Russia and China, Beijing has vetoed observer status for America though granting it to Iran. We should note that under the SCO banner, China and Russia in August 2005 carried out major military maneuvers involving an amphibious landing and the use of strategic bombers.

Speaking of military matters, over the last several years Beijing has engaged in a steady build-up of offensive arms, including most recently an 18-percent hike in the published portion of its military budget. China already has more than enough arms to overwhelm Taiwan and has good relations with all of its neighbors, including, for the first time in history, Russia. One may well wonder against whom it is that China arms. By the way, the real military budget, expressed in purchasing power parity terms, is probably more than three times the published $45 billion figure, and so is more than any NATO member spends, other than the U.S.

In reality, there is little mystery in why China buys Russian surface combatants which were designed specifically to attack American aircraft carriers, as well as the very latest in Russian submarines and aircraft. And then there is the well-documented and extremely extensive network of Chinese spies attempting—often successfully—to tap into the most sensitive areas of the American defense establishment.

Note that I have said nothing so far about Taiwan, or human rights violations, or trade, or currency issues. As for the latter two, the major irritant is China's habit of turning a blind eye to piracy of intellectual property, even when it is done by State-Owned Enterprises or companies allied with the People's Liberation Army. I hope that, ultimately, as China itself becomes a major creator of intellectual property, it will see its own interest in dealing with these things. But meanwhile, despite promise after promise, little is done. Prodded by Congress, the U.S. has now, for the first time, filed a formal complaint with the World Trade Organization.

By just about any measure, China's currency is undervalued. *The Economist* believes it undervalued by about 20 percent. The International Institute of Economics, a Washington research institute, believes the figure is closer to 40 percent. Now, I do not believe that a major upward revaluation will solve the problem of America's trade deficit with China—likely to be in the vicinity of an astounding $250 billion this year—but, nevertheless, such a move surely would be seen as meaning China is moving away from its mercantilist view of international trade. More attention to World Trade Organization commitments about leveling the playing field would help as well.

As for Taiwan, despite the more than 900 short-range missiles that are emplaced opposite the island republic, I have to say I am quite optimistic that there will be no war. If China's leaders were truly Marxist, and therefore believed that economic relationships are determinative, they ought to sit back confident in the knowledge that Taiwan's investment on the mainland now totals roughly $220 billion; that there are about one million Taiwanese who live and do business in China; that increasing numbers of young Taiwanese come to study in Chinese universities. So no need to go to war, particularly since an unprovoked attack on Taiwan would almost surely involve the United States with consequences truly awful to all concerned.

Meanwhile, on the other side of the Strait, a majority of Taiwanese, if they could do so, would want to live in a state that was formally independent, and accepted as such by the international community. But in fact they understand that Beijing would feel obligated to intervene militarily were they to declare that formal independence. And so they settle for the status quo as the best obtainable under present circumstances.

For the American government too, preservation of the status quo is the present *sine qua non*. The Taiwan Relations Act, Public Law 96-8, states the U.S. determination that the Taiwan question be settled—if it is to be settled at all—without resort to arms. The current and past Administrations have said that any change in Taiwan's status must come about peacefully and with the consent of the people on both sides of the Taiwan Strait. You can think of this as a policy of "double deterrence" calling each side to maintain the status quo.

At this point, I should try to demystify the U.S. "One China policy." Beijing has something it calls the "One China Principle," and it goes like this: there is but one China in the world, its capital is in Beijing, and Taiwan is a province of that China. The American "One China *policy*" is quite different and it goes like this: we will have diplomatic relations only with China, but we will have every other kind of relationship—economic, financial, immigration, and for the sale of defensive weapons—with Taiwan. Back when I was involved in formulating U.S. policy on this issue, I coined the following mantra: the U.S. will not propose a solution, for that is up to the parties. The U.S. will not oppose any solution that is acceptable to the two sides freely and without coercion of any kind.

Finally, I want to commend to you the excellent summary of U.S.-China relations, and where they should be going, given in a speech given by Robert Zoellick when he was deputy secretary of state on September 21, 2005 to the National Committee on U.S.-China Relations. For those who may not know much about him, Mr. Zoellick has for years been one of America's foremost thinkers about international relations, and before becoming deputy secretary of state, the number two job in that department, was for four years the United States trade representative. He is now president of the World Bank.

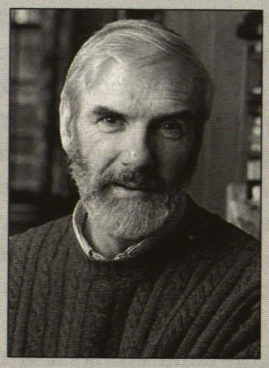
He began by stating, "It is time to take our policy beyond opening doors to China's membership in the international system. We need to urge China to become a *responsible stakeholder* in that system." As a "stakeholder," said Mr. Zoellick, China would be more than a member of the international system. It would work to sustain the international system that has contributed so much to its success, rather than just riding free of charge. "Cooperation as stakeholders will not mean the absence of differences—we will have disputes that we need to manage. But that management can take place within a larger framework where the parties recognize a shared interest in sustaining political, economic, and security systems that provide common benefits." He went on to point out, as one example among many, that great states, members of the world trade community, ought not allow the blatant piracy of others' intellectual property and that realistic steps to prevent proliferation of weapons of mass destruction and their delivery systems should be seen as the common goal.

I could not think of a better explanation of what we want from China, and what it should want for itself. P

The Search Continues

An Interview with Jonathan Spence

Conducted by Tom Kidd



Jonathan Spence, Sterling Professor of History at Yale University, teaches in the field of Chinese history from 1600 to the present and on Western images of China since the Middle Ages. He is a past president of the American Historical Association. His books include *The Search for Modern China.*

Despite unprecedented changes in China today, what would you, as a historian, point to as China's most notable echoes of the past?

One can answer that by looking at these areas of change, the biggest of which today might be the ending of the population dominance in the countryside and the ending of farm work as the stable occupation of most Chinese. Where you had about ninety percent of the population living in rural areas at the beginning of the Revolution in the 1930s and into the 1940s, that figure has dropped dramatically, to just above fifty percent today. We see now in China infinitely more mobility, infinitely more urbanization, less reality of people being tied to the land.

Another huge area of change is the internationalization of China as a force in the world. Everything from all the various trade agreements to its active role in regional organizational structures to the Chinese interest in the Middle East and in Latin American products and China's search for resources—all of this is recent.

With that as a kind of preamble, the elements of the past that are still very much with China include a very concentrated and secretive leadership without any particularly valid broad-based rationality to the political system. You also get complicated interpretation of the law when the law is still very much dominated by the feeling and practices of the central government, which as I said is very much a closed system. So the attempt to create legal structures is slow and difficult in China, with the additional difficulty of creating constitutional structures.

We quite often point to the effects of the family structure in China as we try to work out the effects of single-child policy in a system that historically has been geared to larger families and the possibility of family businesses. There is still in financial institutions and banking a lack of real independence. It is very much tied to controls from the center, though a new aspect is a growth in Chinese entrepreneurs who attempt to make their own way in a new system, so that's an area of growth and change.

You view history from a unique lens, considering not only pervasive trends, but also individuals and their impact on the course of events. In a nation as large and diverse as China, to which individuals would you point as the most influential figures in the nation's twentieth century history?

One would have to include Mao. But Mao is some ways was influenced by early leaders like Sun Yat-sen. Though in some ways Sun Yat-sen was seen as not entirely effective as an individual leader, I think ideologically he set a pattern for different types of growth in China. With the formation of the Untied Front and attempts alliances, there's no doubt that he had a very formative impact.

One tends to answer such a question with political figures, but that isn't necessarily the key factor. You could argue that Qian Sanquiang, by developing atomic bomb potential in China, meant that the nuclear physicists had an extraordinary impact on the society. He represents someone who is college-trained in China itself but then deepens his study and comes back to transform the country. So who's to say that in one hundred years' time someone like Qian might not seem more important than someone like Sun Yat-sen?

If we look for rival figures within the Communist Party, we would nowadays look at someone like Deng Xiaoping, who

certainly had influence over the last thirty years of the twentieth century. His policies were similar in some ways to those of Mao's, or an offshoot from them.

Some people might mention Zhou Enlai; some might mention Chiang Kai-shek. Had Chiang Kai-shek been a rather different person China's history might have been considerably different as well. But that's the trouble—we can never know. Had there not been a Mao, would there have been someone else doing the same thing? It's hard to see exactly the same person emerging because people are unique. We could take people in terms of saving lives—there may well have been agricultural experts who developed certain strains of rice that are much more resistant to disease and actually helped more Chinese with their livelihood than we'd ever known before. And hydraulic engineers—for instance, the people who put the Yalu River back in its channel after it flooded—and those generals who were dominant in the Korean War and in Manchuria who stood up to Mao. Deng was willing to criticize the Great Leap when hardly anyone else was willing to join him.

In creative arts, I don't think we'd have anyone as powerful as Lu Xun, whose fiction stands as a testament to the power of the pen. He believed he could transform the Chinese people, and—whether or not he actually could—certainly many thousands of people were moved by his writings.

In light of Western influences on the nation, in your view, has China maintained its traditional roots and Confucian values? In what ways has the country remained true to its own character, and in what ways has it adopted Western values?

That's a very hard question. We truly don't know. The government is seeking some kind of ideological bonding so that the central administration can relate to intellectuals. I would think that for many, many people Confucianism is more or less a rather empty term, although there is amazingly brilliant study of Confucian text in China right now. Some very bright Chinese scholars are deeply interested in their early history and philosophy. And they see the different values that dominate Confucianism rather than, for instance, Christian or Muslim or Marxist traditions. There is a possibility that China has certain core values that somehow can be reincorporated into the political system. In a way this was attempted in Taiwan, where we saw more overtly—or at least allegedly—Confucian education. Chiang Kai-shek claimed to have strong Confucian influences through his family and teachers.

On the mainland, I think people—including the government—are anxious to find a sort of ideological anchor, but I don't think they feel they have found it, and I don't think Deng felt that he'd found it. But he did believe he could release national energies in the economic sphere. But nobody since Mao in Yan'an has had a vision of letting all the Chinese think it all through for themselves. In fact, the Hundred Flowers Movement is probably as close as that has come. When you add Tianamen in 1980, many tens of thousands of people did try to express themselves in a critical way. Whether they really had a strong alternative values system is not so clear. They obviously had elements of democracy that Americans and Europeans would relate to.

But, again, how to integrate the idea of democracy with China's needs is not an easy thing to do at all because we're guessing which aspects of these ideologies will work, and nobody's had a democracy with so many people in one country before. India, of course, has done very well, and it is a better model than the West for looking at China. To try to understand how India has survived and allowed individual freedoms to grow is perhaps a key model that China should be thinking about.

From a historical standpoint, how do you assess the relationship between China and Taiwan? What is your take on the One China Policy? Should we see China and Taiwan as two distinct nations?

Again, given the historical background, my feeling is that in something like international law, it's rather a mixed record. I don't believe that China really dominated Taiwan until the 1680s. In a sense, as part of the warfare settlement, China yielded Taiwan to Japan in 1895 because of international agreements among the Americans, the Nationalists, and the Russians. China regained Taiwan in 1945 after the Japanese surrender. The Communists, of course, never occupied it so it became Nationalist so that the Chinese state has twice had occupation. The first time, the Manchus were from outside China, so I suppose you could say it was a Manchu imposition of order on Taiwan. And then Chiang Kai-shek was on the losing side of the Civil War, but he happened to gain the occupation.

So, did China yield Taiwan at the Shimonoseki Treaty? Did the Nationalists legally take over Taiwan in 1945? Or has the People's Republic had a valid claim since 1949 because of the unification of the rest of China? I don't think anyone has an absolutely firm answer to any of these hypothetical situations. People have strong views, but I don't think in terms of law you have any easy solution. China and Taiwan have certainly evolved into two very different societies, but with a rather similar ethnic base, each with a strong Han Chinese presence, but also other indigenous peoples as well. I'm inclined to think they were two separate societies, but two separate societies can eventually make one federal system or one kind of united political entity. It's hard to say that they're two countries,

but they're certainly two societies.

What lessons from history can we draw from China's relationship with North Korea that might help current efforts to negotiate this very complicated and potentially dangerous international crisis? Will China play a role in diplomatic negotiations and a potential peace settlement?

My feeling is that what we learn from the history between China and North Korea is that China will not tolerate—if it's able—the influx of a major power into the Korean peninsula. They will try to stop that at all costs. That's precisely what they did in the late Ming Dynasty, when the Japanese invaded Korea and the Chinese then helped the Koreans get rid of the Japanese in the 1590s. In the 1890s, when Japan began to put a lot of pressure on the royal family in Korea, the Chinese again tried to help expel and weaken the Japanese. That was disastrous, but they did try, and the result was that they lost control of Taiwan and also Japan colonized Korea. But when the Japanese colonized Korea in 1910, the Chinese were too weak to do anything about it, and so that's a different tragedy. But then in 1950, we have the decision I see as ultimately Mao's, but with some sense of history behind it, for China to come in to stop the defeat of North Korea as the United Nations forces approached the Chinese border.

So in the current negotiations with North Korea, I think China is very wary of Korean nuclear capacity but feels that it has a much stronger nuclear capacity and much stronger ground and air forces. I think China's dominant feeling about the current Korean negotiations is that it has more at stake than the Americans or other international entities such as SEATO or the European Union. So China, without having any kind of occupation of Korea since very early periods of time, has still been very watchful about a need to control the North Korean border, if it can, to keep it as a kind of safety zone. China will be careful about who holds power North Korea. I think it will stay that way—it's absolutely their backyard. I think China should have a very strong say. Korea is strategically crucial to China—it gives access to the whole of Manchuria and the whole of the North China plane. China's got to be watchful about Korea.

Despite recent advances in the realm of individual land ownership, authentic political liberalization seems a distant hope in China. Why does China remain politically authoritarian as its economy becomes more open? How will this issue play out in years to come?

Mao Tse-Tung addresses supporters in December 1944. Professor Spence points out several figures in politics in culture who have been central to the formation of modern China. (National Archives)

Well, it could and might change quite rapidly. And changes in land policy would be one example, I think. Certainly the attempt to stop compulsory purchase of one's land or home or farm is a major step forward. But there hasn't been any automatic connection between greater prosperity and greater urbanization. There hasn't, as of yet, been a correlation with greater democracy. That could change with the government's policy. Local elections that are held at the rural township level have sometimes had write-in candidates but are usually dominated by Communist-nominated candidates. So though there has been a kind of display of distributive justice, it's not very well established. That will take time, and it might be very chaotic.

I think the Chinese are particularly watchful about the former Soviet Union and trying to see how they might avoid the kind of crisis the latter fell into when everything disintegrates at once. I'm not particularly optimistic about that—I don't know how it will transform itself. China hasn't had a true mass election since 1912—that's a very long time. And so it depends on the public's sense of party legitimacy and how much of that spills over into a meaningful constitution that has some force to it.

So, the search for modern China continues?

If you see part of modernity as some kind of constitutional democratic structure, the search goes on—I'd agree to that. P

The Prospect of Peaceful Reunification?

Reflections on China's Taiwan Policy

By Jing Huang

Jing Huang is a senior fellow at the John L. Thornton China Center of the Brookings Institution. His recent book is *Inseparable Separation: The Making of China's Taiwan Policy.*

The Taiwan issue has remained the "core" interest of the People's Re public of China (PRC) ever since its establishment in 1949. From Beijing's perspective, Taiwan happened to be among the first pieces of territory China had to concede to "imperialist powers"—in this case Japan—after the Opium War in 1840, and it remains the only one that still is separated from the motherland after China reclaimed its sovereignty over Hong Kong in 1997 and Macau in 1999. Thus, the "Taiwan problem" involves not only China's national sovereignty and territorial integrity, but also national pride and the accomplishment of the "the nation's rejuvenation." Moreover, although over 15 years have passed since the end of the Cold War in 1991, Beijing still sees Taiwan, with its substantial military capability, as a potential threat, given that both the Yangtze and Pearl River deltas, where nearly 50 percent of China's economy and 40 percent of its population are located, are within the striking distance from Taiwan.

Yet the reality is that the Republic of China (ROC) has maintained its rule on Taiwan since it lost the Civil War on the mainland and withdrew to the island in 1949. Moreover, the PRC can hardly afford to "liberate Taiwan" by force because of the devastating political, economic, and military consequences to both sides of the Taiwan Strait as well as the entire East Asia. Thus, while retaining "reunification" as the ultimate policy objective, the first and foremost task of China's Taiwan policy is not necessarily to bring the island back to the "embracement of the motherland," but, more urgently and challengingly, to prevent Taiwan from becoming independent of China. Four generations of Chinese leadership—Mao Zedong, Deng Xiaoping, Jiang Zemin, and Hu Jintao—have concentrated on preserving Taiwan's de jure inseparability from China despite the de facto separation between the two sides of the Taiwan Strait.

After the normalization of U.S.-China relations in 1979, Beijing has remained uncompromising on its "one-China principle," that there is but one China and that Taiwan is part of China. In practice, its Taiwan policy consists of three major components aimed at preventing Taiwanese independence. First, Beijing has worked relentlessly to isolate Taiwan in international affairs. Nowadays, only 24 states have diplomatic relations with the ROC, and virtually all the international organizations have refused to admit Taiwan as a member with sovereign statehood. Secondly, with an economy-in-command approach, Beijing has made a remarkable effort to promote economic integration across the Taiwan Strait. As a result, the mainland has long become Taiwan's largest market as well as the biggest destination of investment. Now over 80 percent of the island's trade surplus—over $200 million in 2006—comes from the mainland. Last but not least, Beijing has maintained a high degree of military pressure on Taiwan. As a matter of fact, the military balance across the strait, which had been miraculously maintained for over 60 years, now begins to tilt toward the mainland due to China's remarkable military buildup in the past decade. This mounting military pressure, as Beijing claims, is to keep a "creditable deterrence" against Taiwan's independence, rather than preparing for achieving reunification by force.

Meanwhile, Beijing has been casting a wary eye upon the "separatist forces" in Taiwan and the "foreign forces supporting Taiwan independence," with the latter being seen as a far greater threat for the obvious reason that the "Taiwan separatist

forces" could hardly prevail without international "instigation and support." In this regard, it is ironic that despite Beijing's insistence that the Taiwan issue is an "internal affair," international politics, especially the inalienable U.S. factor and its implications for overall Sino-American relations, have always weighed heavily in the making of China's Taiwan policy.

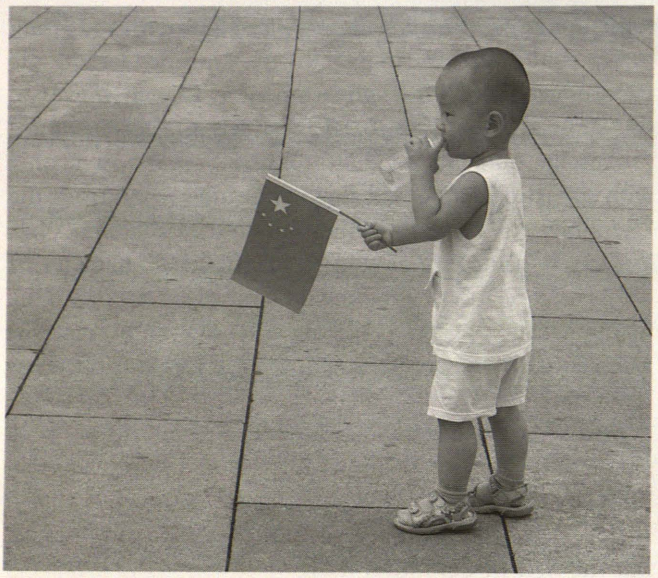
But essentially, it is China's growing integration in, and its deepening interdependence with, the international system since the early 1990s that have inserted an increasingly important international dimension into China's Taiwan policymaking. As a result, while never ceasing to emphasize the "domestic" character of the Taiwan issue, Beijing has nevertheless evinced a keen interest in developing some degree of coordination, or even cooperation, with the international community—primarily the United States—in maintaining peace and stability in the Taiwan Strait, which is in turn intertwined with the prospects of sustained peace, stability, and prosperity in China as well as the Asia-Pacific region. Nowadays, China's Taiwan policy is no longer made to merely address the problems of cross-strait relations per se, but has become an integral part of Beijing's "peaceful development" strategy centered on promoting regional stability and prosperity as well as Beijing's own "strategic interests"—particularly its relations with Washington—in the international system, a system in which China is now a "stakeholder."

This subtle but significant change has been clearly shown since President Hu Jintao's rise to power in 2003. Noticeably, Beijing has ceased to strive for the "early accomplishment of the reunification of the mother land" but for "the prospect of (eventual) peaceful reunification." In practice, the Chinese leadership advocates for the promotion of "peace, stability, and development in cross-strait relations." This newly adopted *pro-status-quo approach* reflects Beijing increasing confident that time is on its side as China is ascending to be a global power. More importantly, this approach has not only enabled Beijing to regain the much needed policy flexibility in engaging the persistently pro-status-quo majority in Taiwan but also maximized the "strategic common ground" with Washington, upon which the two great powers have entered into some sort of de facto co-management of the Taiwan issue. Indeed, Beijing now shares a mutual interest with Washington in maintaining cross-strait peace and stability and keeping the "Taiwan separatist forces" in check, lest their increasingly reckless provocations destabilize the entire Asia-Pacific region.

Nevertheless, the status quo across the Taiwan Strait is vulnerable and ultimately transitory. First and foremost, the three cardinal players in the Taiwan issue—Beijing, Taipei, and Washington—are *not* of the same mind in defining the "status quo" in the Taiwan Strait. For Beijing, this status quo means that "although the motherland is yet to be reunified, the two sides of the Taiwan Strait belong to one and the same China." To the current Democratic Progressive Party (DPP) government in Taiwan, however, this status quo signifies that Taiwan has already become a "sovereign and independent country" on its own, only with its national title and flag continuing to be from the "Republic of China." Washington, on the other hand, has astutely remained ambiguous as to the legal character of cross-strait relations, although it has always considered the maintenance of peace and stability in cross-strait relations as essential to the status quo in the Taiwan Strait. Essentially, the U.S. definition of the status quo is not fixed, but depends on Washington's assessment of the cross-strait situation and its implications for regional peace and stability. In other words, what really matters for Washington is not necessarily the definition of the status quo per se, but the *right* of definition itself.

Moreover, on both sides of the Taiwan Strait, there

At a Taiwanese independence march in Taipai in March 2006, citizens hold green placards, the color representing the Taiwanese political faction generally on the side of independence, as opposed to reunification. (Steve Leggat)

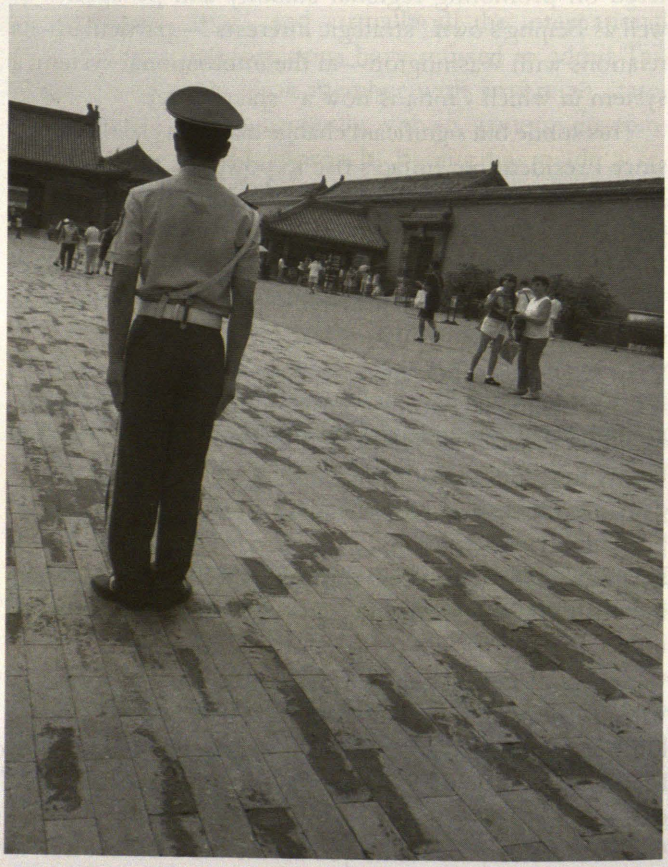


A child holds a small Chinese flag near the Forbidden City. Dr. Huang writes that to maintain its "one China" policy, Beijing has adopted a multi-pronged strategy involving political, economic, and military coercion. (Carol Duh/*The Politic*)

exist strong political forces in pursuit of changes to the status quo. In Taiwan, a formidable and substantial political movement has been relentlessly pushing for Taiwan's de jure independence; whereas on the mainland, clamors for "the motherland's reunification" have remained strong and constant. To complicate the matter further, this status quo, signifying neither "reunification" of China nor "independence" for Taiwan as yet, is not shored up by any legally binding formal agreements among the three cardinal players in the Taiwan issue. As a result, it has become increasingly difficult, if not yet impossible, for the United States to maintain this status quo alone, not only because of the increasing capability, influence, and confidence of a rising China, but also because of the apparent determination of the "Taiwan separatist forces" to "push the envelope"—as evidenced by President Lee Teng-hui's and later President Chen Shui-bian's repeated "provocative surprises" to both Beijing and Washington.

Fortunately, Beijing's current pro-status-quo approach on the one hand and Chen's reckless provocations on the other have cleared the way for the de facto Sino-American co-management of the Taiwan issue in recent years. Nevertheless, this de facto co-management also has its own vulnerabilities: without any formal agreements between or even recognition by Beijing and Washington, it is practically an ad hoc mechanism for crisis management rather than an institutionalized arrangement for long-term stability and peace. In this regard, Beijing and Washington need to make joint efforts to transform this ad hoc mechanism of crisis management into one of strategic management of the status quo in the Taiwan Strait, with an eye toward maintaining and promoting their shared long-term interests in peace, stability, and prosperity in the region.

Given the vital importance of a peaceful and prosperous environment to the long-term development of both China and the Asia-Pacific region, it remains a formidable challenge to, as well as a great opportunity for, the Chinese leadership to manage and eventually resolve the Taiwan issue peacefully and constructively in the best interests of people on both sides of the Taiwan Strait as well as the international community. Toward this end, not only does Beijing need to seek further consultation and cooperation with the international community over the Taiwan issue, but, more importantly, it must promote cross-strait dialogues and reconciliation, not just with the opposition party Kuomintang, but, more importantly, with the DDP administration in order to develop mutual trust across the strait. Ultimately, only when the two sides of the Taiwan Strait truly join hands in forming a veritable "community of common destiny"—as Beijing recently took to describe cross-strait relations—can an enduring "framework for peace, stability, and development in cross-strait relations" be established and perpetually maintained. P

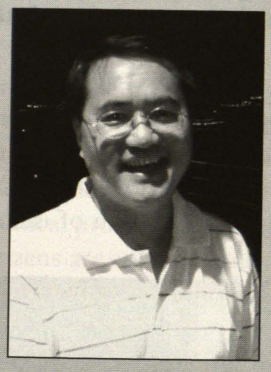


A Chinese police officer stands at attention nearby. According to Dr. Huang, in the last decade, Beijing has placed a buildup of military forces near the Taiwan Straight in order to intimidate the movement for Taiwanese independence. (Carol Duh/*The Politic*)

Hong Kong's Democratic Wing

An Interview with Lee Wing Tat

Conducted by *The Politic* Staff



Lee Wing Tat is a member of the Legislative Council of Hong Kong representing the western New Territories. He was chairman of the Democratic Party from 2004 until 2006 and chairman of the Hong Kong Association for Democracy and People's Livelihood, a pro-democracy political party, from 1986 until 1990. In 2005, his candidacy for chief executive of Hong Kong was invalidated by the Election Committee, resulting in an uncontested election.

How did you become involved in politics?

I am unique in that I did not devote many years developing another career before being inspired to enter politics. I have been involved with politics since and all through university—I was vice-chairman of the Hong Kong University Students' Union—and a few of my university buddies and I founded the Hong Kong Public Policy Research Centre. After graduating from university, I taught high school for a few years before jumping into politics.

As one of Hong Kong's leading democratic activists, why do you feel democracy is so important for your constituents?

Hong Kong was under British colonial rule for over 150 years, and since its return to China in 1997, we have been considered a Special Administrative Region under the "One Country, Two Systems" policy. We have autonomy in most domestic issues, but China controls our defense and foreign affairs. This system is very young; there is none like it in the world or history. Can China and Hong Kong remain united with such fundamentally different systems of governance? That is the question we have to resolve within the next few decades.

The Basic Law is Hong Kong's version of a constitution, but amendments must be approved by the National People's Congress, which is headquartered in Beijing. They denied the possibility of universal suffrage for the election for chief executive this year. Hong Kong citizens were not directly involved in this decision, and, unfortunately, this interpretation delays Hong Kong's democratic development.

Nevertheless, we have our own Legislative Council, with the chief executive as the head of our government. Amendments to Basic Law require a two-thirds vote in the Legislative Council to pass. However, the amendment must then be approved the Hong Kong delegates to the National People's Congress, and the chief executive has veto power. The system we have for determining domestic policy is far from perfect. One of the biggest issues in Hong Kong is that of universal suffrage. Right now, 800 people have the power to choose our Chief Executive. Since there are almost seven million people living in Hong Kong, this means that only about one one-hundredth of one percent of the population selects the leader that represents us to the world. Universal suffrage is certainly the goal—Article 45 of Basic Law stipulates that Hong Kong should achieve universal suffrage at some point—but it's the road to that end that remains controversial and rocky. The Democratic Party had hoped for universal suffrage by 2007 or 2008, but since 2005, have revised that goal to 2012.

How do you remain so committed to democracy even as the democratic popular vote has cost you past elections? Being the candidate favored by China surely would make for easier career advancement.

The defining moment of my political career occurred in 2000 when I lost my bid for reelection and my seat in the Legislative Council. Perhaps this was due to the structure of the proportional representation system, but this was not the first time I was thrown out of office. In 1997, the legislature was disbanded and was replaced by the Beijing-appointed Provisional Leg-

islative Council. There were nineteen Democratic Party Legislative Council members; we and our allies were removed from office for a while. That was different situation, however, because in 2000 I was removed by will of the people. Chairman Mao had a saying, "It doesn't matter whether the cat is white or black as long as it catches the mouse." I believe differently in this situation—whether it was a committee in Beijing or the people of Hong Kong granting me my authority, it makes all the difference.

When the people of Hong Kong removed me from office, it forced me to reflect upon my role and influence as a leader. During those years, I faced a difficult decision as to whether or not I should run again four years later. Should I try other fields not so fickle? After debating the issue intensely within myself and consulting with my wife, I realized that I would miss my job too much if I didn't try again. I loved directing policy and championing the will of the people, even if was not easy. When I meet with young people, one of the most important pieces of advice I offer them is to above all, find a job that you like. It is worth it, even when it is not easy.

After running again and winning, I recognized the positive influence of that loss on my ability to govern. I appreciated going into work every day because I knew what it was like to not be able to step through those doors of the legislative chambers. Leaders cannot take their role for granted because then they forget whom they are working for—the people. Democracy is good for the people, of course, but it is even better for our leaders. My loss made me support even more heavily the system that took away my power.

What are your hopes for the future of Hong Kong?

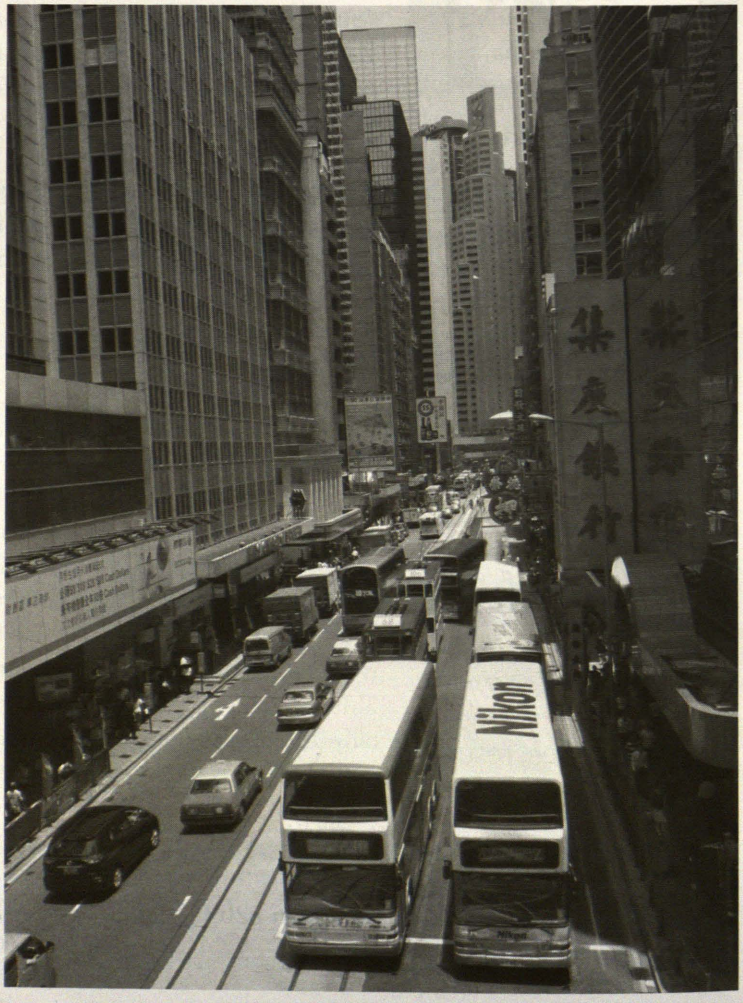
According to the Sino-British Joint Declaration of 1984, we can retain our autonomous way of life for at least fifty years. China has very high respect for Hong Kong, especially for all of our enormous economic growth. We've been ranked as the world's freest economy for thirteen years, and China looks up to us for that. They are trying to mirror this growth in their own cities.

I am especially proud of how Hong Kong has rebounded from 2003. The SARS epidemic was terrible for Hong Kong—a time of enormous change. The unemployment rate was eight to nine percent. A lot of changes were made to attract more visitors to Hong Kong. It's so important to expose citizens to people from all different places so they can make their own decisions about what they want for their government.

However, my dearest hope is that we again spend some time developing the rich culture of Hong Kong. When you visit other cities like Beijing, you can't help running into the glorious culture of China. The mainland cares about things like the Beijing Opera and the preservation of historical relics. Music and art are so key to the spirit of a country, and I worry that Hong Kong will be so obsessed with developing our economy that we will neglect developing culture. This will be an enormous disservice to our country. We must serve our spirits just as passionately as we seek to fill our pocketbooks.

In what political initiatives have you played the greatest role?

I chaired the Panel on Housing, pressuring the government to improve its policy and speed up housing production. Housing construction in Hong Kong shot up almost sixty percent. Hong Kong is a collection of islands



A Hong Kong street scene. Councillor Lee states, "China has very high respect for Hong Kong, especially for all of our enormous economic growth. We've been ranked as the world's freest economy for thirteen years, and China looks up to us for that. They are trying to mirror this growth in their own cities." (Carol Duh/*The Politic*)

with a booming economic growth and population but a limited housing stock. The cost of housing continues to rise, and it is very important for the government to keep rents under control or assist with the provision of public housing. More generally, I am also committed to issues of human rights, the environment, and transportation.

How would you describe citizen political involvement in Hong Kong? What are the average citizen's political beliefs?

Since the return of Hong Kong to China, the average Hong Kong citizen has become increasingly involved in the political process. There has been detectable growth in general interest in the political process. However, on an absolute scale, citizens are still not really that "active," so there remains an enormous amount of room for improvement.

The public does not have much trust in the system of electing the chief executive, as it is an election that does not involve the citizens directly. Citizens do not even have much power to nominate candidates they believe suitable for the job. One student I spoke to described his participation in choosing his leader as like being an audience member watching a performance. During election season, the media will write about and air question-and-answer sessions with the various candidates and release articles about each of their merits and flaws. Nevertheless, why should the average citizen care too much if there is not much he or she can do about the outcome? Local elections, on the other hand, such as for the Legislative Council, allow the average citizen to get involved in the process in a meaningful way.

A memorial in Hong Kong to the victims of the "Tiananmen Massacre" also states on its base, "The old cannot kill the young forever." Councillor Lee asks, "Can China and Hong Kong remain united with such fundamentally different systems of governance? That is the question we have to resolve within the next few decades." (Carol Duh/*The Politic*)

The line is drawn pretty evenly between those supporting total reunification with China and those supporting democracy. The general consensus is that the older generation tends to prefer a strong relationship to China while the younger generation prefers the democratic movement. However, many observers believe that young peoples' preferences will switch as they age because they will prefer protection and stability to greater freedoms. Editorials sometimes attribute this tension to more traditional tendencies to accept and be content with one's surroundings and more recent incidences of popular demand for change in Western nations.

You often work with students as part of your activism. What advice do you give them?

Class is the least important part of college. The pontificating of professors and pundits to a packed lecture hall can only take you so far. Truly great teachers come in many forms, only some of whom you will find in the classroom.

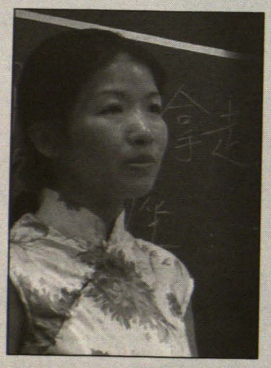
One time, I had been campaigning at a university dorm, talking to and debating with students in their lounge. It was three in the morning before they were exhausted and ready to go to bed. As soon as those students had climbed up the stairs to bed, those who had been out all night were returning home. I started talking to them, and we were up until daybreak. My favorite all-nighter in university.

In general, though, society should be concerned about developing the next generation of leaders. It is of utmost importance that students be urged to participate and inspect closely the actions of their government, whatever form it may have. P

Revolution and Suspicion

Sexuality Issues in Contemporary China

By Sun Zhongxin



Sun Zhongxin, who was a visiting scholar at Yale Law School's China Law Center last year, is a professor of sociology at Fudan University teaching China's first undergraduate course on homosexuality.

Revolutionary changes in the field of sexuality are taking place every year, if not every day. Yet there are still many people who would prefer not to acknowledge the "sexual revolution." However, no one denies that Chinese sexual attitudes, behaviors, ideology, and relations have changed dramatically in the past decade of reform and opening up of this country. Many of these changes have found expression in the public forum through a variety of behaviors and ideas. These include, but are not limited to a separation of sex and marriage, such as pre- and extramarital sex; a separation of sex from love and child-bearing such as Internet sex and one-night stands; an increase in observable sexual diversity such as homo- and bisexual behavior and fetishism; an increase in socially acceptable displays and behaviors of female sexual desire; a boom in the sex industry; and a more open discussion of sex topics, including sex studies at colleges, media reports, formal publications, on-line information, extensive public health education, and public displays of affection.

As can be seen by these developments, China no longer exerts strict control over personal sexual behavior. Sex is increasingly considered something personal and can now be differentiated from a traditional system that featured legalized marital sex and legal controls over childbirth. The reduction in controls on sexual behavior has initiated a freer atmosphere for sexual expression. More and more people now regard sexual rights as basic human rights, so that everyone has the right and freedom to pursue his or her own sexual happiness.

Change in the field of sexuality reveals not only a change of sexual attitudes and behaviors but also a series of related social changes via the process of social transformation. From the sociological perspective, there are at least eight main factors that have created the current turning point in the contemporary Chinese social context.

The Market Reform and Opening-Up Policy

China's reform and opening-up policy has caused a series of great changes in Chinese society. The denial of the ideals of the Culture Revolution, during which sex was used as a political tool for the control of the people, is an influential factor in making these changes. During the Cultural Revolution, individual sexual preferences were supposed to give way to lofty revolutionary ideals. Extra-marital affairs were portrayed as a derogatory lifestyle, and pre-marital sex was immoral. Homosexuality was illegal and would be punished under the statutes for hooliganism. A person had to be sexually well-behaved in order to get a promotion or advance in his or her career.

Reforms in the area of sexuality show a lessening amount of government control over the individual private life. Many sex-related problems and personal lifestyles are no longer relegated to the field of politics and thus exempt from severe legal punishment or moral condemnation. Sex has been returned to the personal sphere under the domain of self-management. These changes can be seen in the weakened interference and control of the government in sex-related areas, strengthened sexual resources in the open market, a diversity of sexual lifestyles, and a strong appeal for sexual rights as human rights.

For instance, the government's control of personal lives has gradually retreated since the passing of the new marriage registration principles in October 2003, which again simplified the processes of marriage

A Chinese woman looks past a public health message warning against AIDS. According to Professor Sun, such messages are increasingly common in an increasingly open society. (Carol Duh/*The Politic*)

and divorce. The committed parties no longer need certification or confirmation from their place of work or the local Resident Committee to get married or divorced. The pre-marital physical, which among other things once contained an indication of the woman's virginity, is no longer obligatory. The new principles reflect a greater respect for human rights, a protection of marital freedom, and a change in the governmental function with regards to sexual issues.

At the same time, some major social policies have also played an important part. For example, the side effect of the family planning policy is to promote a separation of sexual behavior from reproductive purposes. If a couple can give birth to one child only, sexual behavior is no longer solely practiced to produce babies but also for pleasure. Changes in the legal code have reflected this while also publicly acknowledging sex as a pursuit of happiness.

Stable Economic Development and Consumerism

Under current policies, the social economy has seen stable and sustainable growth, especially in big cities. Material wealth and an increase in quality of life have brought optimism and consumerism which continually send messages to the individual that it is acceptable to seek sexual happiness.

Various sex products are now openly sold in the market. Sexual information is spreading directly or indirectly through such public media as street-side advertising. Fewer people turn away when they see intimate behavior between lovers in public. Condom vending machines are seen on campuses. Products for safe sex are available in convenience stores around city. Even major radio and television stations have started picking up on sex-related topics. Educational programs on sex have become popular. Video shops, big or small, sell sexually oriented films produced either by domestic or foreign directors. More sexual information can also be quickly and easily found on the Internet. Intermingled information, good or bad, has pushed aside many of the traditional sexual taboos and thus shaken the norm of sexual practice.

The pursuit of profit may well push sexual minorities such as gays and lesbians to appeal for their rights not just for legal reasons but also to tap into their particular market niches. In a stable, developing economy and consumer culture, an emphasis on individual enjoyment and a respect for differentiation and diversity are now well established and perhaps even flourishing in an atmosphere of confidence and optimism.

The Rise of the Middle Class in China

When we talk about social change in contemporary China, we cannot ignore the great changes in and reorganization of social stratification. One of the most important features is white collar workers—the rise of the new middle class in China. The new middle class tends to stress their personal happiness and pay more attention to their own quality of life.

Based on my observations, all the visible sexual changes—including gay culture—can be considered middle class culture. Most of the related website owners and participants belong to the white collar workers group. The new lifestyle in sexuality fields such as the DINK—double income, no kids—family, single groups, and cohabitating couples who violate the traditional sex norms are led by middle class people. They are also the target groups for most gay bars, dating parties, so-called "dating on Saturday" programs, and sports groups, among others, in Chinese cities.

The rise and growth of this middle class has the potential to produce various sexual emancipation discourses, including homosexuality, to break the silence.

Popularization of Higher Education

Popularization of higher education has become one of the major changes in Chinese education. According to

recent statistics publicized by the Shanghai Education Commission, the gross entrance rate into higher education in Shanghai is 55 percent, ranking first in the country. Beijing comes a close second, at 53 percent. In the same year, the nation's gross entrance rate into higher education has not yet reached 19 percent. More than half of the population aged 18 to 22 in Shanghai and Beijing can get access to some form of higher education. At present, only a few countries, such as Canada, America, Finland, Korea, and New Zealand, have achieved such levels of higher education.

The impact of higher education cannot be underestimated. The younger generation may adopt a different sexual ideology from their elder generation because they have more opportunities to access the human and social sciences. They are more geared toward the pursuit of equality, freedom, and self-realization.

At the same time, society pays more and more attention to elite intellectuals such as professors, researchers, lawyers, and policy-making consultants. Their opinions and ideas are expressed to the public in media reports and at conferences. The spreading of knowledge is the most forceful way to eliminate sex discrimination and sex inequality.

Feminist Discourse in China

Gender equality is one of China's national policies. The Cultural Revolution slogan "Women can hold up half the sky" is well known. Many organizations and centers for gender were established after the Fourth UN Conference on Women was held in Beijing in 1995. The government sponsored the conference and then signed the UN documents pledging gender equality, and official women's organizations and feminist activists and scholars have been fighting against gender discrimination and working on achieving gender equality. Their struggle has permeated many aspects of the people's social lives.

Mainstream feminist discourse in China tends to ignore sexuality issues, considering those topics either unimportant or as stirring up unnecessary trouble. Nevertheless, the critical thinking of feminist discourse has challenged stereotyped gender roles, including sexuality roles. The latter especially has influenced many young people.

The role of feminist discourse in the field of sexuality has been to redefine a woman's sex role. It criticized the double standards of sex between women and men, which included traditionally held norms such as that men should be aggressive and active, women passive and inactive; that men should have stronger sexual desires and women weaker; that men should be sexually experienced before marriage but women retain their virginity; that women should not ask too much for sex and should consider men's satisfaction as their own. The critical feminist discourse is also rewriting the gender views in Chinese society. Some feminist scholars have started to emphasize women's sexual rights and the diversity of sexuality among Chinese women. Thus China's sexual revolution is also women's sexual revolution, as evidenced by these trends.

The Role of the Media and the Internet

The media is the catalytic agent of sexual revolution in China. The Internet, too, is one of the most prominent agents wielding important influence among the Chinese people through promoting alliances, sharing knowledge, and providing a platform where various voices can be heard. We have noticed that many informal homosexual social networks originally developed through private websites. There are numerous individuals who come to accept their sexual identity mainly because of the Internet. It is obvious that the Internet is a powerful channel for people to find sexual partners, to organize offline activities, or just simply to have access to sexual knowledge and sex-related information.

Urbanization in China has been accelerating the sexual revolution by providing people with more private space and freedom to enjoy sexual pleasure, as compared what was afforded by the traditional countryside way of life. The Internet provides even more powerful support and makes it possible for many people to remain anonymous, to surf the Internet from one website to another, to write their own blogs, and to express what they want in an environment where there is no prying by co-workers, neighbors, or other peer groups—where no gossip about their behavior exists.

Opening the Door: AIDS and Sexuality

Recently, the importance of AIDS prevention in China has been stressed by both the global society and the Chinese government. Such an increase in concern can be a double-edged sword for the sexual revolution in China. It provides both opportunities and risks. Sexuality has to be openly discussed because of AIDS concerns. For example, in the summer of 2005, China Central Television discussed the topic of AIDS under the title "Homosexuality: Confronting is Better than Evading." Scholars and activists have gained the legitimacy to talk publicly about the so-called "high risk" groups such as gay men and sex workers and have been developing strategies to work together with the government, replacing strategies of attacking the "evil" with models for caring for those at risk.

Sexuality, including homosexuality, has started to enter the public forum. The whole process is still ongoing, but it is breaking the silence on sexuality taboos. AIDS concerns also bring funding, and many organizations are working to fight the illness. The related knowledge and information on sexuality is spreading continuously among Chinese people, and it also strongly helps people to overcome the stereotypes, bias and ignorance regarding AIDS and health and sexuality issues.

Globalization and the Alliance of Social Forces

It has become hard to close the door on globalization since China adopted the policies of opening up and market reform. What does globalization mean in regard to the sexual revolution? It means that there should be many people traveling across countries and from one region to another in China. It means information sharing, product sharing, capital flow, and value sharing, which increasingly includes some basic understanding of sexual rights, gender equality, and human rights. The country's various projects on sexuality, reproductive health, and AIDS prevention each have raised people's awareness of sexuality. Some non-profit international or national organizations are also working in China, while at the same time the international academic community, together with Chinese scholars, is sponsoring workshops and conferences for research on sexuality.

Though this sign might not actually reflect growing freedoms and permissibility in Chinese culture, Professor Sun identifies definite changes in attitudes, even if behavior itself has been slower to change. (Carol Duh/*The Politic*)

Conclusion

Some argue that because the sexual revolution is Western, it is therefore foreign and chaotic, and that becomes the basis for the judgment of whether it is good or bad. In fact, it is not so simple at all.

Having analyzed from a perspective of social change the institutional basis for the sexual revolution in contemporary China, it can be seen that the sexual revolution has deep local roots and that social policy, political reform, economic development, and the rise of middle class in China have all led to the change of attitudes toward sexuality. However, there are a few turning points created by the development of the Internet, AIDS prevention concerns, and globalization. The change of attitudes, far more than the change of sex behavior itself, reflects a dramatic change in Chinese society during the past few decades.

There are a few important highlights of the sexual revolution in contemporary China. First, it stresses the pursuit of sexual rights by individuals and makes sexual knowledge and discourse available to the public. Second, it features the retreat of state control from people's private sexual life, while market and media are now playing more important roles in social life. Third, sexuality can be separated from the marriage and childbirth systems and from gender stereotypes. Fourth, it means more for some social groups than for others, and, to some extent, we can argue that the sexual revolution is focused on women's sexuality and homosexuals' sexual orientation. Now is an historic period for women in redefining their sexuality and for people who have different sexual orientations in setting up dialogues among each other.

However, we should not ignore the fact that the sexual revolution has never been an equal experience in China. Imbalanced socioeconomic development among different groups means that certain social groups—particularly the poor, women, people with lower social status or no access to information—are most likely to be exploited. This limits the scope and intensity of the sexual revolution.

There is no single voice for the changes in the Chinese people's sexual lives. Conservative and liberal forces are always negotiating with each other. One focus lies in the argument over the advantages and hidden risks of the sexual revolution, especially when we describe the dramatic changes in the Chinese sexual life as a "revolution."

Although there are not so many scholars engaged in sexuality studies in the social science field, and the sociology of sexuality is still a marginal field, the voice claiming sexual rights and freedom is louder, or at least can now be heard. Meanwhile, the various facets of the sexual revolution have raised a claim for more feasible strategies and countermeasures, such as advocating sexual education for young people, raising public conscious about safe sex, fighting against all kinds of discrimination and ignorance, protecting women's rights, advocating respect for diversity, equality, and harmony, and teaming up with all the social forces such as the non-profit organizations, government organizations, and academia.

Bulldog in Beijing

A Profile of Ambassador Clark Randt, Jr. '68

By Tom Kidd '08

Tom Kidd is a senior History major in Yale's Trumbull College from Greenwich, Connecticut. He serves as National section editor for *The Politic*.

Clark T. Randt, Jr. has been intimately involved with China for over 30 years. His first experience in China came while at Harvard Law School, where he received an East Asia Legal Traveling Fellowship to China. After receiving his Juris Doctorate from the University of Michigan in 1975, Ambassador Randt returned to China where from 1982 to 1984 he worked in Beijing as first secretary and commercial attaché at the U.S. Embassy. He then moved to Hong Kong, where for 15 years he worked as a partner at the international law firm Sherman and Sterling. In 2001, President Bush appointed his fellow 1968 Yale College graduate ambassador to the People's Republic of China. Today, Randt stands as the longest-serving U.S. ambassador to that nation.

Having lived in Asia on and off for three decades, Ambassador Randt tends to take a long-term view with regard to China's development. While many in the U.S. focus on China's human rights abuses and its authoritarian government, he makes the point that in the past 30 years, China has seen tremendous economic liberalization and, to a lesser extent, a growth in political freedom. For example, newly appointed Minister of Health Chen Zhu is only the second person in his position not to have been a member of the Communist Party, perhaps a symbol of China's growing political openness. Ambassador Randt also points toward the democratic elections that are occurring on a small scale in rural China. While these elections have been criticized as being essentially meaningless in the face of the Communist Party's strict central control, they again represent a trend toward political freedom in China that did not exist even a decade ago. While these changes may be, as Ambassador Randt says, "occurring at a glacially slow rate by congressional standards" they are occurring and are changing the face of Chinese politics. While he does not envision full-blown democracy any time soon, he would not rule out a "China-style" democratic system. For instance, the Chinese government has studied democratic governments around the world, and Ambassador Randt believes Chinese officials could tolerate a one-party democratic system such as the one currently in place in Singapore.

China's recent economic and political growth gives credence, in Ambassador Randt's mind, to the policy of engagement that has governed U.S.-China relations since the 1970s. He said of China's 1.2 billion people, "They aren't going anywhere. ... If we want to treat them as enemies, then they will be our enemies." He credits the United States' relatively open policy of helping China along a path of economic growth and overall liberalization.

Yet, despite China's spectacular economic growth in recent years, Ambassador Randt advises caution when dealing with the Chinese government. While China may be a one-party state, its government is filled with vying factions just like any other nation. He noted, for example, that China's much-publicized test of space weaponry earlier this year was administered by People's Liberation Army officials without the knowledge of other Communist higher-ups such as the foreign minister. Just as the United States has a political faction warning against the power of a rising China, China has a relatively small, if vocal, group of political figures that

President Carter welcomes Deng Xiaoping to the White House in January 1979. Ambassador Randt is continuing the diplomatic legacy of Presidents Nixon and Carter in advocating engagement and openness toward China. "If we want to treat them as enemies," he says, "then they will be our enemies." (National Archives)

view the United States primarily as a potential threat. In Ambassador Randt's mind, it is important for the U.S. government to foster a relationship with China that promotes the policies of the more moderate side of the Chinese Communist Party.

In many ways, China stands at a tipping point in its political development. While the outlook for its booming economy remains bright, many wonder whether political rights will accompany China's economic growth. Having seen firsthand the tremendous strides the Middle Kingdom has made in the past few decades, Ambassador Randt has a relatively hopeful view of future political development in China. It is a path he believes the U.S. and China must travel together, firmly maintaining that for China to move toward political liberalization, the U.S. must foster an active and healthy relationship with the government of the People's Republic of China.

President Bush welcomes Chinese President Hu Jintao to the White House in April 2006. Economic interdependence between the two nations has increased significantly since President Nixon's historic first visit to China. (AP)

A Culture of Capitalism

China's Bottom-Up Economic Revolution

By Harry Greene '08

Harry Greene is a senior Economics and Mathematics major in Yale's Branford College. He spent the 2005-06 academic year studying Mandarin on a Light Fellowship in Beijing. This past summer he interned at a Beijing-based hedge fund that invests on behalf of university endowments and charitable foundations.

In March, the Chinese National People's Congress adopted a new private property law, the latest in a series of economic reforms challenging the constitutional characterization of China as a socialist nation. Western media outlets clamored about the latest step away from what Chinese politicians already refer to almost wishfully as "'socialism' with Chinese characteristics." Yet, while much has been made in the media of this alleged policy-led charge towards capitalism, most analyses overlook the societal phenomenon at the heart of Chinese progress—the *culture* of capitalism already flourishing in the markets and hutongs of every Chinese city.

The Chinese long ago embraced free market economics on a micro level, even as their government clings to the vestiges of "socialism with Chinese characteristics." This phenomenon holds enormous promise as the impetus for continued political and economic progress, and American officials, in shaping foreign policy, must be mindful of the role of Chinese culture in advancing further economic growth and correcting injustice in the Middle Kingdom.

Capitalism rests on three fundamental principles: the private ownership of property and means of production (as protected by the new law); the freedom to engage in competitive transactions; and the accumulation of profit. Essential to the latter two is a predisposition to the means and ends of this system—that is, a culture emphasizing the spirit of competition and the quest for profit.

In this country, we embrace our culture of capitalism patriotically. "Rugged American individualism" and the oft-touted "American dream" together define the two requisite ingredients for a prosperous capitalist system: a willingness to compete and a hunger to win. In China, while CCP officials discuss "Chinese socialism" and "harmonious society," regular citizens eagerly embrace the practice—if not the theory—of free market economics. Their culture of capitalism has driven the country's torrid growth and realized a modern economic miracle.

Chinese capitalistic tendencies are by no means the result of recent economic reforms. Rather, they seem to have lain dormant in China throughout the Great Leap Forward and the Cultural Revolution, which diverted national passion toward more ideological pursuits. This can be seen most clearly in the immediacy with which China embraced capitalism once given the opportunity. Without a culture of capitalism, the Chinese might have taken years to understand and adapt to shifting rules and an evolving economy. In 1979, when premier Deng Xiaoping first encouraged free market policies on a local level, capitalism exploded across Chinese society. News broadcasts from that era show the Chinese holding auctions for lucky license plate numbers with the fervency of citizens in a newly democratic country lining up to vote in their first elections. A single policy spark had ignited the culture of capitalism that continues to fuel Chinese growth.

Today, capitalism continues to flourish throughout China, supported by urbanization, increased mobility, capital inflows, and the underlying cultural affinity for owning and earning. Consider Beijing's famous Silk Market, the colossal ten-story indoor flea market located near the city's center and a microcosm of modern Chinese society. Founded in 1985 amidst the fervor of Deng's opening up of the economy, the Silk Market exudes sheer commercial energy, housing over 1,700 retail vendors peddling everything from pirated DVDs and counterfeit North Face fleeces to jewelry and tea. Thousands of

A cycle rickshaw driver speeds past traffic. Greene writes that ingenuity on the micro level, rather than concerted public policy, is responsible for China's economic boom. (Carol Duh/*The Politic*)

young salesmen rush to and fro, hawking their wares in at least five different languages. "Cheap! Cheap! Pianyi! Barato! Preisgünstig!" They often physically grab customers, pulling them into their booths and away from the other vendors. Then there's the bargaining: most fundamental to the Chinese economic culture is a seemingly innate fluency with negotiation that would make any economics professor or Wall Street trader proud.

True to the country's capitalist nature, almost everything in China is negotiable. Whereas Americans bargain only over expensive items like houses and cars, the Chinese haggle over everything from chewing gum to boiled eggs. I remember my first attempt at buying deodorant, after the Beijing summer quickly left me rather uncomfortable. At a toiletries vendor, among green-tea-flavored toothpaste and a tubular washing device purporting to prevent all STDs—"Directions: just use after sex!"—I found a travel-sized imported Neutrogena on display.

"Eight yuan for this," I offered—roughly one dollar. "No way, no way! Forty yuan!" the salesgirl countered; then, in an insightful analysis of my willingness to pay, "You need this—you smell really bad!" I responded with evidence of my price elasticity and a plea for empathy: "Please, I'm just a poor student. I'd rather be smelly than broke." In an appeal to quality, she hastily opened the deodorant and applied it to her own underarm, saying, "Come have a whiff. It covers up everything!" I declined, both the whiff and the product itself, foiled by the capitalist spirit of this nation.

In Darwinian fashion, vendors at the Silk Market and across China rapidly adapt and improve their selling strategies. Vendors compete to be most persuasive, most aggressive, or most approachable; vendors of both genders perfect the art of flattery and charm. They invoke carefully rehearsed expressions of incredulity or disgust to use in negotiation. And capitalist motivations lead to competitive learning, as well: if T-shirt vendor Wang speaks only Chinese and English, while nearby competitor Zhang has mastered basic sales phrases in Spanish and German as well, Wang will quickly see his European market share disappear. Indeed, judging only by the sheer number of languages spoken, the Silk Market rivals the United Nations in linguistic sophistication.

Clearly the Chinese have a passion for free market competition. Simultaneously driving the evolution of their economy is the widespread obsession with image and success. Only decades after the class system collapsed into identical hairstyles and Mao suits, many Chinese today take great care to project affluence and class. Embracing materialism in all its glory, they often ask about the cost of others' possessions while casually explaining the value of their own. While few enjoy coffee, some Beijingers enjoy frequenting Starbucks to sit in the window and be seen; many purchase overpriced logo mugs to impress friends and strangers alike. Many also take advantage of widespread piracy, carrying fake Louis Vuitton bags and wearing knock-off Gucci shades; some even put fake Mercedes and BMW decals on cheap domestic cars. Most onlookers will correctly guess the truth about these accessories, but the lingering doubt proves irresistible to the wearer. Chinese even revel in projecting status through cell phone numbers. Numbers with the digits six and eight are considered lucky and therefore are in high demand, so carriers charge more for these numbers, with the result that a person with a business card riddled with sixes and eights seems exceedingly rich and influential. Fours, on the other hand, are considered very unlucky and base, as that number in Chinese sounds like the word "die." While not all Chinese believe that six and eight are lucky, all understand that they are expensive, and that the number four, however dangerous or evil, is undoubtedly quite cheap. With cell phone number 4111 3404, I struck out in bars and clubs across the Middle Kingdom.

Given these capitalist tendencies, it should come as no surprise that the Chinese have already embraced the new opportunities for personal success introduced by economic reform. As the PRC allowed for foreign joint ventures and privately owned businesses, entrepreneurs quickly moved beyond flea markets and underground piracy into the realm of corporate innovation, sparking a gilded age of Chinese business that hearkens back to America at the turn of the nineteenth century. In the 1970s, Chinese spoke

with awe of such loyal CCP servants at Comrade Lei Feng, the People's Hero, who dedicated his life to Maoist ideas. Today, Chinese speak with similar reverence of the capitalist successes of their own time.

Consider Yang Guoqiang. Yang grew up planting rice and working construction in the city of Foshan in southern China. In 1997, inspired by Wal-Mart and other tales of Western achievement, he founded a private real estate firm, Country Garden, to take an "assembly line" approach to housing development for China's rapidly growing middle class. Yang acquires large stretches of distressed public land, slices them into small lots, builds moderately priced homes, and sells individual properties at huge gains. Based on Western business principles and aspirations, the idea worked: in March, Country Garden went public in Hong Kong, leaving Yang and his family with a cool $9 billion.

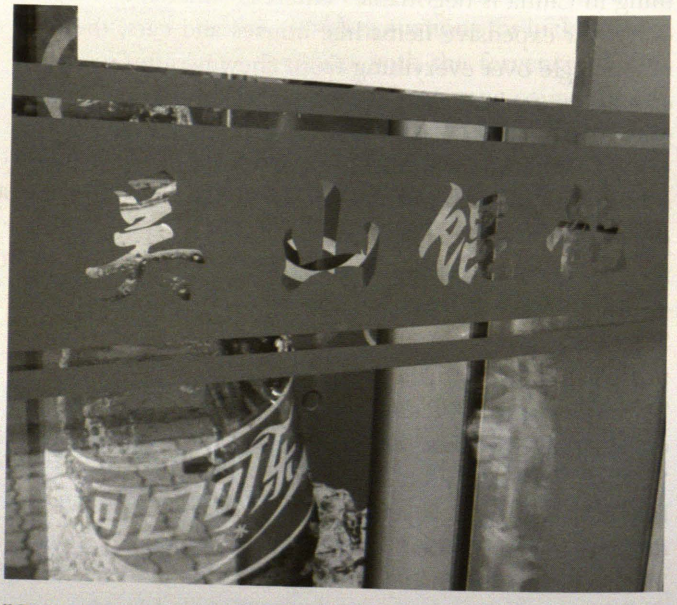
Another capitalist icon, Jason Jiang, realized one afternoon in early 2002 that he spent nearly ten minutes a day waiting in lobbies for slow Chinese elevators. Staring at an unremarkable seventeen-inch poster, Jiang saw his opportunity immediately: by replacing basic posters with small plasma TV screens, he could display video advertisements to millions of bored Chinese every day. Jiang promptly founded Focus Media, acquired rights to install his screens in scores of elevator lobbies, and inked deals with large Chinese and foreign advertisers. Less than five years later, Focus Media has reached a market capitalization of over $4 billion, and Jiang—who quit his corporate job back in 2002—is now worth well over $500 million.

Far from statistical anomalies, such entrepreneurial success has entirely recast the Chinese economy. While the CCP clings to its endorsement of "socialism with Chinese characteristics," private enterprise, essentially non-existent prior to 1979, now represents at least a majority of the Chinese economy. Government reforms like the new property law have helped some, but Yang Guoqiang and millions of others clearly discovered ways to innovate and succeed without any private property law in place; Chinese culture, not politics, continues to drive progress in the Middle Kingdom.

Many still consider China a socialist nation. State censorship, rural land seizures, and dusty Maoist rhetoric reinforce the illusion of a planned economy dictated from the top. Trade imbalances, currency manipulation, carbon emissions, and human rights violations often dominate political discussions about China. Indeed, China has a long path ahead as it evolves into a developed, progressive international power, and governments and non-governmental organizations alike should continue to pressure the Middle Kingdom to hasten its political evolution and to ensure basic liberties and protections for its citizens.

At the same time, American foreign policy toward China must recognize the value of supporting Chinese economic progress. Economic growth has already lifted millions from destitute poverty and famine, saving lives on a scale rarely seen in history. While development has been concentrated in urban centers, urbanization and mobility offer new opportunities to the rural population as well. Additionally, the culture of capitalism and the fondness for Western culture and philosophy already budding amongst the Chinese people will gradually lead to a heightened appreciation of basic human rights and justice; already, internet-savvy Chinese look to blogs and proxy servers to facilitate dialogue on liberties and rights, and many Chinese take particular interest in the American political process. In time, this evolving worldview will manifest itself in progressive political and governmental reform as the PRC looks to maintain its grip on power by ceding to popular appeals.

American foreign policy must reinforce this cultural trend by strengthening economic, diplomatic, and cultural cooperation between the two nations; the U.S. stands to gain a strong partner in its own quests while rescuing millions from the backwardness that plagued China during the years of official diplomatic non-recognition. Entrance into the international community has fostered a culture of capitalism throughout China and inspired Chinese to work for prosperity and growth instead of ideological uniformity. The PRC has no choice but to keep pace with gradual reforms. Reinforcement of Chinese economic freedom is the shortest route to correcting social and political injustice in the country; shunning China will only damage its Western-friendly culture and risk a relapse into the horrors of the previous era. P



"Socialism with Chinese characteristics" increasingly resembles capitalism as foreign investment grows and the Chinese people develops a taste for luxuries such as soft drinks. (Carol Duh/*The Politic*)

Light and Truth in the Far East

A Critical View of Yale's Relationship with China

By Nathan Tek '09

Nathan Tek is a junior Political Science and International Studies major in Yale's Jonathan Edwards College from Tenafly, New Jersey.

This March, I had the opportunity to travel with a group of Yale students to work as an election monitor in Mauritania, where I witnessed the country's first truly free and fair presidential election. Through my conversations with election workers, voters, and political leaders, it became clear to me that whether Mauritania holds more free and fair elections in the future depends, to some extent, on how much oil lies beneath the country's swath of the Sahara. In February 2005, Mauritania become Africa's newest oil exporter, and already China imports millions of barrels of Mauritanian oil and the state-owned Chinese National Petroleum Corporation has obtained four permits for further exploration. If the experience of other African nations is any indication, the growing Chinese involvement in Mauritania might not bode well for the health of democracy or human rights there. For years, the Chinese government blocked the UN Security Council from imposing sanctions on the government of Sudan for no reason other than to protect the ten percent of China's oil imports that comes from Sudan. The genocide in Darfur rages on. China's billions of dollars in aid, loans, and trade deals with Zimbabwe have propped up Robert Mugabe's brutal dictatorship. As China imports extractive resources from countries like Nigeria and Kazakhstan, it exports in return only instability and corruption.

China's blatant disregard for human rights in its foreign policy derives from its blatant disregard for human rights in its domestic policy. Ranging from suppressing religious minorities to harvesting the organs of prisoners, the abuses of the Communist government are well-documented and wide-ranging. Media, including the Internet, are tightly controlled, political dissidents are jailed and abused, and democratic elections are either non-existent or shams.

But Yale University and President Levin have been willing to overlook China's domestic and international transgressions in their concerted effort to build ties with Beijing. The material manifestation of Yale's close relationship with the Chinese government is that Yale is one of the few foreign institutions allowed to invest in "A-shares," which are considered the most lucrative shares in the Chinese securities market. A-shares include state-owned monopolies in industries such as mining or transportation. Such access to premium shares that recently closed at record highs has undoubtedly contributed to the stellar performance of Yale's $15 billion endowment.

Not surprisingly, Yale has reciprocated China's favor. Yale undertakes numerous partnerships with Chinese universities. When President Hu Jintao came to speak at Yale last year, the event was so tightly scripted that, according to the *Yale Daily News*, a CNN reporter was thrown out of Sprague Hall for merely attempting to ask Hu a question. Those who protested Hu's visit were to be confined to the New Haven Green, off-campus and blocks away, and only after an ensuing outcry did the university administration allow the protesters to use Old Campus. In May 2007, the university sent a delegation of 100 students, faculty, and administrators to China on a junket rife with photo-ops that included meetings with government officials and tours of cultural sites. Ultimately, Yale's warm re-

lations with the regime in Beijing are similar to the 2008 Olympics, in that both serve the interest of sanitizing the government's international image and distracting from its glaring human rights abuses.

Yale's support for the Chinese government stands in stark contradiction to the university's mission and values. The 1975 Woodward Report, the official policy of Yale University regarding free speech, begins, "The primary function of a university is to discover and disseminate knowledge by means of research and teaching. To fulfill this function a free interchange of ideas is necessary not only within its walls but with the world beyond as well." Yale does not convey the importance of the free interchange of ideas when it establishes a joint undergraduate program with Peking University, where administrators have stated publicly that "professors who refuse to accept the dominance of China's Communist Party should not be allowed to teach." President Levin does not convey the importance of the free interchange of ideas in his numerous addresses to Chinese university administrators and Ministry of Education officials when he address safe subjects such as scientific research but fails to publicly encourage the promotion of academic freedom. Yet a report by the American Association of University Professors bemoans the fact that in China dissident academics are fired or placed under surveillance and that the "Ministry of Education honors politically loyal followers by appointing them as instructors in Ph.D. programs, whether or not they are qualified."

Last year, Yale took a principled stand for human rights when it divested from companies that have oil interests in Darfur. But the university has made no public statements or taken action regarding China's human rights policy—abroad or domestically—other than glib statements such as Assistant Director of Public Affairs Gilda Reinstein's comment to *The Daily Princetonian* that "we are aware of what's going on in the world." By failing to hold China to account, the Yale administration is offering its tacit approval of the Communist government's human rights record.

One can hope that Yale will use its financial and diplomatic ties to Beijing to encourage reform. As President Levin said during his introduction to Hu Jintao's speech last year, "we are hopeful that the development of your economy will be accompanied by continued expansion of the rule of law and strengthening the rights of individuals." But there is no precedent for a dictatorship ceasing its oppression simply because it has been asked politely to do so. The lip service both Yale and Beijing give to democratization does not correspond to any concrete reforms; China's Freedom House ratings for political freedom and civil liberties have remained steady at "not free" for as long as the data have been kept.

A child plays on China's Great Wall. Though the nation has taken some progressive steps recently, its problems are still sufficient to justify a more cautious and critical approach in relations with it, writes Tek. "Ultimately, Yale's warm relations with the regime in Beijing are similar to the 2008 Olympics, in that both serve the interest of sanitizing the government's international image and distracting from its glaring human rights abuses." (Carol Duh/ *The Politic*)

Yale certainly has numerous strategic advantages to exploit from its partnership with the Chinese government and Chinese universities. It has the chance to influence the future scientific, cultural, and political leaders of the world's largest developing country and to establish its reputation to a nation of one billion. And Yale students have much to gain from studying Chinese history and culture. But how willing our university community is to sacrifice its missions and ideals in order to realize these benefits should be the subject of dialogue on campus. Given that the Yale administration has yet to initiate such a dialogue, one can only wonder whether, instead of Yale influencing China, China will end up influencing Yale. P

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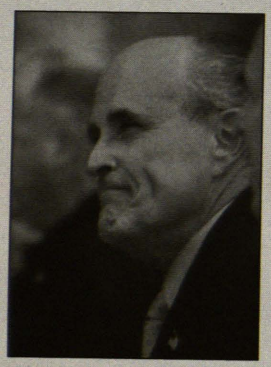
America on Offense

An Interview with Mayor Rudy Giuliani

Conducted by Maggie Goodlander



Rudolph W. Giuliani served as mayor of New York City from 1994 until 2001. After leaving office he founded Giuliani Partners, a security consulting business, and became partner in the law firm Bracewell & Giuliani. A former U.S. attorney, he is currently a candidate for the 2008 Republican presidential nomination. If elected, he would be the first mayor elected president without having held a higher office. (Photo by John Brian Silverio)

I had the chance to talk with Mayor Giuliani during one of his trips to my home state, New Hampshire. I boarded the "JOIN RUDY 2008" bus on a sweltering August afternoon where "America's Mayor" sat cross-legged in an overstuffed armchair that had seated George W. Bush four years before while he campaigned for reelection in the Granite State. Mayor Guiliani first praised Charles Hill, his senior foreign policy advisor and diplomat-in-residence and lecturer in International Studies at Yale, before I started in with my first question:

You've promised to keep America on offense as we confront terrorism and the Iraq war. You also acknowledge in your "12 Commitments,"—the priorities of your campaign platform—that we are fighting a war of ideas—a war for the hearts and minds of people in the Middle East and beyond. As president, are there any significant foreign policy changes in the war in Iraq or the war on terrorism that you would implement to restore America's moral authority and influence abroad?

The most important thing for America to do is have a principled foreign policy—to articulate what we're trying to achieve and stick to it. And what we're trying to achieve is peace and an end to terrorism. This isn't a war that we selected; this is a war that's being conducted against us by the terrorists. So we have to first explain why we're on offense. We're on offense because there are groups of people in this world that are organized around the idea of wanting to kill us. When that ceases, it will all be over. We don't want to extend it any further than being on offense to properly protect ourselves.

What I would also do as president is try to reform the State Department to be much more proactive about defending the reputation of the United States. Explaining why America has to take the action that it takes to protect itself and a lot of the rest of the world and the wonderful things about America that most people know anyway. There's a strange contradiction in the world: people say that America's reputation is under attack, yet more people want to come to America than any other country in the world. In the very countries where they complain about America, great numbers of people want to come to the United States, so maybe what we have to do is square perception with reality and do a much better job explaining America to combat anti-Americanism. We shouldn't just accept it. An ambassador in a foreign country where America is being attacked has an obligation to go out and speak and explain what the truth is. A lot of these attacks are not truthful.

So the State Department will act as the primary vessel for improving America's reputation abroad?

Yes. A very large mission of the State Department should be expanding and protecting the reputation of the United States.

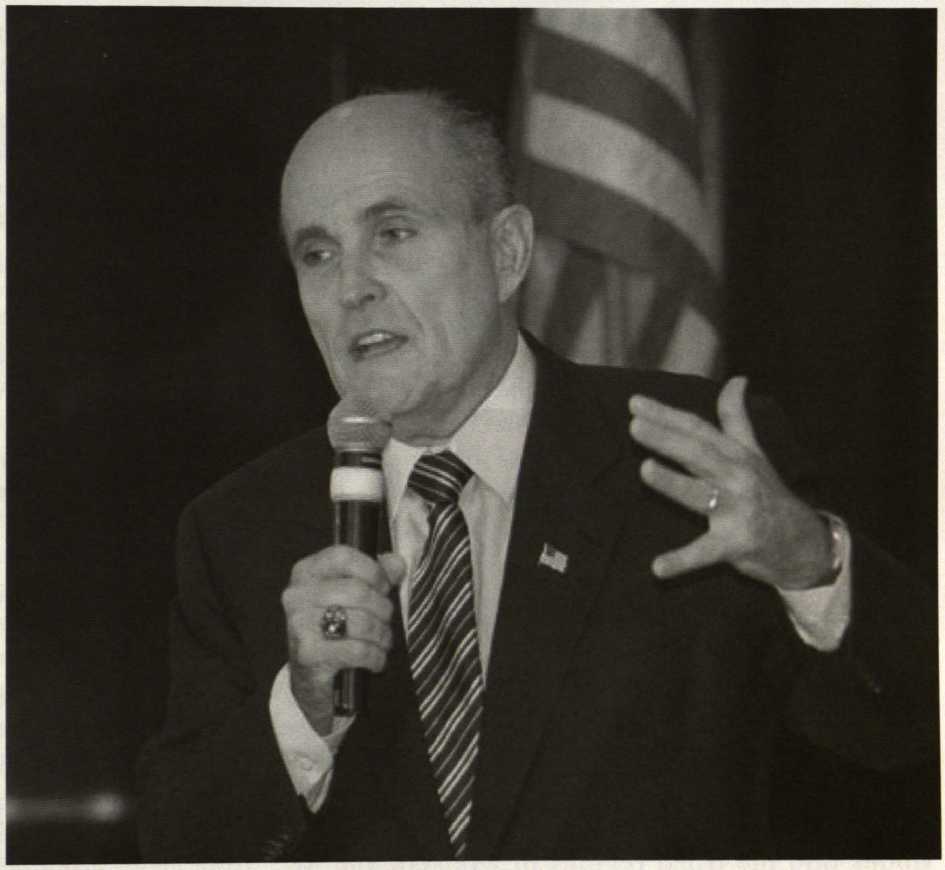
Regarding judicial appointments, you said you would appoint a strict constructionist judge to the Supreme Court if given the chance as president. Historically, which U.S. Su-

preme Court justice most closely conforms to your ideal?

Very interesting. I think on the current court I would have appointed John Roberts very easily. I know John very well, and I have a lot of respect for him. I could have just as easily appointed Sam Alito, although I don't know him as well.

Is there anyone not on the current court who comes to mind?

I probably would have made Justice Scalia chief justice because he has been on the court longer, and I would have made John Roberts an associate justice, but I can see why President Bush did what he did—John Roberts is younger and may have a longer time to serve. I admire Justice Thomas, and I admire Justice Kennedy, too. But I think the four that would best conform to the type of justice I would appoint are the first four that I mentioned—Roberts, Alito, Scalia, and Thomas.



Mayor Giuliani addresses a crowd while campaigning in New Hampshire. The frontrunner for the Republican presidential nominaton since his entry into the race early this year, he observes, "In the very countries where they complain about America, great numbers of people want to come to the United States." (Bill Fish)

In light of its upcoming reauthorization, what specific changes, if any, would you make to the No Child Left Behind Act as president?

I would try to create incentives for school choice because I think that public education in America needs to move the focus of evaluation of standards to the parents and give parents power to evaluate schools. The best way to give parents the power to evaluate schools is to give parents choice—let them select the school that their children go to. If they don't have enough money to put their child in a school that they want to put their child in, we should turn over the money and let them spend it on the school of their choice—in a public school or a charter school or a private school or a parochial school. The idea that a bureaucrat in Washington or at the state capitol or at the board of education knows better about where to put a child than does a parent is a mistake. By and large, the parent knows best.

As president, what would be your China policy?

In your view, is China a threat or an ally and trading partner?

I see China as a mixed bag. I see a lot of positive things, but I also see a lot of things to be cautious about. If you ask me about the United Kingdom or Israel, I'd say that there we have a trusted, long-term ally and good friend. If you ask me about Iran, I'd say there you have a country that embraces and sponsors terrorism, and I'd put them on the other end of the spectrum. If you ask me about a country like China, I'd say there's a good part and a bad part. There's rising economic freedom, an embracing of capitalism, and China is engaging the world. That's all very good. We should engage in business with them. We should do commerce with them. However, they are not embracing as fast as they should political freedom, political rights, or rule of law. There you've got to be careful that the progress doesn't turn back in a negative direction. We need to put pressure on them to eventually

have the same sort of progress in their political and legal systems that they're having in their economic system.

So there is no one policy toward China; you almost have to have two policies. We need to encourage and engage them in the areas in which they are growing and put pressure on them in the areas in which they're not growing and try to find ways for other countries to put appropriate pressure on them to move in the right direction.

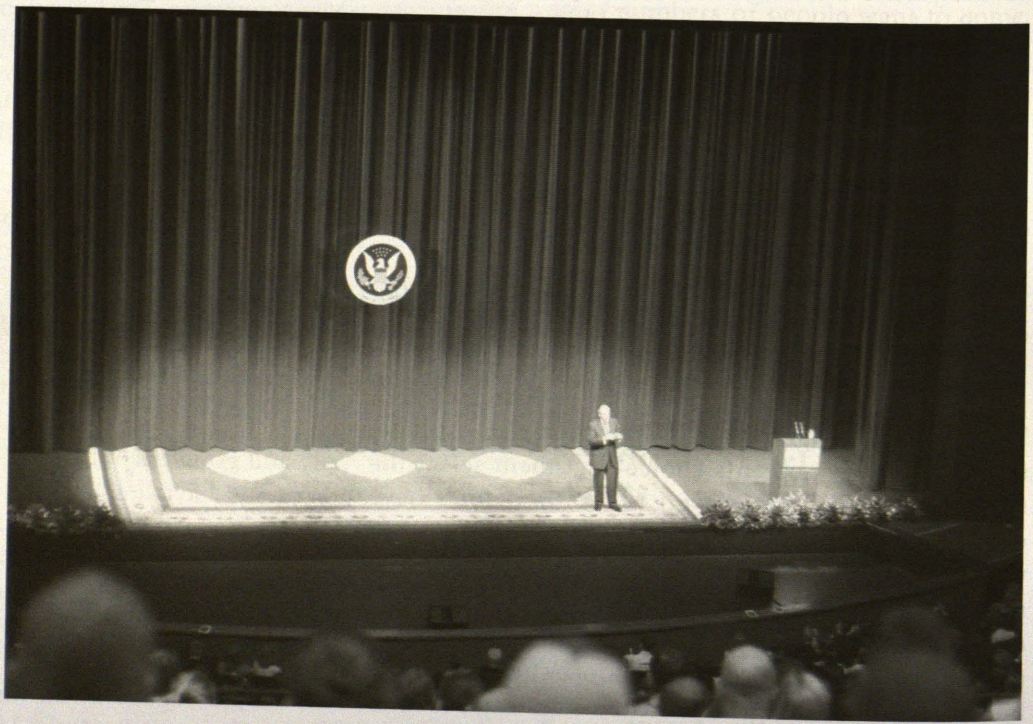
I'd say that Russia is also in that situation. Yet in the case of Russia, they've actually taken steps backward. Russia has a whole area where they're engaged with the rest of the world, a whole area where they've grown, and a whole area that's very prominent. However, Russia has taken steps backward in terms of trying to put inappropriate pressure on other parts of the world by using energy. It looks like imprisoning people at home and at least being suspected of several inappropriate activities abroad. We have to be very careful with Russia. We have to engage them, but we have to be careful and more than willing to speak honestly with them about the inadequacies and the steps they've taken backward.

Senator Barack Obama vowed he would deploy troops into the tribal regions of Pakistan and Afghanistan if the need arose. What is your position on deploying troops in Pakistan?

I'm not sure exactly what Senator Obama said because he's given several versions of what he said, but I'll you what I think since I can't quite interpret what he said. I think we should do everything we can to engage Pakistan in wiping out the Taliban and Al-Qaeda and making sure that they don't return. We should engage Pakistan as best we can in trying to catch Bin Laden and his colleagues. I think the question that Senator Obama posed was if the only opportunity were action by the United States, would we act? I would say we would leave that option on the table. I don't know that we'd threaten to do that, but I think we'd leave it on the table. My preference would be giving a decision that we would act with the permission of the Pakistani government. In the past, we've been able to get the permission of Musharraf and the Pakistani government to act. I feel confident that I could get permission of the Pakistani government to act if I felt it was in the best interest of the United States to do that. If they didn't give you the permission, you'd have to make your decision as to how important it was, what chance of success there was, but you should leave the option of the table. You shouldn't just brush it off. Because there's a lot of dispute about just how far Pakistan has gone is helping us to destroy Al-Qaeda and the Taliban and making sure that they don't return. Keeping pressure on Musharraf is the appropriate thing to do.

In the seemingly likely event that President Musharraf is not reelected, how will your strategy change?

That would depend on who is elected—we'll have to see who's elected in his place. I think the better way for Senator Obama to have said that is not that he would invade, but that he would keep the option on the table—that he would be very cautious and circumspect about using that option. P



Mayor Giuliani takes the stage at Texas A&M University in April 2007. Of an appropriate relationship China, he told *The Politic*, "We should do commerce with them. However, they are not embracing as fast as they should political freedom, political rights, or rule of law." (Bill Erickson)

Moving Beyond the Blame Game

The 2008 Democratic Hopefuls on Iraq

By Maggie Goodlander '09

Maggie Goodlander is a junior History and International Studies major in Yale's Berkeley College. She serves as Features section editor for *The Politic*.

The debate over the future of the war in Iraq remains polarized in Washington and on the campaign trail as the 2008 presidential primaries begin to heat up around the country. Republican presidential contenders generally insist that we must await General David Petraeus' recommendations in the coming weeks, but they ultimately agree with the Bush administration's position that America must stay the course in Iraq and finish the job it started. Democrats continue to argue that the war was a mistake from the start and that America must begin withdrawing troops.

Among Democrats, however, plans for withdrawal differ dramatically in degree of specificity as well as in general strategy. While Governor Bill Richardson of New Mexico argues that we must remove all troops from Iraq, Senator Joe Biden of Delaware is firm on that residual troops will be necessary to protect American security interests. Senator Biden also insists that his "Plan for Iraq"—co-written by Les Gleb, president emeritus of the Council on Foreign Relations—is the only comprehensive strategy for Iraq set forth by any Democratic candidate. Senator Hillary Clinton of New York recently echoed Biden's belief that withdrawal from Iraq will be a massive undertaking requiring time and careful planning, admitting that this reality is not what most Americans may want to hear.

American public opinion clearly supports the Democrats' general assertion that it is time to leave Iraq. A May 2007 CNN poll showed that 65 percent of Americans polled oppose the war, and three months later, CNN's numbers remained essentially unchanged, with opposition at 66 percent.

With the support of the American people firmly planted behind withdrawal, it may be too easy for Democratic candidates to ride the wave of public opinion and avoid discussion of their specific strategies. Anti-war platitudes dominate the debates that inevitably come down to a blame game—who voted for the war and who did not. Senator Barack Obama of Illinois frequently highlights his opposition to the war as a state senator in 2002, challenging what he labels as the other candidates' lack of judgment in sanctioning the war from the start. Senator Obama repeatedly argues that the United States must "exercise judgment" as it plans to withdraw troops from Iraq. Instead of delving into the specifics of how, as president, he would exercise judgment, he often merely points to the past votes of those candidates who supported the war.

In addition to understanding how each candidate would specifically approach ending the war, Democratic voters and Americans at large ought to know how each presidential hopeful conceives of America's responsibility and obligations in a post-war Iraq.

This August, I had the opportunity to ask this question of Senator Obama, who traveled to my home state on his campaign tour to speak with supporters and potential supporters at a gathering in Portsmouth, New Hampshire. After his introductory remarks, he opened the floor to questions about his heath care policy, his views on gay marriage, and early steps he would take to solving the Israel-Palestine conflict. Just as I thought Senator Obama would begin his closing remarks, he called on me to ask the final question of the evening at this gathering of 200 people looking out over Portsmouth Harbor.

Thus follows a transcript of my question and Senator Obama's response:

Supporters of the war in Iraq argue that a precipitous withdrawal of troops will inevitably lead to ethic cleansing among Sunni, Shia, and Kurdish factions in Iraq. Some experts argue that leaving behind a small segment of residual troops will not be enough to prevent this sort of genocide. To what extent does the United States have a moral obligation to prevent ethnic cleansing in Iraq?

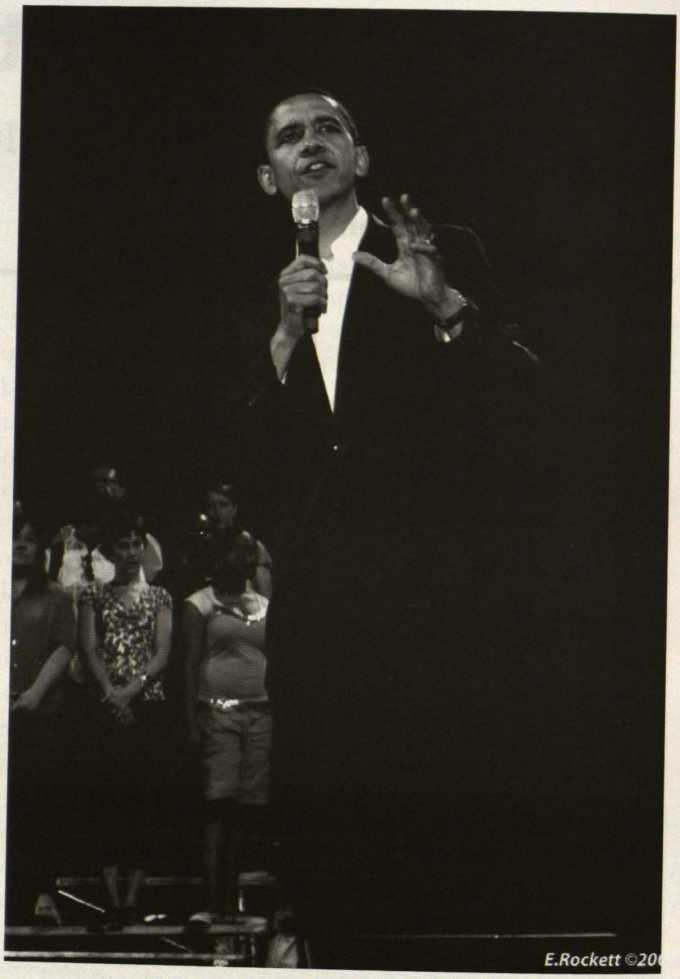
There is a significant humanitarian obligation in Iraq. We broke it, and so I don't think we own it, but I think we have an obligation to the people there. We have a security interest in preventing ethnic cleansing, but understand that we are not going to prevent violence simply by U.S. troop presence. It's not how you stop this sort of bloodshed unless we just want to go ahead and commit our young men and women in uniform there for the next fifty years.

This is why the argument about the surge never made sense. There's no doubt that if you send an extra 30,000 troops into a small geographic area that will reduce violence. That will reduce violence only until the troops leave, unless you're changing the underlying dynamic. The key is to arrive at a sustainable political accommodation. The question then becomes: what is the quickest way to trigger the kind of political accommodation that needs to take place? It is not for us to just stay there because, as we have seen, the Iraqi legislature has not taken any steps during this surge. That was supposed to be the rationale—we send in troops, we reduce the violence in Baghdad, then give the space for these various factions to negotiate. The only thing they agreed to do was vote on a motion to go on vacation! And they have not taken their responsibility seriously because they recognize in part that the U.S. is there to keep a lid on this. And so they can carry out their politics without consequence.

So we've got to tell them, "No, I'm sorry, that's it. We're leaving. We'll be partners with you, but you have to arrive at a political accommodation. We'll bring in the international community, we'll bring in diplomats, and we'll bring in the regional powers both Shia and Sunni to negotiate a peaceful settlement. We will not, however, keep the lid on things militarily."

[This must be done] sooner or later, if it's not this year—even in George Bush were still in office or even if a Republican were reelected. [...] All of these guys—Mitt Romney and Giuliani—are all saying, "We've got to stay here; we've got to do this." Let me tell you something: if it's not next year, it will be the year after, and the year after. Sooner or later, the political pressure will be such that the folks who are talking tough now will start talking about initiating withdrawal. And the longer we delay, the more dangerous it becomes for our troops and for the Iraqi people.

I'm always distressed when I hear this argument coming from the mouths of people searching for rationale for a bad policy. Initially it was weapons of mass destruction, then it was something else, then something else, then it was Sadaam Hussein—he was a bad guy. The rationale keeps on shifting and the policy continues to fail. It's time we try something else.



Senator Obama campaigns in Seattle in June 2007. With regard to what the U.S. should say to Iraqi officials, he told *The Politic*, "We'll be partners with you, but you have to arrive at a political accommodation. We'll bring in the international community, we'll bring in diplomats, and we'll bring in the regional powers both Shia and Sunni to negotiate a peaceful settlement. We will not, however, keep the lid on things militarily. (Elizabeth Rockett)

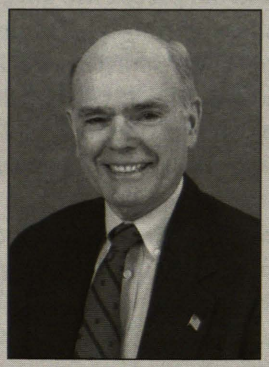
* * *

Democrats must move beyond the blame game and publicly grapple with difficult and pressing question about America's moral obligation in Iraq and the Middle East. This war is not simply "George Bush's war," as Senator Clinton has repeatedly suggested. Although the American people will in all likelihood continue to stand firmly opposed to the war in Iraq, as voters we must expect and demand from our presidential candidates more than rhetoric and platitudes about how we must bring an end to this war.

The Importance of 2008

Handicapping the Republican Field

By Lee Edwards



Lee Edwards, historian of the American conservative movement who published the first biography of Ronald Reagan, is the Distinguished Fellow in Conservative Thought at The Heritage Foundation and an adjunct professor of politics at Catholic University of America. His latest book is *To Preserve and Protect: The Life of Edwin Meese III.*

Following the Democrats' recapture of Congress in the 2006 elections, there was nearly universal agreement as to its ideological meaning: American conservatism which had dominated the American political debate for decades was washed up, played out, kaput.

"The election," wrote *Newsweek*'s Jonathan Alter, "marked the exhaustion of the movement that Barry Goldwater launched with his 1964 campaign."

"The conservative movement has passed into history," opined Pat Buchanan, the conservative three-time presidential candidate and commentator.

"Conservatives are in a mess," said the *New York Times'* resident conservative, David Brooks.

"Conservatism is in crisis," wrote *National Review* senior editor Ramesh Ponnuru. "Everyone is saying so, and everyone is right."

Liberals—or "progressives," as they now describe themselves—crowed that the results signaled, in the words of one observer, "the beginning of the end to the country's nightmarish reactionary drift." And not just in the realm of politics.

Economists are engaged in an "impassioned debate," the *New York Times* reported with some satisfaction in July 2007, over the way their subject is taught in universities around the country. "Economists can't pretend that the consensus for free markets and free trade that existed 30 years ago is still here," said Professor Robert Reich of UC Berkeley. Laissez-faire is out among this new breed of economists, heterodoxy—a strong skepticism about the undeniable efficacy of markets—is in.

Although in 1984 more than 50 percent of young Americans voted for Ronald Reagan, this age group is sending far different signals today. A recent national poll conducted by the *New York Times*, CBS News, and MTV found that more than half—54 percent—of Americans aged 17 to 29 say they intend to vote for a Democrat for president in 2008.

Twenty-eight percent describe themselves as liberal, compared with 20 percent of the nation at large. Only 27 percent of young Americans call themselves conservative, compared with 32 percent of the general public. And the percentage of young voters who identify themselves as Republican is 25 percent, down from a high of 37 percent during the Reagan years.

All of which means that the conservative movement is headed for a plain pine box in Potter's Field, right? Wrong.

Conservatives did not lose in 2006—Republicans lost by ignoring conservative principles and practicing the same kind of money-driven, big-government politics that Democrats did during their 40 years in control. As David Keene, chairman of the American Conservative Union, put it, the elections were a referendum not on the conservative ideas that brought the Republicans to power in Congress in 1994 but on the "sorry way" in which Republicans have gone about ignoring those ideas.

The Democratic victory of 2006 did not constitute political realignment—as some liberals have suggested—but was rather an event-driven election focused on the Iraq war, out-of-control government spending, and Congressional scandals that produced a shift of power that "one would expect when a finely balanced electorate swings mildly one way or the other," columnist Charles Krauthammer wrote.

Nevertheless, the 2006 results contain critical lessons for Republicans as well as conservatives. For the former, lesson number one is the GOP abandons small-government conservatism at its peril. Big government conservatism alienates the Re-

President Reagan campaigns for Senate Republicans in 1982. Dr. Edwards believes that Republican failures in the 2006 election do not represent a shift away from conservative ideals in America. He points out that all the Republican candidates are trying to fashion themselves as true conservatives in the mold of Ronald Reagan. (National Archives)

publican base and is rejected by Democrats who prefer their own brand.

Lesson number two: politics begins and ends with principle. You can disburse billions and billions of federal dollars and still lose if it is obvious that what you are trying to do is buy votes.

Lesson number three: political success depends upon the right public policies at the right time. The American public was not ready for Social Security reform, a major Bush initiative, but was enthusiastic about his historic tax cuts—a conservative idea.

This brings us to the future of conservatism, which is suffering not from failure but from success. Newt Gingrich and his merry band of revolutionaries captured the House of Representatives in 1994 on the issues of crime, welfare, and taxes. None of them is a major election-deciding issue anymore.

With President Bush, Republicans produced tax cuts that "kicked the economy out of recession," analyst Michael Barone wrote, and gave the country robust, low-inflation growth.

Welfare reform started in the states with Republican Governor Tommy Thompson of Wisconsin and wound up in Washington, D.C., where a Republican Congress passed it over not one but two Clinton vetoes.

Crime control was almost entirely the work of big-city mayors like Rudy Guiliani and conservative scholars like James Q. Wilson rather than the president or the Congress, which played a secondary role.

Conservatives cannot be content with past successes but must present creative policies that meet the needs of the day such as health care reform driven by the free market and not the federal government, school choice, and tax credits for individual retirement accounts.

Conservatives need to recognize that the governing coalition of social conservatives, economic conservatives, and anti-communists of the 1980s, united under the light yoke of President Reagan, is gone, never to return. In its place is a fractious almost fractured collection of social conservatives more willing than in the past to use government to protect their values and economic conservatives more ready to resist the enforcement of social issues. The war against terrorism—"Islamic radicalism" as President Bush now describes it—has not yet united the factions of the conservative movement or for that matter the nation as communism did during the Cold War.

Can the social and economic conservatives of today form something beyond a temporary alliance? Perhaps, but it will take the right leadership. Which leads me to the race for the Republican presidential nomination in 2008.

There are only four candidates who have the requisite fund-raising capacity, national organization, and charismatic appeal to win the nomination: Rudy Guiliani, Fred Thompson, Mitt Romney, and John McCain. The others—including Sam Brownback, Mike Huckabee, and Ron Paul—are destined to be also-rans.

One of the latter could win the Iowa caucuses or the New Hampshire primary and still not gain sufficient momentum to win the nomination because the nominating process of the Republican Party has changed drastically.

There used to be three waves of delegate selection leading to the national convention. The first was Iowa and New Hampshire, the second South Carolina and Florida, the third New York, Ohio, and California. A candidate could weather a close loss in Iowa or New Hampshire if he did well in South Carolina or Florida and even survive without a victory in the first two waves if he racked up impressive wins in one or more of the delegate-rich states like New York or California. No more.

The three waves have been succeeded by the tsunami of February 5—Super Duper Tuesday—when at least 1,144 delegates will be selected in at least 21 states only three weeks after Iowa and two weeks after New Hampshire. 1,034 delegates are needed to nominate. If a candidate sweeps most if not all the primaries and caucuses on February 5, he could build an insurmountable lead.

Therefore, a candidate must campaign effectively everywhere and at the same time. Only Guiliani, Thompson, Romney, and McCain have the potential resources to do that.

Which leads us to the big question: Which candidate has the best chance to be the Republican presidential nominee in 2008?

I am an historian, not a fortune teller, but I offer the

following formula to help gauge the relative success and failure of the candidates over the succeeding months.

The essential elements of a winning political campaign are money, organization, the candidate (as a campaigner), issues, and the media. They form the acronym—MOCIM.

Get out your calculator and assign a value of 1-5—5 being the highest—for each candidate in each category. Who has raised the most money so far? Romney and Guiliani, with Thompson—a late starter—third and McCain trailing rather badly. Who has the best national organization? Guiliani and Romney lead with Thompson a close third and McCain whose campaign organization is almost dysfunctional.

Who is the best campaigner? Each of the four men has his strengths and weaknesses on the hustings: Thompson is a competent but not dynamic public speaker, Guiliani's answers to questions are often prolix, Romney is almost too polished, and McCain seems a shadow of his 2000 self. Thompson is trying to position himself as the candidate most like Ronald Reagan, who has achieved iconic status within the party and in much of the nation. But Guiliani and Romney often cite Reagan as does McCain.

What are the issues each man is stressing? All are campaigning as economic conservatives with Thompson and Romney—and McCain to some extent—underscoring their social conservatism as well. Guiliani passes over his pro-choice, pro-gay rights stands as quickly as possible. All promise to appoint "strict constitutionalists" to the Supreme Court. As suggested above, every one of them frequently quotes Reagan, who has become the presidential standard of the Republican Party.

There is also the issue of leadership, with Guiliani outlining his pre- and post-9/11 performance as mayor of New York City and Romney talking about his managerial record as governor of Massachusetts and how he rescued the 2002 Winter Olympics in Salt Lake City.

How are the media treating them and how are they using the media? Romney and Guiliani are using the Internet effectively. Thompson has enjoyed favorable press as the newest entrant in the race along with his appeal as a well-known film and television actor. Personal characteristics—Romney's Mormonism, Guiliani's explosive temper, Thompson's lackluster record as a U.S. senator—will receive increasing media scrutiny.

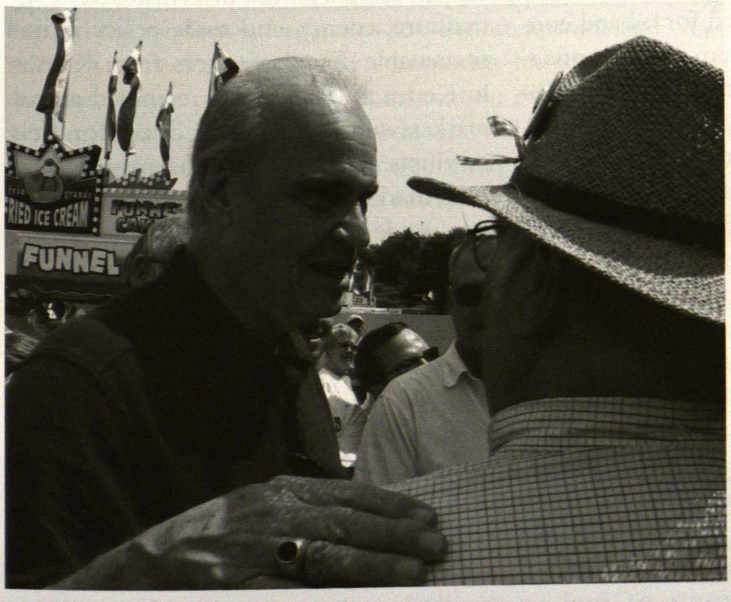
All four candidates are supported by conservatives of varying influence and importance, underscoring the present divided nature of the conservative movement. When asked, many prominent conservatives are replying, "I haven't made up my mind yet." If conservatives were to unite behind one candidate, he would win the nomination. That seems unlikely although the prospect of a President Hillary Clinton might force conservatives to make some hard decisions.

In determining a course of action, they would note that Guiliani defeats Clinton in most polls, persuading them, perhaps, that while social issues like abortion and the marriage amendment matter so does the future of the nation under an liberal ideologue like Senator Clinton.

I think such pragmatism explains why Guiliani has been the GOP front-runner since he got into the race early in 2007. However, he is not the inevitable nominee. Thompson's strong showing in the early going suggests that conservatives are searching for the candidate who combines principle with electability.

It is important to keep in mind that the presidential nomination campaign is a marathon, not a 100-yard dash. For a year and more, the winner is obliged to demonstrate his fund-raising prowess, his physical stamina, his charisma, his deftness with the media, his ability to recover from a slip in a debate or in a press conference and keep campaigning. The candidate with the best MOCIM, not the greatest mo, will prevail.

Certainly the election of 2008 is important. We will select the leader of the most powerful nation in the world who will face a host of problems foreign and domestic that would daunt a dozen Hercules, especially the protracted conflict with Islamic fundamentalism. Beyond dispute the Republican presidential candidate will be a conservative, affording the American electorate a clear choice and not an echo of the liberal Democratic choice, whoever he or she may be.

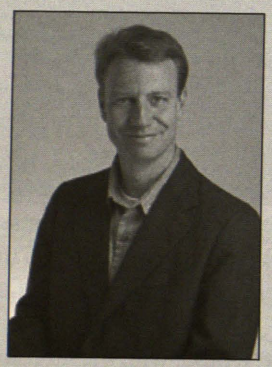


While Mayor Giuliani has led continually in Republican polls, Dr. Edwards points to Fred Thompson's strong showing as a sign that conservatives are looking for both traditional conservative principles and electability and charisma. IowaPolitics.com)

A Better Energy Future

Harnessing Agriculture and Trade in a Comprehensive Approach

By Jake Caldwell



Jake Caldwell is Director of Policy for Agriculture, Trade, and Energy at the Center for American Progress. A former program director at the National Wildlife Federation, he is an adjunct professor at the University of Maryland School of Law and specializes in the relationships among trade, environment, and development.

Is it possible to imagine an energy future that helps lift the fortunes of large and small agricultural producers around the world, combat global warming, and open overseas markets with policies that could, simultaneously, lessen United States' dependence on fossil fuels and promote more equitable international trade? The challenges ahead are daunting, but this year represents an important moment in which to lay the groundwork for a new approach.

In 2007, as Congress prepares to reauthorize a new farm bill and address other key energy and trade legislation, the United States has a critical opportunity to improve our nation's competitiveness and strengthen the linkages among agriculture, energy, and trade in a manner that spurs innovation, rewards rural communities in the U.S. and abroad, and allows us to take concrete action to confront climate change.

Rising global demand for oil and concerns regarding the costs and consequences of global warming are contributing fresh momentum to enlisting agriculture as a partner in diversifying our sources of energy and promoting technological innovation. Farm-based renewable energy, and sustainably produced biofuels, in particular, have the potential to offer a way forward.

The United States must diversify its energy supply and foster innovation in the agriculture and transportation sectors by investing in renewable energy sources. Biofuels—liquid fuels produced from agricultural crops and wastes—have shown tremendous potential to deliver a secure and stable supply of fuel to supplement our growing energy demands.

We must move rapidly and deliberately toward the commercial development of the next generation of advanced cellulosic biofuels derived from bulk plant matter, such as corn stover, and dedicated energy crops grown in a sustainable manner. Conversion of non-food crops and agricultural residue to fuel has the potential to reward the low carbon benefits of advanced biofuels and deliver a triple dividend to farmers in the form of payments for dedicated energy crops, carbon sequestration, and agricultural waste materials.

At the same time, biofuels are not a panacea capable of meeting all of our diverse energy needs. Much work remains to be done to increase dedicated energy crop yields, reduce biomass conversion and transportation costs, and improve the sustainable production of biofuels. But, if developed in combination with cleaner cars, better fuel economy, and stronger conservation efforts, the impact of farm-based renewable energy will be profound.

The current patchwork approach to agriculture, energy, and trade policy is unsustainable. Family farmers from Kansas to Kenya must confront restricted global markets and roller coaster prices for their products. High energy costs, overproduction, market concentration, and other barriers undercut revenue and distort trade. Only five products account for almost half the $280 billion in annual support to agricultural producers globally. Tariffs and tariff rate quotas in the EU, Japan, and other countries account for 80 percent to 90 percent of the total costs of agricultural trade and act as significant barriers to trade. The World Bank estimates that the elimination of tariffs and other protective barriers globally would inject $16 billion annually into the economies of several developing countries and open key markets for all producers.

At the same time, as global demand for oil continues to rise, our dependence on

oil for energy is emerging as a major influence on agricultural production, our environment, and the welfare of the poorest people on earth. The vast majority of the world's poorest countries are net importers of oil, and 25 of the world's 47 poorest countries are completely dependent on imported oil.

Climate change will adversely affect poor countries' economies that are dependent on agriculture. For example, crop yields in sub-Saharan Africa are projected to fall by 20 percent, and some scenarios predict famine induced by climate change to displace more than 250 million people worldwide by 2050.

Mr. Caldwell suggests that Congress reinvest commodity-based subsidies into green payments for conservation payments on working lands, encouraging U.S. farmers to grow sustainable and environmentally friendly crops. He writes, "The current patchwork approach to agriculture, energy, and trade policy is unsustainable. Family farmers from Kansas to Kenya must confront restricted global markets and roller coaster prices for their products."

The next generation of advanced biofuels can make a key contribution to our efforts to lessen our dependence on fossil fuels, diversify our sources of energy, and meaningfully reduce greenhouse gas emissions that contribute to global warming. According to a recent study at the University of Tennessee, such advanced biofuels could supply 25 percent of U.S. petroleum needs by 2025 while pumping $700 billion into the economy. They could also provide a significant boost to our rural economies as well, raising farm incomes by $180 billion.

In the 2007 farm bill, Congress has an opportunity to expand the modern safety net to serve more farmers and reinvest a modest portion of commodity-based subsidies into green payments for conservation programs on working lands. In so doing, producers will be encouraged to grow value-added dedicated energy crops such as switchgrass, miscanthus, and fast growing trees in a sustainable manner. The result will be a greater number of people and regions able to produce new feedstocks for biofuels and a more diversified income stream for rural communities.

As we confront global warming and the realities of a carbon-constrained economy, agriculture policy should reward farmers for their everyday actions to reduce greenhouse gas emissions and sequester carbon on their land—actions that contribute to the nation's overall efforts to combat global warming. Petroleum-based gasoline blended with ethanol reduces greenhouse gas emissions by up to 13 percent, while studies indicate cellulosic biofuels produced from switchgrass and other sources can make significantly greater greenhouse gas reductions. A recent University of Minnesota study concluded that perennial grasses can absorb 4.4 metric tons of greenhouse gases—14 times what they produce—after a decade of growth. In addition, dedicated energy crops typically have a higher density of energy than crop residues, and the use of energy crops will also allow crop wastes to remain on the land to improve soil quality and store carbon.

It is essential that we provide incentives to biofuel producers for efforts to conserve land and water resources, maximize greenhouse gas reduction methods, and grow energy crops in a sustainable manner. Any consideration of utilizing land currently enrolled in conservation programs for biofuels production must ensure that the primary conservation goals of the programs are not compromised. Measures should be taken to improve the levels of evaporative emissions from some blends of biofuels, and coal-burning biofuel plants should be discouraged. The use of transparent certification and labeling criteria to encourage sustainable production of biofuels should be developed immediately by a broad range of stakeholders.

Diversifying into energy crops will improve agricultural prices by slowing the oversupply of traditional agricultural commodities on global markets. Better prices for corn, soybeans, and wheat, such as we are currently experiencing, increase income and flexibility from a variety of sources. At the same time, we must ensure that a rapid ramp-up in prices does not lead to increased price and supply volatility or irreversible damage to the land and

Mr. Caldwell advocates the use of bio fuels, such as corn-based ethanol, which offer an environmentally friendly alternative to fossil fuels and have the potential to lessen the United States' dependence on foreign oil. (Swanksalot)

our environment.

A sustained and consistent period of improved prices will also allow the United States, Europe, and Japan to meet the request of developing countries to improve their commitments to agricultural subsidy and tariff reform, thereby opening one avenue for progress in the stalled World Trade Organization's Doha round of multilateral trade negotiations and contributing to global poverty reduction. International trade challenges to our farm policies, such as Canada's recent complaint regarding our agricultural support programs and the ongoing cotton subsidy dispute with Brazil, will be defused. A competitive global market in biofuels, with the United States leading the way through shared technology and a phase-down of the current import tariff, will allow many developing countries with appropriate soil and climatic conditions to enter the biofuels marketplace.

The establishment of farmer cooperatives and locally-owned biorefineries and biofuel facilities must also be a priority of U.S. energy and agriculture policy. As current biofuel production capacity expands rapidly, the private sector and government must redouble their efforts to improve market demand for biofuels, including the establishment of more E85 fuel pumps and more fuel-efficient flex-fuel vehicles.

As Congress debates key energy and trade legislation this year, members of Congress have an historic opportunity to demonstrate leadership. We must act now to strengthen our commitment to the next generation of advanced cellulosic biofuels, bolster long term demand with cleaner fuels and cleaner cars, and encourage greater investment in the research, development, and commercialization of new biofuel and biobased technologies.

The United States should be investing in the capacity of our agriculture community to lead our nation toward diversified energy production, increased prosperity, and greater security. In leading, we can free ourselves and our friends from the high costs of narrow and outdated energy and agricultural policies and take small steps toward building a better energy future for all. P

While the private sector has made considerable strides in developing Bio-fuel based technology, such as this hybrid Toyota, the U.S. government still lags behind in encouraging sustainable fuels. (Arief Ananta)

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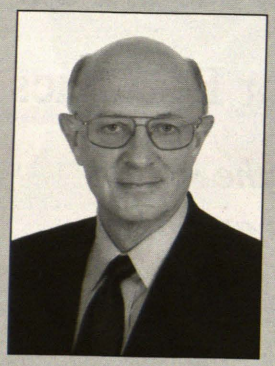
America in the Middle East

An Interview with James Woolsey

Conducted by Avi Kupfer



James Woolsey served as the U.S. Director of Central Intelligence from 1993 until 1995. He previously served as advisor during the SALT I talks, as counsel to the U.S. Senate Committee on Armed Services, as undersecretary of the U.S. Navy, as delegate to the START and NST talks, and as chairman of the board of Freedom House.

In your testimony before the U.S. House of Representatives on April 18, you advocated eliminating oil's strategic role in transportation. Until we fully develop the alternative energies necessary for this transition, how must the U.S. proceed in its foreign policy in non-democratic Middle Eastern countries such as Saudi Arabia, Algeria, and Kuwait, upon which we are so incredibly dependent?

We certainly do the best we can. These countries have different leverages over the price of oil. Kuwait and Algeria don't really have in their hands—although they are members of OPEC—the leverage that Saudi Arabia does with its reserve capacity. People may be right that we're reaching peak oil dependence in the Middle East and are moving toward heavier demand coming from India and China. The Saudis may not be able to affect the price of oil the way they were once able nor be able to destroy their competitors, but a lot of investors think they can, and so there's a certain lack of willingness to criticize and deal straightforwardly with the Saudis on some things for some people. I think it will be easier for people in the government and outside who want to be very blunt with the Saudis about human rights and a number of other issues to be blunt once it's clear that we're beginning to move away from oil dependency.

Given Iranian President Mahmoud Ahmadinejad's recent announcement that Tehran can now produce industrial-scale uranium, how should the U.S. proceed in dealing with his regime?

I think that we ought to be doing everything possible to weaken his regime with the way we do broadcasting and with support for student and labor groups the way we did with Solidarity during the 1980s and to be prepared if there are riots to turn off Iran's imports of refined diesel and gasoline, rather than its exports. They import over 40 percent of their diesel and gasoline since they don't have refineries adequate to the task. I think that we ought to be ready to do that. We don't know how far along Ahmadinejad may be. It may be that they're pretty far along in producing highly enriched uranium, or he may be lying, or he may have bought some already from North Korea. We just don't know. I think that it is an extremely dangerous regime because his regime is ideologically fanatic. I don't think we can discount the crazy things Ahmadinejad says about Iran being destined to be a martyr nation because he's an extreme ideologue, and extreme ideologues sometimes show us that they do what they say they're going to do.

You mentioned a strategy along the lines our support for Poland's Solidarity movement. Are there willing partners in Iran?

You have nearly half of the country feeling very oppressed, and rightly so. And then half of the country is teenagers or younger, and most of them are pretty restless after the rule of the crazy mullahs. There are indeed a fair share of the Iranian clerics who are traditional Shiite clerics and their views are more like Ayatollah Ali al-Sistani in Iraq, not very much like Ahmadinejad. I think the regime has a lot of vulnerability.

Do you see a potential power struggle between the Iranian Shiite regime that seems to be vying for influence in the Muslim world and the longstanding Saudi Arabian Sunni emirate that has held a position of control in recent years?

You'll see a lot of manifestations of this. The Saudis and the Egyptians and four other Sunni states have said that they're going to have nuclear programs like Iran, and several of these states have huge amounts of oil and gas, so they're not likely to be in this to produce electricity. They're likely to have a fuel cycle, and that gives them the ability to have highly enriched uranium or plutonium, 95 percent of the way toward getting a nuclear weapon. The Saudis are also very concerned these days about the Iranian-backed efforts of the Shiites to convert Sunnis to Shiitism.

How does this regional power scuffle affect U.S. policy in the area?

A number of these states have historically had ties to terrorist groups or are permissive with respect to some such groups. The possibility of nuclear weapons getting into the hands of terrorists is very real. That is one vivid illustration of what could derive from the Sunni-Shiite rivalry.

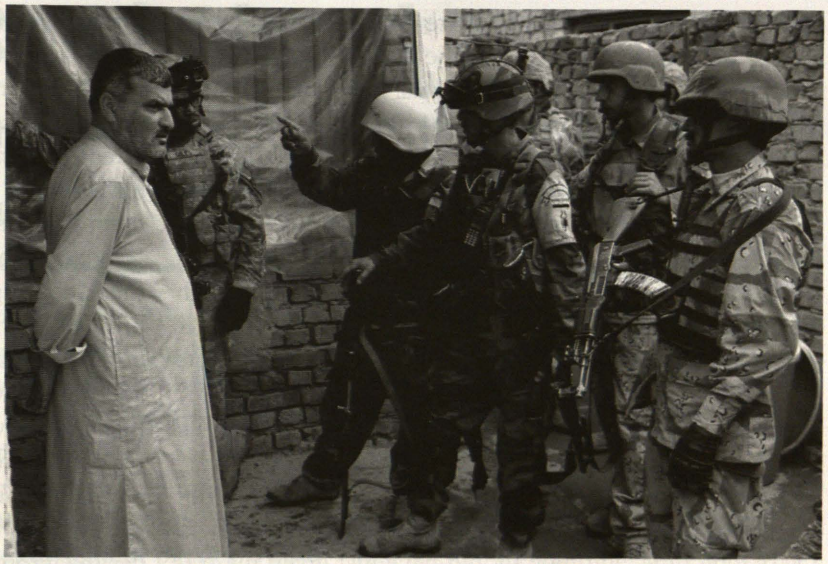
How does the potential increase in regional nuclear proliferation affect our foreign policy options?

It puts everything on a hair trigger because with some of these states, it can be assured that they won't be taken over by Islamist groups or extremist viewpoints. It also means that whoever gets them first—say, Iran—will throw its weight around to increase its influence because it doesn't believe that other countries, particularly non-nuclear countries, will stand up to them. I think Iran would use having a nuclear weapon very vigorously by way of keeping it in the background but always present in trying to establish influence over their neighbors and their use of Hezbollah, Hamas, and Muqtada al-Sadr. These are all pawns for them. Their nuclear weapon is their queen—their most lethal piece—and pawns will be much more vigorous under a queen's protection.

How does Iran's movement of its various pieces affect our efforts to rebuild Iraq?

Iran has been bad enough in using the Revolutionary Guard to move explosive devices to Iraq to help support and train al-Sadr's forces to kill Americans and Sunnis. They've been quite intrusive and vigorous in trying to dominate the south, and; nuclear weapons would make them more so.

With Iran-supported Shiite paramilitary operations as well as Sunni guerilla movement contributing to Iraq's destabilization, is there a U.S. policy that can effectively deal with extremism from both sides?



A U.S. Army staff sergeant and Iraqi soldiers talk with an Iraqi man during a search for insurgents in Buhriz, Iraq, in April 2007. As part of the U.S. troop surge, soldiers are going house-to-house in search for weapons caches and enemy fighters after more than 1,000 residents of this Baqubah suburb were displaced by al Qaeda insurgents. Director Woolsey claims that "clear, hold, and build," missions such as these are the right approach for success in Iraq, as opposed to previously employed "search and destroy" missions. (Stacy L. Pearsall/Department of Defense))

You have to kill and capture them both. You have to kill and capture Sadr's forces and Iranians who are infiltrating and you have to kill and capture al Qaeda in Iraq.

How would such a policy influence the U.S. military presence in Iraq?

At some point one might be able to reduce the numbers, but that has to be driven by the situation on the ground and not something a priori.

You have often been described as a Scoop Jackson Democrat, advocating a strong international presence for the U.S. How, if at all, has the war in Iraq affected your philosophy on U.S. foreign policy?

Although it's something I already knew, when you decide to use force, you should use force overwhelmingly and devastatingly. We didn't send enough troops to Iraq. The two divisions we had ready to go, they called off sending them right after Baghdad fell. They made a terrible mistake in not letting the U.S. military have some of the oil revenues directly to employ people and work with local

sheiks to protect people as they are employed. They were able to do that a little bit with the money that was captured from Saddam and the Baathists. I saw that working when I was over there in early 2004. [Former Director of Reconstruction and Humanitarian Assistance in Iraq L. Paul] Bremer refused to let any of the oil revenue money go directly to U.S. military commanders although both the Defense Department and the State Department wanted that to happen. He insisted that everything go through these big contractors. You don't need big American contractors to hire Philippine workers to rebuild irrigation projects in Iraq. Iraqis have been building irrigation projects for about six or seven thousand years. We should have been employing local Iraqis to do a lot of that work.

Another thing that I think the administration did not do effectively was to establish a constitution. It took them a very long time, and they should have just given the Iraqis back their 1925 constitution, which the Baathist coup took away in 1959. I wrote a piece with Bernard Lewis in the *Wall Street Journal* in October 2003 just after Baghdad fell and shortly after Bremer was appointed. It said to give them back their 1925 constitution. It provided for a constitutional monarch, had elected officials, had a bill of rights. It was a fine constitution. They could have amended it because it had amendment procedures. They could have amended it if they wanted it moved from a king to a president. Tradition and history mean a lot in that part of the world, and by starting over, we put ourselves in the position of coming in and doing something new and different that they're still arguing about. I think they would have settled down politically long ago if we had given them back their 1925 constitution and left much of the Iraqi army intact. I think it would have helped in pulling the nation together, and that's what we're having the most problem with right now. They have finally started fighting not "search and destroy" but what they call "clear, hold, and build," which is the right approach. It's the one that [General David] Petraeus is using, and he's been successful on the ground. You can see it in the reports from the scholars at Brookings and a lot of places. Now that they're finally fighting with the right strategy after three years under the wrong one, things are going better on the ground despite the terrible suicide attacks against civilians. The real problem that they don't seem to be able to solve is to have a coherent government, and I think that would more readily have come about if they had been given back their own constitution.

Do you think a greater consciousness of history and tradition would positively affect Middle East policy?

You want to build on institutions of public reason that already exist in those countries and cultures. Even countries or cultures that do not have much of a democratic tradition in the sense of balloting often do have institutions that are based on consulting processes and reason and argument and consensus rather than on force. I think we did a better job building on Afghan institutions in helping to put together a government in Afghanistan than by starting fresh in Iraq.

Would you advocate political solutions before more economic and military ones?

It's not an either/or. You have to kill and capture al Qaeda in Iraq and as much of Sadr's militia that you can in order to give government a chance. On economics, there should have been a lot more small-scale rebuilding locally, directly protected by and funded through the U.S. military commanders who could have worked directly with individual sheiks to employ their people. Politically, there needed to be a pulling together of various factions to find some way to run the country. As I said, I think that would have been much easier under the 1925 constitution than it has been by starting from scratch. You have to do all of these things.

Natanz Nuclear Facility in eastern Iran was one of the two exposed by Alireza Jafarzadeh in 2002. IAEA Director General Mohamed ElBaradei visited the site in February 2003 and reported that 160 centrifuges were complete and ready for operation, with 1,000 more under construction at the site. Along with Natanz, Iran's current nuclear program consists of several research sites, a uranium mine, a nuclear reactor, and uranium processing facilities that include a uranium enrichment plant. The Iranian government asserts that the program's only goal is to develop the capacity for peaceful nuclear power generation. (Hamed Saber)

Pakistan's Road Ahead

An Interview with Lisa Curtis

Conducted by Michael Camarda

Lisa Curtis of The Heritage Foundation specializes in the United States' economic, security, and political relationships with India, Pakistan, Sri Lanka, Bangladesh, and Nepal. She was previously a lead expect on South Asia for the Senate Foreign Relations Committee, senior adviser in the State Department's South Asia bureau, and political analyst on South Asia for the Central Intelligence Agency.

In your recent article "Pakistan Can Achieve Stability Through Democracy," you write: "The more President Musharraf seeks to mollify Islamic radicals and sideline the secular parties, the more influence religious radicals gain. In a free election, however, the mainstream secular parties would almost certainly fare much better than the religious parties, thereby bringing a mandate against religious extremism and helping to guarantee Pakistan stays a course of stability and moderation." With Musharraf's fragile hold on power, how likely is this to happen? If it were to happen, how easily would religious parties be brought into the fold of a true democratic government?

The mainstream secular Pakistan People's Party (PPP), led in exile by former Prime Minister Benazir Bhutto, continues to be the political party with the largest base of grassroots support in the country. In the 2002 elections, the PPP received 25 percent of the vote, while the religious parties captured only 11 percent. The religious parties traditionally have received less than about eight percent of the popular vote and had been marginalized in the 1988, 1990, 1993, and 1997 national elections.

The handling of the general elections scheduled to take place by mid-February 2008 is critical to the future direction of the country. A free and fair election that includes the full participation of the main secular democratic parties, including the PPP and the Pakistan Muslim League (Nawaz), would almost certainly demonstrate that the majority of Pakistanis support a moderate, progressive agenda for the country. Although the religious parties may do OK in the Northwest Frontier and Baluchistan provinces bordering Afghanistan, they are unlikely to put up a good showing in the more populous Punjab and Sindh provinces. The bottom line is if Musharraf denies the secular parties the chance to fully participate in the political process, they will be further weakened and less able to play a moderating role in society.

Pakistan is a key player in a larger dilemma in America's War on Terrorism—how to balance our relationships our allies who are sometimes not the most democratic, yet are with us against al Qaeda, against the need for true democratic reform that might result in a fundamentalist victory like in Algeria in 1992. How does America both bolster allies and promote democracy?

The current situation in Pakistan is not comparable to the situation in Algeria in 1992, when the large majority of the population supported the religious party. In Pakistan, the secular parties now have the stronger grassroots support. However, if the secular parties are prevented from fully participating in Pakistan's electoral process, their party structures will suffer and they will lose supporters to the religious parties. People are often confused about the political situation in Pakistan and equate it with that of other Arab Muslim states like Algeria, Egypt, or Lebanon. One must understand that in Pakistan Musharraf has sidelined the mainstream secular parties in order to solidify his own hold on power, which has in turn strengthened the religious parties.

Musharraf's presidency is set to end on November 16, 2007. What is likely to play out?

Musharraf's plan is to get himself reelected

by the current parliament, which has been in power since 2002. A major question is whether he plans to give up his dual role of president and chief of the army before he seeks reelection. If he does not shed his uniform, he is likely to face challenges from the Supreme Court, which is demonstrating an increasing willingness to act independently as a check on the presidency. Witness the Supreme Court's recent decision to grant bail to Javed Hashmi, a prominent opposition leader jailed in 2003 on charges of inciting mutiny in the army, forgery, and defamation. Former Prime Minister Benazir Bhutto apparently would support Musharraf's reelection by the current assemblies this fall in exchange for free and fair general elections early next year in which her party would likely win the most votes and she would again become prime minister. She has warned that if Musharraf seeks reelection in uniform from the current assemblies, however, he is likely to face court challenges on the issue.

Whether or not the general elections are considered transparent, free, and fair will also determine the response of the mainstream parties.

Musharraf has stated that without his support, America's War on Terrorism might be lost before it began. How vital is Pakistan to the war on terrorism?

Pakistan's support for the War on Terrorism is vital. But Pakistan also benefits from the military and economic assistance the U.S. provides. A strong U.S.-Pakistan relationship is in both countries' national security interests. Pakistan made the right choice after 9/11 to support the U.S.-led fight against global terrorism. The reasons that it made that decision are still valid, given the ongoing terrorism problem in the region and U.S. commitment to stabilizing Afghanistan. It is also in Pakistan's interest that Afghanistan be stabilized and that terrorism be rooted out of the region.

Questions abound about the ability and the willingness of Pakistan to control the extremist groups that exist within the country. Many point to connections between Pakistani military officials and the Taliban. What is the nature of these links? And what can both Musharraf and the United States do to make sure these links are terminated?

Many in the Pakistani security establishment calculate that the U.S. will not remain committed to Afghanistan and that the country eventually will return to its pre-9/11 status. These officers support the Pakistani military's maintaining its links and support for the Taliban, which they believe will again play a role in governing the country. Although President Musharraf himself is committed to the fight against terrorism, it is not clear that he has full control of all of the elements of his intelligence and security services. There are deep institutional links between the intelligence and security services and the Taliban. President Musharraf has already faced at least two assassination attempts because of his cooperation with the U.S. in counterterrorism efforts, so this is obviously not an easy situation to rectify. The best approach for the U.S. is to demonstrate its commitment to stabilizing Afghanistan, to convince the Pakistanis that it is not in their interest to allow the Taliban safe haven within their borders, and to improve cooperation with Pakistan against the Taliban and al Qaeda elements along the Pakistan-Afghanistan border.

In its post-9/11 agreement with Pakistan, America promised to respect the territorial integrity of Pakistan. What role do Americans in Afghanistan play in coordinating attacks on Taliban and al Qaeda militants in the Federally Administered Tribal Areas? If Americans were to cross the border—even mistakenly—in pursuit of high-level al Qaeda operatives, what would the ramifications be?

This is a critical issue. The U.S. and coalition forces are responsible for confronting the Taliban and Al Qaeda in Afghanistan, while the international community looks to Pakistan to control terrorist elements on its own territory. When Pakistan made "peace deals" with tribal leaders along the Afghanistan border last September, many observers assessed this would only strengthen terrorist elements in the region. The intelligence now reveals that that is exactly what happened. Not only did the "peace deals" make it easier for the Taliban and al Qaeda to regroup and retrench in the area, they also fueled the Talibanization of the area by allowing extremists to enforce strict Islamic edicts, such as closing down girls' schools, barber shops, and video stores. These are the same tactics the Taliban employed in Afghanistan in the mid-1990s.

There already is a great deal of cooperation between the U.S. and Pakistan intelligence services and military forces that does not receive public attention. For instance, al Qaeda number-two Ayman al-Zawahiri was targeted twice in 2006 in missile attacks in Pakistan's Tribal Areas. Musharraf faced a great deal of domestic criticism after these attacks, which resulted in several civilian casualties. It is in Musharraf's interest for U.S.-Pakistan counterterrorism cooperation to be played down publicly, since he does not want to appear to be cooperating too closely with the U.S., especially when operations result in Pakistani civilian casualties.

What can the U.S. do to ensure Pakistan's continued cooperation, even after Musharraf leaves office, as the War on Terror continues into the foreseeable future?

The U.S.-Pakistan relationship is a two-way street in which both sides benefit. The U.S. has provided Pakistan with over $10 billion in economic and military assistance over the last five years, which has contributed to stabilizing the country's economy and improving its military capabilities. Pakistan has captured and turned over to the U.S. senior Al Qaeda leaders, but the U.S. is now looking for more cooperation against the Taliban in order to help stabilize Afghanistan. Pakistan also looks to the U.S. to help provide a stabilizing influence vis-a-vis Indo-Pakistani relations. The U.S. played a critical role in helping to defuse Indo-Pakistani military crises in 1999 and again in 2001 and 2002. Although I understand the frustration of the U.S. Congress with Pakistan over its lack of commitment to cracking down on the Taliban, I don't think the passage of legislation conditioning military assistance to Pakistan will help garner more cooperation on this front. This legislation only brings up memories of the U.S.' Pressler Amendment, which was implemented in 1990, abruptly cutting off all U.S. assistance to Pakistan because of its nuclear program. The Pakistanis viewed this action as a betrayal by the U.S., especially considering how closely the two countries cooperated to oust the Soviets from Afghanistan in the 1980s. The new legislation, which became law on August 3, will likely fuel concerns that the U.S. is an unreliable long-term partner and reinforce the view that Pakistan needs to keep its foreign policy options open—which means maintaining ties to the Taliban.

You wrote, "The Pakistan military's pervasive involvement in civilian affairs has stifled the development of civil society and the establishment of democratic institutions. Pakistan has been ruled by the military for over half of its existence. Even during periods of civilian rule, the military has wielded tremendous power over decision-making. Although the military is unlikely to submit fully to a civilian government in the near term, Washington should set benchmarks that begin to restrict the military's role in Pakistani politics." How can the U.S. set benchmarks for this process to which the sovereign nation of Pakistan will adhere?

The U.S. should convey to Musharraf the importance of returning the country to democratic civilian rule. Although there was support in Pakistan for Musharraf's taking power in 1999, the Pakistani public is growing wary of military rule, as evidenced by the public uproar over his attempt to dismiss the country's chief justice in March. Unless Musharraf builds bridges between the military and civilian leadership and begins to work toward a power-sharing arrangement, we are likely to see his own credibility undermined and more and more Pakistanis willing to take to the streets to demand a return to democratic rule. Any discussion of benchmarks would likely take place at the diplomatic level. The U.S. should take a consistent public position in support of free, fair, and transparent elections and discourage any pre-election manipulation of the process.

What are the long-term strategic implications for Pakistan in the War on Terrorism? What is the future of American-Pakistani relations? Where is Pakistan in five or ten years?

It is difficult to say where Pakistan will be in five or ten years, let alone in one or two. Pakistan's economy is in better shape than it was seven years ago. However, the country faces greater threats to its stability from religious extremists, primarily because of the war in Afghanistan and the lack of a firm government policy against Taliban elements inside Pakistan. These Taliban operatives have become emboldened in the northwest of the country, and Islamic vigilantes had brazenly taken on the Pakistan military at the Red Mosque to try to force an Islamic revolution. Pakistanis themselves are growing increasingly concerned about the direction of their country. Steps toward civilian, democratic rule that would result in greater influence and power for the secular parties would help counter the increasingly bold and dangerous influence of religious zealots.

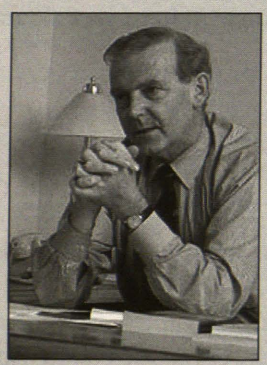
What are the implications and ramifications of Barack Obama's recent comments that if Pervez Musharraf would not act to destroy Al Qaeda terrorists in Pakistan, he would as president? How big a shift is this from the Bush administration's current stance? And why do you feel he chose to say this?

The Bush administration has said it would pursue Al Qaeda anywhere if it had actionable intelligence, but the presumption was that it would do so in cooperation with the Pakistanis. In fact, there have been two missile strikes on suspected hideouts of al Zawahiri in Pakistan's Tribal Areas, so clearly Washington and Islamabad are working together on this problem. Obama's pointed reference to unilateral U.S. military action in Pakistan went further in tone and substance than previous Bush administration statements. We need Pakistan as a partner in the War on Terrorism, and there's a lot we can accomplish together. Obama's comments were not helpful in promoting a spirit of cooperation between our two countries and may have led the average Pakistani to fear that an attack by the U.S. is imminent.

Threats to the West

An Interview with Paul Kennedy

Conducted by Xiaohang Liu



Paul Kennedy is the J. Richardson Dilworth professor of history, the Brady-Johnson distinguished fellow in grand strategy, and the director of the International Security Studies program at Yale University. His books include *The Rise and Fall of the Great Powers: Economic Change and Military Conflict From 1500 to 2000.*

In the *International Herald Tribune* you mentioned a large-scale naval buildup in East Asia. What do you think the Western world should do in response to this buildup?

The article in the *Herald Tribune* was noting the interesting fact that, while Europe has been a traditional great naval power for 500 years, its navies are either declining or not increasing. In East Asia and Southeast Asia, however, the budget and the size of navies are going up. So there is some interesting disjuncture between the rise of navies in one part of the world and the non-rise or decline of navies in other parts of the world. It is not something for the West to get too alarmed about, but it causes us to think about whether Europe should be paying any attention to the rise of navies in the Far East and Southeast Asia. One answer could be: we are not threatened by our neighbors; it's the problem of East Asian countries. We did it a hundred years ago, and we got ourselves into two world wars. This time, count us out.

The second response is to say: the buildup of navies in Korea, Japan, China, India, and Indonesia is showing a continuing importance of sea power, as argued by the American sea captain Mahan in *The Influence of Sea Power Upon History*. We should not be frightened, but, perhaps, we need to look at our own naval plans, projects, and spending. What makes Europe similar to the East Asian states is that East Asia is building up their naval forces partly because it wants to protect its petroleum supply lines from the Persian Gulf. Europeans are also dependent upon the same petroleum sources, so if the Asian countries think that a strong navy is needed to protect its sources of supplies, why shouldn't Europe?

Are naval forces still a critical indicator of military strength, as compared to the past two centuries?

Navies are not the only one. Since the beginning of the twentieth century, one has to say that air power is a stronger indicator of military strength because it can constrain both sea power and land power. However, there are still some sea power weapon systems that the air power cannot deal with. Newport News just launched the $2.5 billion *USS North Carolina*, which is a state-of-the-art nuclear-powered submarine. If the U.S. Navy is putting $2.5 billion into one single craft, then it is still *a* critical element; Mahan said it was *the* critical element. If you ask the troops on the ground in Fallujah or Tikrit, they will say land power. I think that, at least in the military realm, you need three or four critical elements, not one.

Islam is a fast growing religion. This has created some concerns in a few European countries. Do you think this growth will lead to any major changes in international relations in the future?

The world population is still fast growing, so there are going to be more people who are either atheist, or Catholic, or Muslim, or Buddhist. In any case, the Vatican will tell you the Catholics are fast growing in Brazil and Africa. Islam is fast growing, but it is fast growing because the population is fast growing. So the concern is not that it is fast growing, but whether more and more of the people of Muslim faith are adopting an extreme or fundamentalist point of view, which is antagonistic to other more tolerant Muslims and to other people, other religions, and other societies. Evidence shows that there is greater intolerance and extremism. There is more

popularity, especially among younger male Muslims, for extremist dogma. This is chiefly concentrated in Muslim societies. The biggest problem is not what the government of France has or the government of England has, but what the government of Indonesia, or Pakistan, or Saudi Arabia has. However, because of globalization and the diaspora of young Muslim workers, there is a great fear that they will be seduced by intolerant beliefs and that they will bring their intolerant beliefs to some action against other people, like the bombs in London or in Madrid. The western liberal societies have this challenge to their values. Their values are about tolerance of all faith and all colors, yet a proportion of young men of Muslim faith have accepted radical, aggressive, and violent pursuits. There is no easy end to it. The western democracies have to bear it as a burden before it dies out.

Regarding the war in Iraq, the Democrats' position is to either pull out of the war immediately or to redeploy some troops and force the Iraqis to resolve their differences by themselves. Are any of their ideas workable? What do the Iraqis think of these options?

We have been very slow to ask the Iraqis what they think. Right now, my guess is that half of the Iraqis want us out, and the other half are scared that we go out. It may even depend from province to province, or from village to village. If the American forces are keeping the bad guys down, perhaps Iraqis want them to stay in. If the American forces are taking out their young fighters, they want the American forces to go. So we have not asked the Iraqis, and now we don't have an honest system under which to ask them. We can't just have Gallup polls go into every Iraqi household.

As to the troops, I don't think we will stay much longer than the end of the Bush presidency. The U.S. Congress has been very slow in dealing with this, but it is now dealing with it very fast. It went from not asking any awkward questions to now proposing all sorts of solutions. Get out immediately? Almost impossible. Surge? It doesn't look like it's working. Stay the course? You will be voted out of office. The American public will not vote for staying the course. In my opinion, it really just comes down to some form of calibrated, staged withdrawal. Should it be the way the Democrats want? Should it be the way the military experts want? I don't know, but we are not going to stay there.

You said in a recent interview, "If by spreading democracy Americans mean 'one person, one vote' without considering the other elements—a good commercial foundation backed by a system of order and law—it could be chaotic." Is there an alternative method of moving totalitarian states toward democracy?

Most scholars now think that "one person, one vote" is too simplistic. If that principle of "one person, one vote" is applied in a society where the religious and ethnic divisions are primal, then you will vote along the lines of your religion, ethnicity, or tribe. Therefore, the majority tribe will win—as happening in so many African countries—and the minority tribes will not win. Here in this country, we don't vote on tribal lines. Although there are certain tendencies, we don't really vote on ethnicity lines. "One person, one vote" works fine in a mature, multicultural democracy—a liberal democracy.

However, when we just march into Iraq and say, "one person, one vote," we know how they are going to vote. We know that they are going to vote for Kurds, Shia, Sunni, or Marsh Arabs. So I am like Henry Kissinger and some others who are skeptical that "one person, one vote" is the immediate answer. It is the final answer. Many things have to happen, like rule of law, good judicial system, fair police, and tolerance. These things need to happen before anybody could think that "one person, one vote" would work.

Should the United States make it a priority to remain the world's sole superpower?

It is only natural that it would. There are very few statesmen, politicians, and citizens who want to give up being number one. Usually, it comes after you are so exhausted at trying to be number one, such as Spain in the eighteenth century, but it is natural that there will be a striving to preserve being number one. The questions for me are: what are the cleverest policies to maintain the hegemonic position and—the most important question of all—however clever you are, if the world's economic, technological, and military balance is shifting, is it possible that you still might not be able to make it?

One hundred twenty years ago, in late Victorian and Edwardian Britain, a large number of very intelligent men said that the British Empire may lose its number-one position. They had all sorts of understandable strategies—technological renewal, tariff protectionism, and better education. They tried to deal with a big shift in world affairs, and they did very well. But, ultimately, they failed. That's possible for this country. After all, we only have 4.5 percent of the world's population. If globalization is raising everybody else up to the standard of America, we could just be pushed aside, like the British Empire.

How would the rest of the world react if the U.S. were no longer regarded as the presumptive world power?

Some would rejoice, but a large number would be regretful. I grew up in northern part of England, which was occupied by the Roman Empire for four hundred

years. The Romans gave it peace, security, roads, and trade. It was under Roman rule, but I bet there were a large number of Britons who were frightened when the Roman legions left. There will be a large number of people in this world who will be frightened if and when there comes an American withdraw and decline. You know the old saying, "better the devil you know than the devil you don't know." You know the American devil, you don't know the Chinese devil or the Pakistani devil or the al Qaeda devil, so perhaps be grateful for what you have.

After numerous unilateral actions by the U.S. in recent years, what kind of role do you think the UN wants the U.S. to play in the world today?

We can't ask the question "what it is that the United Nations thinks." The United Nations is just a limited company of 192 nations. It is the *United* Nations, but it isn't a parliament of men or a world government. The way I would rephrase that is, "What would the more internationally minded officers and nations like New Zealand, Sweden, and Canada want the United States to do?" They would like it to be a bit less unilateral and a bit less cherry picking. Big governments—the U.S., Russia, China, India, and France, perhaps—decide which part of the UN they like and which part they don't like. The best one can hope is that this American government, or, more likely, its successor, will recognize the value of using multilateral instruments and responses rather than unilateral. But there will always be a unilateralist part of our policy and of Russia's, China's, and India's. It's natural.

Can NATO be an effective alternative to replace the United Nations in military operations?

First, you are only talking about military organization, and the UN is much more holistic than that. It deals with economic, social, human rights, cultural, and environmental dimensions. Second, the UN charter allows for the Security Council to authorize a regional military or political group, like the Organization of American States, African Unity, or NATO to carry out something under UN Security Council resolutions. There is nothing wrong with that. What would be wrong is the assumption or the argument that NATO can replace the UN. As I have said, it can't replace all of the UN's other dimensions, but it can replace many of the peacekeeping and peace enforcement dimensions. Suppose there is a Tibetan uprising against China—there is no way that most NATO members would deal with it. There is no way that China would tolerate it.

After long experiences of looking at which peacekeeping works and which doesn't work, and since all of the disasters started in Rwanda and the Balkans fifteen years ago, my opinion is that there is no blueprint, no template. You can't say, "Let's take NATO and deal with a future war between Peru and Bolivia." The Security Council, therefore, has to be supreme, even if its membership is flawed and out-of-date. The Security Council agreed to NATO operations in Kosovo and Afghanistan, but it also agreed to authorize Australia to restore order in East Timor and Tony Blair's government to restore order in Sierra Leone. There are also the traditional peacekeeping operations and observer roles by UN in Kashmir, Cyprus, and the Golan Heights. So there is no simple replacement for peacekeeping and peace enforcement.

In a past interview, you mentioned that dealing with terrorism should be achieved by addressing the grievances that led people to terrorism, such as unemployment and poverty, along with religious fervor. However, since addressing these issues takes time, what effective measures could be taken against terrorism in the short term?

If I said that then, clearly, I was too one-sided; it seems to be me that to handle almost all of our global problems, we need reactive policies, so we need professional intelligence, special police squads, and everything else they have for dealing with terrorism. But that's the reactive part. We also need the proactive part, which is clearly longer term. Proactive means you start beforehand. If you learn about enormous malnutrition, human rights abuses, and tribal discontents in a country like Mali or Côte d'Ivoire or Liberia, and if you are worried about that country, you start first with the proactive.

When you think about the United Nations charter, it is like a three-legged stool. The first leg is the Security Council, peacekeeping, and peace enforcement. That's the reactive leg. The second leg is all the economic and social agencies, from the World Bank to UNICEF to the UN Population Fund. They are trying to improve the conditions of people so that they won't go to war. The third leg, which we often forget about, is the leg of international cultural understanding, so that we try to live in a world with different languages, religions, and cultures and appreciate them rather than hate them. There are some much-neglected bodies like UNESCO, which we ought to think about more. The charter of UNESCO begins with the wonderful words, "Since war begins in the minds of men, it is in the minds of men that we have to cure antagonisms." It is a wonderful sentence, one which is easy to say that at a place like Yale, which is so multicultural. In a poor, deprived, tribal village in upper Nigeria or in Darfur, unless we get the security forces, then the economic developments, then tolerance, these places will continue to have a hard time. This will not be an easy twenty-first century.

From Russia with Soviet Rumblings

An Interview with Anna Arutunyan

Conducted by Michael Camarda

Anna Arutunyan is an editor with the *Moscow News*.

Describing how Vladamir Putin's administration is seen by the West, in your article "Is Russia Really That Authoritarian?" you use the phrase "dangerous oversimplifications and myths." How and why have such myths arisen? And what makes them myths?

When we talk about an "authoritarian" administration, we create the impression that if we just get rid of or replace that administration—either through regime change or various "color" revolutions—we will be back on the road to democracy. Of course a closer look at the inherent problems in Russian society will show this simply is not true. Politics is all too often a blame game. In Russia, some pro-Western reformers, whose reforms under Yeltsin failed to various extents and for a number of social, economic, and political reasons, chose to put the blame on Putin and his *siloviki*. Not that Putin is blameless as president, but this vision echoes back to a Cold War mentality that is very easy to digest for western journalists and policy makers: you've got a bad guy with an evil empire—simply overthrow the bad guy and free the people. The vision is self-perpetuating: the West buys it because anything else would just be too complex, and a dogmatic Russian minority continues to peddle it because Western punditry pays top dollar for the kind of evil-empire rhetoric that reached its apotheosis following the murder of Alexander Litvinenko. That kind of rhetoric is at best unhelpful because it only stokes isolationist, anti-American tensions here in Russia, and at worst dangerous because by overestimating the power and vision of a single leader like Putin or Yeltsin we let important social problems fester while we toy around with regime change.

Grigory Yavlinsky, a Russian economist, remains a leading critic of Putin and of the ruling United Russia Party. In a January 12 interview, he is quoted as saying, "For the first time since the collapse of the Soviet Union we again have a one-party parliament. There are no independent mass media of any significance anymore. There is no public control over secret services and the law enforcement agencies. The authorities considerably influence the elections. All elements of society are concentrated in the same hands which resemble the 1930s. This is a semi-Soviet system." Obviously Yavlinksy does not form his opinions from Western media outlets; are his views an accurate assessment of the current political landscape in Putin's Russia?

Yes and no. Yavlinsky is identifying core problems that plague Russia's political landscape. I even agree to some extent with his assessment of modern Russia as a "semi-Soviet system." But here's the danger when Yavlinsky's words are interpreted literally by a Western audience not too clued in on the nuances of Russian society. The Soviet system meant that practically all aspects of society were controlled by the party—the media are a good example. And I can't really say that the Russian media of today are controlled even halfway by United Russia—they are controlled by corporations that are state-owned or close to the state. Gazprom, the state-owned gas giant that took over the NTV channel in 2001 as well as the *Izvestia* newspaper—although these two are loyal to the Kremlin—also owns the Ekho Moskvy radio network, probably the most virulently oppositionist major media outlet that remains from the previous decade. Lack of independence in the Russian media has to do with processes that took place during the 1990s, when oligarchs used their media to

orchestrate Yeltsin's reelection, for instance, and then later to force Yeltsin-appointed prime ministers out of the government in a series of smear campaigns. We can blame the other political woes on Putin's administration, but we should not underestimate the underlying conditions in Russia that were beyond Putin's control.

What are Putin's rule and role in Russia? Where does he fit in the power system?

Experts far more informed than I am are forced to rely on conjecture when describing the current power system. We are in the dark when it comes to assessing where exactly Putin fits in clans vying for power following 2008. But personally, I would explain Putin's rule and role in today's Russia as Byzantine in the sense that he rules not though command or decree, but through a vague interpretation of a real or imaginary "party line" by underlings. Again, this has to do not so much with Putin but with the mentality of Russian bureaucracy, which goes back long before the communist era. Instead of rule of law, you trust in the supposed "will" of the leader, even if the leader has not made that will known. In this way, regional authorities will persecute a newspaper for printing cartoons of Muhammad in part because they think they are following a "directive" from up high and are in part hoping for a promotion. I doubt that even if that directive actually exists that it originates with Putin and his administration. But unlike Yeltsin, Putin is certainly associated in the minds of petty bureaucrats as a "law and order" man. The problem is that many of these bureaucrats have a very different understanding of law and order than we are used to in the West.

How is this role possibly misinterpreted by the West?

The key to Western interpretation of this role is that it ascribes Putin powers that he doesn't necessarily have. This kind of Byzantine mentality, these guessing games and competitions in loyalty, while present through Soviet times, can actually reflect chaos and lack of control when coupled with the dilapidated infrastructure that Russia has. Moreover, the adherence of petty bureaucrats to a real or imagined directive does not mean power on Putin's part, but in fact shows how limited that power is. As Pushkin quoted Madame de Stael in 1821, "En Russie le gouvernement est un despotisme mitigé par la strangulation."

How has Putin's KGB background come to hurt or help him in running Russia?

It has primarily hurt his image, and whatever positive experience his background has given him is hard to interpret because of the stigma related to serving in the KGB.

Putin has strengthened the frail infrastructure of his country in his seven years. What other strides has he made to improve Russia?

If we want to talk about Russia as a democracy, we cannot ignore the fact that Putin is immensely popular. Personally, I wouldn't want to be a judge of how much harm versus good the current president has brought to this country, but the fact that Russians trust him, even if it's because of his appearance and the way he talks—he's articulate, and he doesn't drink—is very significant. However misguided it may be, this kind of trust plays an important role when a society is trying to rebuild itself.

Putin has said repeatedly that he respects the constitutional provision that requires him to step down. But changing the constitution's two-term limit on the presidency requires only a vote by two-thirds of the Duma, two-thirds of the Federation Council—the upper house—and a similar margin of votes by regional governors, all appointed by the Kremlin. What is the likelihood that he will still be at the helm in 2009?

Putin may very well want to leave, but a good part of the population wants him to stay. So do elements in the government. It is hard to estimate the likelihood that Putin will still be at the helm in 2009, but a lot of experts see his chances of staying on as president growing.

What are the dangers of misinterpreting Russia at this current moment in time? What can be done to make sure the West sees Russia, a society historically shrouded in mystery, openly and clearly?

This is a good question to ask as Russia earlier this year mourned the passing of its first president, Boris Yeltsin. His passing has actually sparked some weighted assessments in the Western press. Anne Applebaum wrote of Yeltsin in *Slate*, for instance, "Had we ever been realistic about him, we would have both understood his limitations from the beginning and appreciated his strengths. And had we not embraced him uncritically, we would have been less disappointed when things turned out differently from what we, too, had hoped." This is not the time to put the blame for Putin's shortcomings on Yeltsin, who, after all, not only appointed him, but created the conditions for much of Putin's Russia. But Yeltsin struggled to transform Russia into a free and stable country, and the West certainly did not do him a favor by choosing to ignore his failures. As the West examines Yeltsin's legacy, it will hopefully see for itself the dangers of viewing a country's developing history through the prism of dogma and ideology—things which have plagued Russia for centuries.

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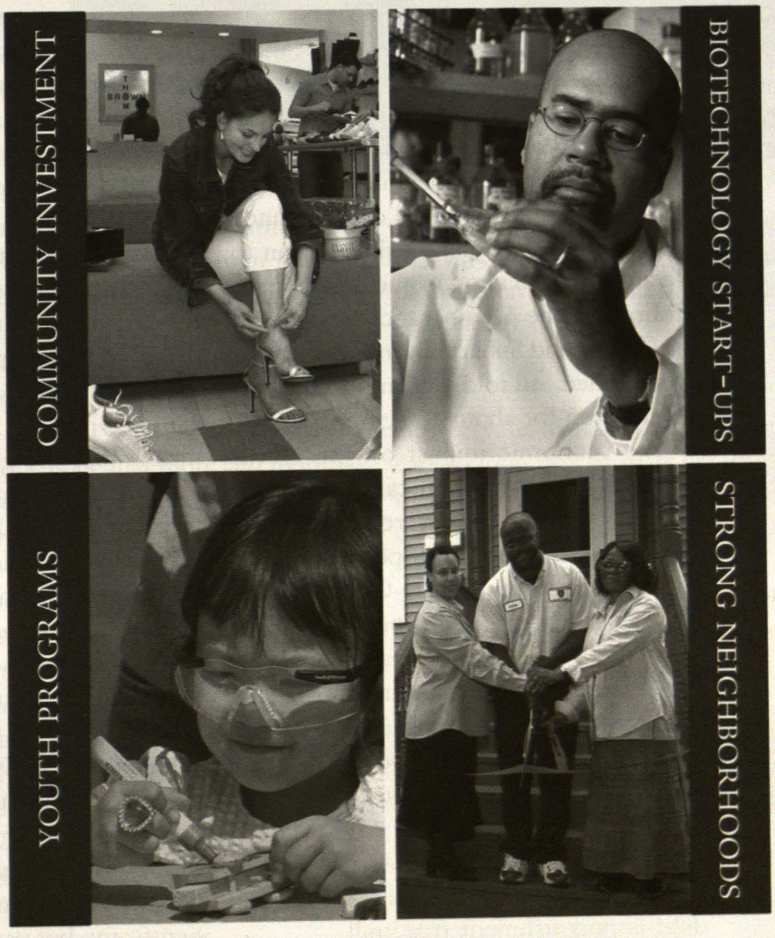

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Aid and the Cycle of Debt

An Interview with Sameer Dossani

Conducted by Michael Camarda

Sameer Dossani is director of 50 Years Is Enough: U.S. Network for Global Economic Justice, a coalition of organizations advocating for changes in World Bank and International Monetary Fund practices.

How many countries worldwide need debt cancellation? What would be the economic ramifications of debt relief on both the Global North and the Global South?

According to the UK, 67 countries are in need of immediate debt cancellation in order to meet basic development targets such as the Millennium Development Goals. Aside from these countries, which are the most impoverished on the planet, illegitimate debts, such as those given to dictators like Marcos in the Philippines, Mobutu in the Democratic Republic of the Congo, and Suharto in Indonesia must be cancelled. All told, this may mean debt cancellation for about 100 countries.

The economic impact on the North would not be that significant, as the actual amounts of money relative to the economies of the developed world are small. For countries in the Global South, however, this is a question of life and death. Why should countries that have no social infrastructure and therefore that are in desperate need of money for hospitals, schools, and roads spend up to 60 percent of their national budgets repaying loans? Debt cancellation gives the flexibility necessary to prioritize real development over taking another lap on the debt-impoverishment treadmill.

For what and to whom are these countries in debt?

Most of the debt we are talking about began as a result of the 1970s oil crisis. When oil prices rose, commodity prices rose with them, and countries that had to import oil found themselves with huge debts, often owed to countries with which they had prior colonial relationships. In the late 70s and early 80s, some powerful countries, especially the U.S., expressed their displeasure with the situation and asked the International Monetary Fund to take on the task of restructuring economies to prioritize paying off these debts. This was the advent of what we now call "structural adjustment policies" or the "Washington Consensus." Namely, the IMF and the World Bank would lend to countries at low interest rates, and the money being borrowed would be used to pay back to rich countries those debts acquired during the oil crisis. In return for the money, poor countries had to take dramatic steps to prioritize short-term cash over a long-term development strategy. So we have policies like privatization, which means that the government sells what it can to make as much money in the short term as it can. Or budget austerity measures, which mean that government budgets have to be very tightly controlled. In practice this means no money for social services such as healthcare and education, though military budgets tend to stay stable.

As a result of these policies, the debts are now primarily held by the IMF and the World Bank and other similar institutions and no longer by rich governments. There are a few bilateral debts in many of these countries, and sometimes that can be significant, but usually is it the multilateral debt—to the IMF, World Bank, or one of the Regional Development Banks—that is important.

You claim that the 2005 Gleneagles Debt Relief Agreement presented in Scotland by the G-8 nations is far from perfect. Why is that?

The 2005 agreement is important in that it sets a precedent—100 percent debt can-

cellation with no new conditions—that for years had been derided as "a letter to Santa Claus." That precedent needs to be expanded upon in two ways. First, it needs to be applied to the 70 or so countries in need of immediate debt cancellation instead of the 20 or so countries that currently qualify. Second, it needs to be de-linked from the program of economic conditions—the IMF's Heavily Indebted Poor Country program—that the World Bank itself has acknowledged to be a failure.

Once these two criteria have been met, the next step is to talk about reparations owed indebted countries because of the failures of the economic paradigm that the North has been pushing on the South since at least 1980.

These Tanzanian students likely will be saddled with the debt that was a burden even to previous generations unless some of the reforms suggested by Mr. Dossani are implemented. (Advencap)

You also make the claim that increased aid is not a panacea for global poverty.

After World War II, it was the hope that more and more aid would flow into Europe and that this would help take Europe out of the poverty that it was then suffering. Aid, or rather a dependence upon aid, is a symptom of poverty, not a way out. Meaningful development strategies may look to build up industries in countries, as in Europe and Japan did following World War II, in order that national budgets come primarily from progressive taxation, as they do in every industrial country, and not from aid flows, as they do in most countries in Africa. IMF and World Bank policies have prevented these developments from taking place, preferring policies of deindustrialization—as a result of liberalization and budget austerity policies—to meaningful development strategies.

How does a "vulture fund" work?

Vulture funds by definition invest in failing economies, whether a private company or a sovereign nation. In the Zambia case that has recently received much attention, a vulture fund bought up heavily discounted debt owed by Zambia to Hungary and then sued the government of Zambia for the entire amount, for a profit of about 1,000 percent. Such things are able to happen because there is a hierarchy of creditors, with the IMF at the top, followed by Multilateral Development Banks, governments next, and private banks at the bottom. Because of the debt cancellation deal, private banks like Donegal can move to the front of the line and demand repayment for heavily discounted debt bonds.

What is the current debt situation in Zambia? What would Donegal International's successful collection of debt mean for Zambia?

If Donegal were to collect, Zambia would effectively see none of the benefits of debt cancellation until 2009, as the money that it used to pay other creditors would go to a private bank.

What kind of strings does the North attach to the aid money it doles out?

Aside from budget austerity and privatization, the other major condition is liberalization. Liberalization can be fiscal—meaning that a government's currency must be allowed to float in the free market, not attached to the dollar, the Euro, or any other currency—or trade-related, meaning that subsidies and tariffs must be done away with.

The effect of fiscal privatization is that currency values are left to the whims of international speculators who can run a currency up or down at a moment's notice. The

prime example of this is the Asian financial crisis of 1997, when the actions of a single shareholder caused a run on the Thai baht, and the repercussions of that action led to one of the worst financial crises the world has seen. Countries that followed the IMF advice—which was basically to continue the liberalization policies—in the aftermath of the crisis, such as Indonesia and the Philippines, are still struggling to recover; those that ignored the IMF suggestions, such as Malaysia, are doing better than they were before the crisis.

Trade liberalization is the idea that countries should neither subsidize their exports nor place tariffs on their imports. The idea, which probably made a lot of sense in some economics textbook somewhere, is that this integrates the country into a global capitalist market and that the goods for which the country has the most competitive advantage—usually agricultural commodities such as coffee, tea, sugar, flowers—will find their way onto the world market.

The problem with this theory is two-fold: in the real world, the biggest economies in the world—the U.S., Europe, and Japan—rely heavily on subsidies, especially in the agricultural sector. Rice, for example, is so unprofitable for us here in the U.S. that 40 percent of the profit a farmer makes growing rice comes from subsidies. The second problem with this is that—outside of economics textbooks—no country has industrialized without heavy reliance on subsidies and tariffs. The best documentation of this is Ha-Joon Chang's *Kicking Away the Ladder*, a 2003 book which documents in vivid detail the development of every major industrial power and the market distortions that made development possible. While Chang's work is revolutionary, the basic premise has been understood for years: if the U.S. had developed using the theory of "comparative advantage," we would be a sparsely populated nation of fisher people and fur traders and not the highly industrialized economy that we are.

When countries cannot pay up debts to vulture funds, how are those debts collected?

It varies. Often companies will find assets to seize in the country where the court ruling takes place; occasionally the company will be awarded a lucrative privatization contract at a heavily discounted rate. In the case of Donegal and Zambia, the funds to pay Donegal are likely to come from the payments owed to Zambia by its former corrupt dictator, who is likely to be found guilty of corruption charges in the UK.

Which courts often rule in favor of vulture funds?

I believe it's the UK, the U.S., and France that have the most business-friendly laws and are therefore where such cases are usually pursued, though the companies in question are often headquartered in the Cayman Islands or some other tax haven.

What are the alternatives or the solutions to create a more humane situation? What changes can be made so that less money goes to already wealthy private investors and more money goes to development in indebted nations?

The relationships we're describing are based on theft and the exploitation of weakness to set up policies to ensure more theft. How about some compensation for all that theft, for a start? In the long term, the basic stuff we can do in the North is to keep our governments accountable, to ensure that they do not continue to use our resources for the profit of elites in the private sector. If we're talking about development strategies for Africa, that can only be decided by Africans through processes of democracy and accountability. Our duty is to get our governments and the institutions whose strings it pulls out of the way so that civil society in these places can begin to have a more meaningful discussion about what real development looks like. Unless we're talking about political and economic democracy, we are merely playing the part of the doctor who prescribes a bandage after needlessly cutting someone's arm off.

Anti-WTO protestors hold placards advocating debt relief for developing nations in Prague. Accoring to the UK, 67 countries are in immediate need of debt relief. Actualization of debt relief has been a difficult path for many countries in the Global South, with some directing up to 60 percent of their annual budgets toward repaying loans. (Oiwan)

Taming the Wild East

Doing Business in the New Central Asia

By Sean Jackowitz

Sean Jackowitz is a senior Russian and East European Studies and International Studies major in Yale's Trumbull College from Miami, Florida. He traveled to Kazakhstan this past summer on the Les Aspin '60 Fellowship.

Every morning, Alida Abilova takes Bus No. 63 down one of Almaty's main thoroughfares to work. The bus, a secondhand import from Germany, lets her off in front of the Nurly Tau office complex in the southern end of the city. Most of the several acres of Nurly Tau consist of scaffolding and construction equipment, though the office in which Abilova works occupies a completed section of the complex. Spending her day on conference calls with American and European clients, she often works into the night—as lawyers do throughout the world—paying little heed to the sounds of development outside the office windows.

Abilova, 28, received a scholarship from the Kazakh government to earn her LLM degree at Durham University in England two years ago. She now works in one of Kazakhstan's biggest law firms specializing in Kazakh corporate law.

Tuyebekova embodies what many hope Kazakhstan can become. Well-educated, professional, middle-class by western standards, she is none of the evils that haunt Kazakhstan's past, when the country was known as the "Wild East." During the 1990s, mining rights to billions of dollars of oil and metals were bought and sold daily; factories and collectives were privatized in suspicious deals. Every other businessman seemed connected to the mafia. Corruption, extortion, favoritism, and even violence were all part of doing business in Kazakhstan, all to the detriment of the average Kazakh citizen, let alone any Kazakh middle class. Today, Tuyebekova, by contrast, sits at a desk and works behind a computer. Asked if she ever gave a bribe, she responds curtly, "Never. I am very honest."

Hence it looks as though Kazakhstan has turned the corner—the development of the country's energy sector has led to prosperity and given rise to an emerging middle class with somewhat liberal values. Some indications, however, hint that the "Wild East" has yet to be entirely tamed.

A Lawless Frontier

Kazakhstan gained its independence in 1991 with the collapse of the Soviet Union. Though Kazakhstan's link with Moscow disintegrated, the political elite changed little, and former Kazakh Communist Party First Secretary Nursultan Nazarbayev became president. Nazarbayev did bring about changes of his own; he followed Russian President Boris Yeltsin's lead in pursuing "big bang" liberalization policies that tore Kazakhstan away from its old Soviet centralized economy.

Privatization of economic assets in the former Soviet Union worked a number of different ways but usually involved a bidding process or, in the case of many factories or collectives, a distribution of shares among workers. Since cash-strapped governments and unpaid officials were in charge, privatization was especially susceptible to those few former Soviet citizens who had any money at all, as currency in the Soviet Union had to be obtained illegally or via channels of influence.

Privatization efforts in the western half of the former Soviet Union, however, had at least some hope of succeeding. In Kazakhstan, privatization was doomed from the start. With Kazakhstan far from any major market, Soviet planners had engineered the Kazakh economy based on the principle that distance from foreign armies was more important than economic efficiency. Accordingly, the entire Kazakh economy relied on centralized planning to supply its factories and farmers with materials and equipment and to find custom-

The gleaming high-rises of Nurly Tau office park and along Al Farabi Avenue comprise the core of Kazakhstan's new business district. A new culture of capitalism has made the country unpredictable if politically stable. (AP)

ers elsewhere in the Soviet Union. When forced into a free market, much of Kazakhstan's industry went bankrupt due to transportation costs alone.

Adding to the troubles was that most accounting, if done at all, was done in terms of steel ingots, pounds of ore, or other goods and commodities. Converting these incomprehensible measures of debts and credits into workable financial figures exacerbated the problems of the transition even further.

Together, this all meant that a vast array of economic assets—the value of which no one really knew with certainty—were being acquired by inexperienced and sometimes untrustworthy people. Millions of dollars often changed hands several times before disappearing, the factories closing down and their equipment sold for scrap.

At the same time as this economic collapse, however, new opportunities emerged. Kazakhstan's huge reserves of minerals such as uranium, aluminum, and lead—previously considered too strategic by Soviet authorities to export abroad—became available to sell on the world market. Foreign petroleum companies arrived as well, eager to access Kazakh oil and gas that the Soviets did not have the technology to access themselves. The result was a dizzying flourish of deals with foreign investors that left only a few people in Kazakhstan, as well as several foreigners, very rich. (The 2005 film "Syriana" is in part a dramatization of actual events surrounding James Giffen, an American advisor to President Nazarbayev who was arrested in the U.S. for violating the Foreign Corrupt Practices Act.)

Al Farabi Prospects

That story little resembles Kazakhstan today. As Christopher Krafchak, director of the Central Asian branch of the American Bar Association's Central European and Eurasian Law Initiative, explained, a professional class has emerged, distinct from the robber barons of the previous decade. His organization focuses on such efforts as improving perceptions of the law and educating Kazakh judges. "There are lots of good people in Kazakhstan today, and they have law degrees. Just as in the U.S., there are lawyers who thrive on protecting 'the little guy' and getting at the big corporate interests." Indeed, public advocacy NGOs exist in Almaty as well as in the capital, Astana. Moreover, the conviction rates for crimes like corruption are on the rise.

But there is another force at play in Kazakhstan. One might not notice it in the bland post-Soviet government buildings where state procurators work, but one just might at Tuyebekova's office at Nurly Tau or in the neighborhood surrounding the office building. The area, in fact, is bustling with business.

Nurly Tau sits on Al Farabi Avenue, which runs from the President's former residence to his country home in the mountains. Since it was the president's road, it was the first to be repaved after the neglectful years of Soviet rule came to an end. The construction crews have returned to Al Farabi, however. In addition to luxury apartments and department stores, they have built new, European-style high-rises that house the offices of big-name international financial, accounting, and law firms. Expensive sedans sit stuck in traffic, hard-working businessmen and even businesswomen dressed in black within. In short, the financial district growing up around Al Farabi has the makings of Central Asia's very own Wall Street, if only on a much smaller scale.

One of the men responsible for all of this development is Valery V. Lee, a director of the Bazis Construction Company, the largest in Kazakhstan. Kim is a self-made man; he started as a construction crew manager and worked his way up through the company. "I managed a construction site; I manage a company. It is the same thing, really," he said. His company is building much of the new development throughout Almaty.

"If we want to win a government contract, we have to show that we can offer the lowest price," explained Kim. Though Kim is now successful, he does not give off any air of cronyism; like the younger Tuyebekova, Kim also claimed that he has never given a bribe. "I have received a bribe once," he said jokingly, pointing to a charm around his neck. "My daughter knows how to bribe my heart with gifts." She is currently studying abroad, soon to return to Kazakhstan to start her own career.

A poster in the former capital of Almaty portrays President Nursultan Nazarbayev in full military attire as leader of the armed forces. Nazarbayev has brought prosperity to his Central Asian nation since he was elected president of an independent Kazakhstan in 1991. Annual economic growth has averaged around 10 percent since 2001, bolstering the country's political stability. However, he is also perceived as power-hungry, concentrating power in the hands of his family, suppressing opposition, and failing to hold free and fair elections. (Michael Camarda/ *The Politic*)

It seems Kazakhstan has thus become a little more developed. After all, even KazMunaiGas (KMG), the national oil company, has its auditing done by Ernst and Young.

Oil to Oil, Dust to Dust

Not even Ernst and Young, however, can guarantee to keep companies honest, let alone one like KMG, which is perhaps the most prominent reminder that, despite the development elsewhere in the Kazakh economy, the country is still a petro-state at heart.

The government created the behemoth corporation in 2002 by merging various state interests. It is a so-called "national company," owned by the state, and so has special privileges that allow it to take part in any petroleum deal in the country. The government uses it to flex its muscles as it sees fit. In 2005, for instance, the government decided to revise a production sharing contract governing the consortium of companies extracting natural gas from the large Kashagan field, "taking into account the present, medium, and long-term interests of Kazakhstan."[1] The result was that KMG acquired a $1.23 billion stake in the field.

A sign in rural south-central Kazakhstan promotes the President Nazarbayev's plan for a complete revamping to the country by the year 2030. The program entails seven enumerated objectives to reach by that time, but increased democratization did not figure in the strategic priorities it outlined. It instead called for the creation of an "effective and modern corps of civil servants in Kazakhstan who are committed to their work and able to act as the people's representatives." (Michael Camarda/ *The Politic*)

One lawyer who works in the oil industry, speaking anonymously, explained. "KMG is very smart—they know all the loopholes in the law. And they use them to do what they want." KMG's massive revenues flow through the government, being distributed through a patronage network of civil servants, business executives, and consultants. Those closest to the lines of patronage, even if they have prestigious jobs with well-known firms on Al Farabi, make the most money. The lawyer added, "You can't challenge them on it even though it's not fair. You'll never get any business again."

This new system is distinct from the chaos of the 1990s. An entrenched, centralized elite now has control of the state after years of political wrangling and free-flowing oil revenue. Rather than getting at money through rent extraction and high-level bribes—as in "Syriana"—those in power rather make money selling the oil itself. The Wild East might have been tamed, but not necessarily by the do-gooder sheriff.

At the end of the day, Abilova and the rest of the middle class must still occasionally put up with forged signatures, bought judges, and conveniently misplaced documents. Though frustrating, it is a far cry from yesteryear. Perhaps most importantly, she can charge billable hours for it. State control, while not necessarily meaning a fair, liberal democracy and market economy, has at least meant stability. P

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Riding the Sino Wave

The Implications of China's Rising Tide

Upon the completion of their factory tour earlier this summer, a group of Chinese students climbed behind the steering wheels of several new General Motors cars in a Shanghai showroom. Excitedly they depressed the gas pedals, adjusted the power seats, and eyed themselves in the rear-view mirrors while their American counterparts on this joint educational trip watched them curiously, indifferent to the technology. Although none of the Chinese students had ever before driven a car, many of them likely will purchase one in the next decade. Given the world's current environmental problems, foreign observers fret over the effect of a billion new consumers gaining purchasing power in China.

Speaking with some of our editors recently, former President Jimmy Carter asked why Americans feel they have a greater right to consume natural resources than do people living in other nations and why we feel the personal happiness we pursue is worthy of suffering in other nations. Although these questions may be best answered by psychology, indeed the sweatshops and acid rain in Asia enable the West to satiate itself with cheap imports. American commentators call on China to implement environmental reforms while at the same time our country, on a per-capita basis, is the world's worst offender by almost every measure. China's current environmental situation is the byproduct not of a consumer society but of a producer society. The West has been able to export its polluting industries, including manufacturing and mining, to developing nations, knowing full well the cost of the goods they import from countries such as China is subsidized by environmental damage overseas.

The relationship between the United States and China is one not of shared values or common goals other than increased trade—namely China providing the inexpensive goods American consumers demand. Relations, however, have come a long way from the time when the only public contact the two powers had was through its players in international ping-pong tournaments. But a chief disagreement remains over U.S. policy toward China—whether to engage or sequester the nation and the potential threats it poses to the international system.

American politicians on the campaign trail draw voters' attention not to humanitarian or environmental concerns in China, but to China's economic growth, which they declare to have occurred at the expense of the U.S. labor market. As the U.S. trade deficit and national debt balloon to record highs, China is stocking its coffers with U.S. dollars and the U.S. is left with plastic debris filling its landfills. U.S. workers must increasingly compete with those in other countries willing to do similar tasks for much less money, perhaps coerced into factory labor by their government. Goldman Sachs predicts that China's GDP will surpass that of the U.S. by 2041 to become the world's largest economy.

But Hu Jintao finds himself in a tough position as well. How can China's autocratic regime retain control even as the country becomes integrated into twenty-first-century global economy and communications networks? With advancing technology, the spread of information is progressively difficult to control, despite the government's best efforts. An increasingly mobile population, a maturing popular culture, and the proliferation of independent thinking in academia, social mores, and even consumer preferences characterize a country in which policy and reality are growing apart.

What does China's record economic growth mean for its future, its people, and its role in international affairs? If this boom should trickle down to the micro level, will it lead to demands for political change from a population that has enjoyed its doses of economic freedom? Or will the increased wealth and power be held in the hands of relatively few, causing the current regime to have even greater influence in world affairs? This classic debate of political science—the effect of increasing GDP on government type—may soon have another data point to support either theory.

Perhaps more problematic in terms of international affairs is China's strategy of establishing energy protectorates in vulnerable and failed states, making deals with countries and regimes that have recently provoked the U.S. with their complacence with terrorism, their uncooperative regimes, or their own human rights abuses. China, too, has repeatedly blocked meaningful action by the UN Security Council.

In order to retain a reliable trading partner, even if not a good friend or an ally, the U.S. has been willing to turn a blind eye to China's internal problems and has remained mostly silent on China's antagonism of the U.S. in trouble spots around the world. But as China becomes increasingly active in affairs beyond its own borders, growing in military, political, and economic prowess, the U.S. may find that, with regard to China, its own economic and political goals are incompatible. The growing economic interdependence of the two world powers may help to stave off outright conflict, but the relationship between the U.S. and China remains turbulent at best.

—The Editors

Clockwise from upper right:
A police officer asks protestors to clear the motorcade route; a Serbian-born American with two sons in the U.S. military eats the stars and stripes to protest communism; a demonstrator plays the drum as part of a military-style band; a demonstrator carries a large U.S. flag and a small Chinese flag; a woman draws attention to "labor camps: the Auschwitz in China"; a sea of Chinese flags makes its way down Main Street.

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